

EQUITY GROUP HOLDINGS PLC

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

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Bank of South Sudan (BOSS)
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Bank of Tanzania
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Central Bank of Congo
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PwC Tower
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COMPANY SECRETARY

Lydia Ndirangu
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P.O. Box 75104 - 00200
Nairobi, Kenya

The directors submit their report together with the audited financial statements of Equity Group Holdings Plc (the "Company") and its subsidiaries (together, the "Group") for the year ended 31 December 2023.

PRINCIPAL ACTIVITIES

The principal activities of Equity Group Holdings Plc are:

- a) To carry on the business of a non-operating holding company as defined under the Banking Act;
- b) To employ the funds of the Group in the development and expansion of the business of the Group and all or any of its subsidiaries; and
- c) To co-ordinate the administration of and to provide advisory, administrative, management and other services in connection with the activities of its subsidiaries.

RESULTS AND RECOMMENDED DIVIDEND

Profit for the year of Shs 43,737 million (2022: Shs 46,103 million) has been added to retained earnings. The directors recommend payment of a dividend of Shs 4 per share (2022: Shs 4 per share).

BUSINESS REVIEW

Equity Group Holdings remains resilient in its business model despite the economic headwinds. The group's strategy has enabled it to further strengthen the balance sheet, providing a good platform for growth in the current macro-economic environment while maintaining cost discipline. This has resulted to a 26% increase in total assets to Kshs.1.821 trillion. Deposits increased by 29% to Kshs.1.36 trillion from KShs. 1.05 trillion while loans grew by 26% from Kshs.707 billion to 887 billion.

The Group operationalized its insurance subsidiary in 2022 and has used its branch network as a vessel to distribute its products for non-SME and non-consumer segments. In 2023 9.9 million policies were issued averaging 455,915 per month covering 1,274,980 unique customers.

Equitel recorded impressive growth in both transaction value and volume, Finserve acquired 501,000 and 588,000 new Equitel subscribers in 2023 and 2022 respectively. The total Equitel customer base as at 31 December 2023 was 2.21 million subscribers (2022: 2.14 million subscribers). Finserve has launched innovative products in the market such as the Jenga Payment Gateway an e-commerce payment platform, Jenga Market Place, Jenga API, a business financial service solution.

Equity Group Foundation has made significant strides in its corporate social responsibility initiatives, with a spend of US\$ 649 million in social investment programs. These efforts have resulted in 55,583 scholarships, 8,337 paid internships and 887 Global university scholarships. In addition, the Foundation through the health pillar operates Equity Afia clinics. Equity Afia is a flagship healthcare network of franchised medical out-patient center's run by qualified and experienced doctors with the aim of providing high quality, affordable and accessible healthcare. In 2023, the total number of clinics stood at 98, a 27% increase from the prior year serving a total of 2,143,344 patients.

BUSINESS REVIEW (continued)

To aid in building back better and supporting global initiatives with a purpose, the Equity Group Foundation has expanded its financial inclusion programs, reaching 5.4 million individuals through its social protection programs disbursing Shs138.4 billion in cash transfers. We have also supported 3.8 million small-scale farmers in converting to agri-businesses, trained 517,247 MSMEs in entrepreneurship, and provided them with access to Shs 275.3 billion in credit facilities.

The Group's business model has received validation from various rating agencies and earned recognition at local, regional, and global levels. Moody's awarded the Group a national rating of B3 and a global rating of Aaa.ke/KE-1 with a negative outlook, reflecting the same as the sovereign rating of the Kenyan government. In addition, the Bank was ranked second in the world's strongest banking brands 2024 by Brand Finance, with a Brand Strength Rating (BSR) of AAA+.

DIRECTOR

The directors who served during the year and to the date of this report were:

Prof. Isaac Macharia	Chairperson
Mrs. Evelyn Rutagwenda**	Vice Chairperson (retired in June 2023)
Dr. James Mwangi*	Group Chief Executive Officer & Managing Director
Mrs. Mary Wamae*	
Dr. Helen Gichohi	
Mr. Vijay Gidoomal	
Dr. Edward Odundo	
Dr. Evans Baiya	
Mr. Jonas Mushosho***	
Mr. Samuel Kirubi****	(Approved for appointment in May 2023)
* Executive Directors	
** Rwandese	
*** Zimbabwean	
**** Subject to regulatory approval	

STATEMENT AS TO DISCLOSURE TO THE GROUP'S AUDITOR

With respect to each director at the time this report was approved:

- a) there is, so far as the director is aware, no relevant audit information of which the Group's auditor is unaware; and
- b) the director has taken all the steps that the director ought to have taken as a Director so as to be aware of any relevant audit information and to establish that the Group's auditor is aware of that information.

TERMS OF APPOINTMENT OF THE AUDITOR

PricewaterhouseCoopers LLP continues in office in accordance with the Company's Articles of Association and Section 721 of the Companies Act, 2015.

The directors monitor the effectiveness, objectivity, and independence of the auditor. The directors also approve the annual audit engagement contract which sets out the terms of the auditor's appointment and the related fees.

By order of the Board



SECRETARY



March 2024

Information not subject to audit

The Board reviews and recommends the remuneration structure of Directors annually, subject to Shareholder's approval. Directors' remuneration is linked to performance and is competitively structured to attract and retain the best talent to effectively develop the Group's business.

Executive Directors

The Executive Directors remuneration package comprises core fixed elements (base salary, pension and other benefits). Executive Directors are eligible to participate in the Group's bonus scheme which is anchored on achievement of key business performance indicators, but are not entitled to earn fees or other allowances.

Non-Executive Directors

Non-Executive Directors are appointed for a renewable term of 3 years, subject to regulatory approval and shareholder ratification. They are obligated to act reasonably, in good faith and in the best interests of the Group and its shareholders. Non-Executive Directors are vested with the following key responsibilities:

- a) to constructively challenge and contribute to the development of strategy and extend the business of the Group;
- b) to monitor the performance of management in meeting agreed goals and objectives, and monitor the reporting of performance; and
- c) to ensure that the financial information is accurate, and that financial controls and systems of risk management are robust and defensible.

Non-Executive Directors are entitled to fees for attending Board and Committee meetings, as well as an out of station per diem for attending to Group's business outside their usual place of business. Non-Executive Directors do not earn a salary and they do not participate in the Group's bonus schemes nor the Group's pension plan.

Upon retirement or termination, Non-Executive Directors are entitled to any accrued but unpaid Director's fees or reasonably incurred expenses but not to any other compensation.

Insurance

The Group provides Directors' and Officers' Liability insurance for all Directors of the Group during the entire duration of their tenure.

Share Options

There are currently no share options issued by the Group to the Executive and the Non-Executive Directors. Particulars of compensation of Directors and key personnel are disclosed in Note 32.

Equity Group Holdings Plc
Directors' remuneration report
For the year ended 31 December 2023

Audited information

The following table shows a single figure remuneration for the Chairman, Non-Executive Directors (NEDs) and Executive Directors in respect of qualifying services for the year ended 31 December 2023 together with the comparative figures for 2022. The aggregate Directors' emoluments are shown on Note 32 (e).

Year ended 31 December 2023	Salary Shs' 000	Fees Shs' 000	Pension Shs' 000	Bonus Shs' 000	Other allowances Shs' 000	Gratuity Shs' 000	Leave pay Shs' 000	Estimated value for non-cash benefits Shs' 000	Total Shs' 000
Dr. James Mwangi*	106,080	-	12	-	-	31,824	7,032	4,702	158,848
Mrs. Mary Wamae*	52,800	-	5,286	5,500	-	-	5,459	-	69,045
Prof. Isaac Macharia	-	17,717	-	-	-	-	-	-	17,717
Mrs. Evelyn Rutagwenda	-	11,791	-	-	-	-	-	-	11,791
Dr. Helen Gichohi	-	6,010	-	-	-	-	-	-	6,010
Mr. Vijay Gidoomal	-	5,801	-	-	-	-	-	-	5,801
Dr. Edward Odundo	-	4,915	-	-	-	-	-	-	4,915
Mr. Jonas Mushosho	-	4,837	-	-	-	-	-	-	4,837
Dr. Evans Baiya	-	40,405	-	-	-	-	-	-	40,405
	158,880	91,476	5,298	5,500	9,198	31,824	12,491	4,702	319,369

*Executive Directors: Executive Directors are not entitled to receive fees or allowances for attending meetings of the Company's Board and those of any subsidiary company of which they may be a director.

Equity Group Holdings Plc
Directors' remuneration report
For the year ended 31 December 2023

Audited information (continued)

Year ended 31 December 2022	Salary Shs' 000	Fees Shs' 000	Pension Shs' 000	Bonus Shs' 000	Other allowances Shs' 000	Gratuity ⁽¹⁾ Shs' 000	Leave pay Shs' 000	Estimated value for non-cash benefits Shs' 000	Total Shs' 000
Dr. James Mwangi*	106,080	-	2	53,040	9,198	31,824	8,358	5,137	213,639
Mrs. Mary Wamae*	50,400	-	5,042	-	-	-	12	335	55,789
Prof. Isaac Macharia	-	13,354	-	-	-	-	-	-	13,354
Mrs. Evelyn Rutagwenda	-	10,947	-	-	-	-	-	-	10,947
Dr. Helen Gichohi	-	5,683	-	-	-	-	-	-	5,683
Mr. Vijay Gidoomal	-	4,980	-	-	-	-	-	-	4,980
Dr. Edward Odundo	-	6,029	-	-	-	-	-	-	6,029
Mr. Jonas Mushosho	-	5,736	-	-	-	-	-	-	5,736
Dr. Evans Baiya	-	5,499	-	-	-	-	-	-	5,499
	156,480	52,228	5,044	53,040	9,198	31,824	8,370	5,472	321,656

*Executive Directors: Executive Directors are not entitled to receive fees or allowances for attending meetings of the Company's Board and those of any subsidiary company of which they may be a director.

⁽¹⁾ Gratuity paid in lieu of pension contribution over the past 2 years of service.

On behalf of the Board



Signature

MARY WAMAE

Director

The Companies Act, 2015 requires the directors to prepare financial statements for each financial year that give a true and fair view of the financial position of the Group and of the Company as at the end of the financial year and of their profit or loss for that year. The directors are responsible for ensuring that the Group and Company keep proper accounting records that are sufficient to show and explain the transactions of the Group and the Company; disclose with reasonable accuracy at any time the financial position of the Group and the Company; and that enables them to prepare financial statements of the Group and of the Company that comply with prescribed financial reporting standards and the requirements of the Companies Act, 2015. They are also responsible for safeguarding the assets of the Group and the Company, and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with IFRS Accounting Standards and in the manner required by the Companies Act, 2015. They also accept responsibility for:

- i) designing, implementing and maintaining such internal controls as they determine necessary to enable the presentation of financial statements that are free from material misstatement, whether due to fraud or error;
- ii) selecting suitable accounting policies and applying them consistently; and
- iii) making accounting estimates and judgements that are reasonable in the circumstances.

Having assessed the Group's and Company's ability to continue as a going concern, the Directors are not aware of any material uncertainties related to events or conditions that may cast doubt upon the Group's and Company's ability to continue as a going concern.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the Board of directors on 27 March 2024 and signed on its behalf by:



Signature

DR. JAMES MWANGI
Director



Signature

PROF. ISAAC MACHARIA
Director



Independent auditor's report To the shareholders of Equity Group Holdings Plc

Report on the audit of the financial statements

Our opinion

We have audited the accompanying financial statements of Equity Group Holdings Plc (the "Company") and its subsidiaries (together, the "Group") set out on pages 15 to 148, which comprise the consolidated statement of financial position at 31 December 2023 and the consolidated statement of profit or loss, consolidated statement of other comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, together with the Company statement of financial position at 31 December 2023 and the Company statements of profit or loss and other comprehensive income, changes in equity and cash flows of the Company for the year then ended, and the notes to the financial statements, comprising material accounting policies and other explanatory information.

In our opinion, the financial statements give a true and fair view of the financial position of the Group and the Company as at 31 December 2023 and of their financial performance and their cash flows for the year then ended in accordance with IFRS Accounting Standards and the requirements of the Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report.

We are independent of the Group in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Key audit matter	How our audit addressed the key audit matter
Expected credit losses on loans and advances at amortised cost Loans and advances to customers comprise a significant portion of the Group's total assets. The estimation of expected credit losses (ECL) on loans and advances requires management judgment in the assumptions that are applied in the models used to calculate ECL.	We obtained the Group's methodology for determining ECL, including enhancements in the year, and evaluated this against the requirements of IFRS 9.

**Independent auditor's report
To the shareholders of Equity Group Holdings Plc (continued)**

Key audit matters (continued)

Key audit matter	How our audit addressed the key audit matter
The policies for estimating ECL are explained in notes 2 (j), 3 (a) and 4 (b) of the financial statements. The key areas where significant judgement has been exercised and therefore, an increased level of audit focus applied, include: - the assumptions applied in deriving the probabilities of default (PDs), loss given default (LGD) and exposures at default (EAD) for the various segments; - the judgments made to determine the staging of facilities in line with IFRS 9. In particular, the identification of <i>Significant Increase in Credit Risk ("SICR")</i> and <i>Default</i> requires consideration of quantitative and qualitative criteria. This is a key area of judgement as this determines whether a 12-month or lifetime PD is used. Specific assumptions have been applied by management in determining the staging, PD and LGD for certain segments of the loan book; - the relevance of forward-looking information used in the models; - for certain individually assessed loans and advances, judgement is exercised in the consideration of quantitative and qualitative factors, and the mapping of these loans to external ratings. Due to the significant impact of management judgments applied in calculating the ECL, we designated this as a key audit matter in our audit.	We tested how the banking subsidiaries extract 'days past due (DPD)' applied in classifying the loan book into the three stages required by IFRS 9. For a sample of loans, we recalculated the DPD applied in the model. In addition, we assessed the qualitative information applied by the Group in determining the appropriate staging. We obtained an understanding of the basis used to determine the probabilities of default. We tested the completeness and accuracy of the historical data used in derivation of PDs and LGDs, and re-calculated the same on a sample basis. We reviewed the approach used to estimate LGD at each point during the life of the exposure including time to realisation and the recovery rate calculations. In addition, for secured facilities, we agreed the collateral values used in the ECL model to external valuer reports. We tested, on a sample basis, the reasonableness of EAD for both on and off-balance sheet exposures. For forward-looking information, we assessed the appropriateness of the model, including assumptions applied; we corroborated the data using publicly available information; and assessed the reasonableness of the weightings applied to different scenarios to reflect the impact of current developments. For the loans whose PDs are derived from external ratings, we discussed with management and reviewed the appropriateness of their assessment and mapping to external ratings. We assessed whether the disclosures in the financial statements on the key judgements and assumptions were adequate.



Independent auditor's report To the shareholders of Equity Group Holdings Plc (continued)

Other information

The other information comprises the Group and Company information, Directors' report, Directors' remuneration report and Statement of directors' responsibilities which we obtained prior to the date of this auditor's report, and the rest of the other information in the Integrated Report which are expected to be made available to us after that date, but does not include the financial statements and our auditor's report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in this report, we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information we have received prior to the date of this auditor's report we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the rest of the other information in the Integrated Report and we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the directors for the financial statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with IFRS Accounting Standards and the requirements of the Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Group's and Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.



**Independent auditor's report
To the shareholders of Equity Group Holdings Plc (continued)**

Auditor's responsibilities for the audit of the financial statements (continued)

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's and Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group or Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the Group's financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable actions taken to eliminate threats or safeguards applied.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.



**Independent auditor's report
To the shareholders of Equity Group Holdings Plc (continued)**

Report on other matters prescribed by the Companies Act, 2015

Report of the directors

In our opinion, the information given in the Directors' report on pages 3 to 5 is consistent with the financial statements.

Directors' remuneration report

In our opinion, the auditable part of the directors' remuneration report on pages 6 to 8 has been properly prepared in accordance with the Companies Act, 2015.

Bernice Kimacia

**CPA Bernice Kimacia, Practicing Certificate Number 1457
Engagement partner responsible for the audit**

**For and on behalf of PricewaterhouseCoopers LLP
Certified Public Accountants
Nairobi**

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March 2024

Consolidated statement of profit or loss

	Notes	2023 Shs' millions	2022 Shs' millions
Interest income	6	164,214	128,528
Interest expense	6	(51,191)	(33,635)
Net interest income		113,023	94,893
Fee and commission income	7 (a)	40,821	28,127
Fee and commission expense	7 (b)	(11,876)	(8,477)
Net fee and commission income		28,945	19,650
Insurance revenue	9	1,657	569
Insurance service expense	10	(1,134)	(288)
Insurance service result		523	281
Net foreign exchange income	8	17,356	12,970
Other operating income	11	8,347	6,951
Total net income		168,194	134,745
Fair value loss on loan notes at FVTPL	22 (d)	(783)	(385)
Credit impairment losses	13	(32,954)	(13,352)
Net operating income		134,457	121,008
Employee benefits	14	(32,011)	(24,777)
Depreciation and amortisation	12	(7,321)	(7,371)
General and administrative expenses	18	(43,246)	(29,767)
Gain on net monetary position	40	-	751
Operating expenses		(82,578)	(61,164)
Profit before income tax		51,879	59,844
Income tax expense	20	(8,142)	(13,741)
Profit for the year		43,737	46,103
Profit attributable to:			
- Owners of the parent company		41,977	44,894
- Non-controlling interest		1,760	1,209
		43,737	46,103
Earnings per share (basic and diluted) (Shs)	34	11.12	11.90

Consolidated statement of other comprehensive income

	Notes	2023 Shs' millions	2022 Shs' millions
Profit for the year		43,737	46,103
Other comprehensive income:			
<i>Items that will be subsequently reclassified to profit or loss when specific conditions are met:</i>			
Fair value losses on investments in financial instruments measured at FVOCI	23	(14,553)	(41,545)
Income tax relating to these items	26	4,366	12,526
		(10,187)	(29,019)
Exchange differences on translation of foreign operations		17,547	2,936
<i>Items that will not be subsequently reclassified to profit or loss:</i>			
Re-measurement of defined benefit obligation	30	(185)	(797)
Income tax relating to these items	26	56	224
		(129)	(573)
		7,231	(26,656)
Total comprehensive income for the year, net of tax		50,968	19,447
Total comprehensive income attributable to:			
- Owners of the parent company		46,693	19,040
- Non-controlling interest		4,275	407
		50,968	19,447

Company statement of profit or loss and other comprehensive income

	Notes	2023 Shs' millions	2022 Shs' millions
Interest income	6	782	702
Interest expense	6	(1,427)	(814)
Net Interest income		(645)	(112)
Dividend income	32 (h)	16,465	22,140
Other operating expenses	11	(2,908)	(549)
Operating income		12,912	21,479
Employee benefits	14	(26)	(93)
Depreciation and amortisation	16 (a)	(2)	(2)
General and administrative expenses	18	(923)	(313)
Operating expenses		(951)	(408)
Profit before income tax		11,961	21,071
Income tax credit	20	583	206
Profit for the year		12,544	21,277
Other comprehensive income for the year, net of tax		-	-
Total comprehensive income for the year		12,544	21,277

Consolidated statement of financial position

	Notes	2023 Shs' millions	2022 Shs' millions
Assets			
Cash, deposits, and balances due from financial institutions	21 (a)	289,253	232,369
Derivative financial assets	38	96	873
Investment securities	23	500,542	393,984
Due from related parties	32 (f)	141	101
Current income tax	20	1,088	1,728
Loans and advances to customers	22	887,380	706,588
Other assets	24	38,233	34,710
Reinsurance contract assets	25 (a)	1,623	1,485
Investment properties	16 (d)	7,497	6,115
Property and equipment	16 (a)	26,138	18,899
Right-of-use assets	16 (b)	8,446	8,173
Intangible assets	17	19,168	14,741
Deferred income tax	26	41,830	27,244
Total assets		1,821,435	1,447,010
Liabilities			
Deposits from customers	27	1,358,228	1,052,162
Borrowed funds	29	150,595	157,542
Other liabilities	28	57,857	37,705
Employee benefit obligations	30	2,262	1,856
Lease liabilities	16 (c)	9,591	9,127
Insurance contract liabilities	25 (b)	16,903	2,935
Current income tax	20	5,036	1,830
Deferred income tax	26	2,828	1,642
Total liabilities		1,603,300	1,264,799
Equity			
Share capital	31 (a)	1,887	1,887
Share premium		15,325	15,325
Retained earnings		216,393	189,573
FVOCI reserve		(40,220)	(30,033)
Statutory reserve		1,644	1,582
Foreign currency translation reserve		12,712	(2,191)
Other reserves		52	52
Equity attributable to owners of the Company		207,793	176,195
Non-controlling interests		10,342	6,016
Total equity		218,135	182,211
Total equity and liabilities		1,821,435	1,447,010

The financial statements on pages 15 to 148 were approved for issue by the Board of directors on 27 March 2024 and signed on its behalf by:

Signature

DR. JAMES MWANGI
Director

PROF. ISAAC MACHARIA
Director

Company statement of financial position

		2023	2022
	Notes	Shs' millions	Shs' millions
Assets			
Cash, deposits and balances due from financial institutions	21(a)	20,335	14,410
Due from related parties	32(f)	905	3
Other assets	24	1,502	1,724
Current income tax	20	197	147
Property and equipment	16(a)	8	9
Investments in subsidiary companies	19(a)	100,586	93,433
Deferred income tax	26	964	319
Total assets		124,497	110,045
Liabilities			
Due to related parties	32(g)	13,986	547
Borrowed funds	29	16,111	12,629
Other liabilities	28	96	14
Total liabilities		30,193	13,190
Equity			
Share capital	31(a)	1,887	1,887
Share premium		15,325	15,325
Retained earnings		77,092	79,643
Total equity		94,304	96,855
Total equity and liabilities		124,497	110,045

The financial statements on pages 15 to 148 were approved for issue by the Board of directors on 27 MARCH 2024 and signed on its behalf by:

Signature

DR. JAMES MWANGI
Director

Signature

PROF. ISAAC MACHARIA
Director

Consolidated statement of changes in equity

	Notes	Share capital Shs' millions	Share premium Shs' millions	Attributable to owners of the Parent	Foreign currency translation reserve Shs' millions	Other Reserves Shs' millions	Total Shs' millions	Non-controlling interests Shs' millions	Total equity Shs' millions
Year ended 31 December 2023				Retained earnings Shs' millions	FVOCI Reserve Shs' millions				
At start of year		1,887	15,325	189,573	1,582	(30,033)	(2,191)	52	176,195
Non-controlling interests from business acquisition	19	-	-	-	-	-	-	-	51
		1,887	15,325	189,573	1,582	(30,033)	(2,191)	52	176,195
								6,067	182,262
Total comprehensive income:									
Profit for the year		-	-	41,977	-	-	-	-	41,977
Other comprehensive income		-	-	-	(10,187)	14,903	4,716	2,515	7,231
		-	-	41,977	-	(10,187)	14,903	4,275	50,968
Loan loss reserve transfers	31(d)	-	-	(62)	62	-	-	-	-
Dividends declared and paid	31(g)	-	-	(15,095)	-	-	(15,095)	-	(15,095)
At end of year		1,887	15,325	216,393	1,644	(40,220)	12,712	52	207,793
								10,342	218,135

Equity Group Holdings Plc
Financial statements
For the year ended 31 December 2023

Consolidated statement of changes in equity (continued)

Notes	Share capital	Share premium	Share Retained earnings	Attributable to owners of the Parent	FVOCI Reserve	Foreign currency translation reserve	Other Reserves	Total	Non-controlling interests	Total equity
	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions
Year ended 31 December 2022										
At start of year	1,887	15,325	158,103	171	(1,243)	(5,127)	52	169,168	7,023	176,191
Equity transactions with non-controlling interests	19	-	(692)	-	-	-	-	(692)	(1,414)	(2,106)
Total comprehensive income:										
Profit for the year	-	-	44,894	-	-	-	-	44,894	1,209	46,103
Other comprehensive income	-	-	-	-	(28,790)	2,936	-	(25,854)	(802)	(26,656)
Loan loss reserve transfers										
Dividends declared and paid	31(d)	-	(1,411)	1,411	-	-	-	-	-	-
	31(g)	-	(11,321)	-	-	-	-	(11,321)	-	(11,321)
At end of year										
	1,887	15,325	189,573	1,582	(30,033)	(2,191)	52	176,195	6,016	182,211

Company statement of changes in equity

	Note	Share capital Shs' millions	Share premium Shs' millions	Retained earnings Shs' millions	Total equity Shs' millions
Year ended 31 December 2023					
At start of year		1,887	15,325	79,643	96,855
Total comprehensive income:					
Profit for the year		-	-	12,544	12,544
Dividends paid		-	-	(15,095)	(15,095)
At end of year		1,887	15,325	77,092	94,304
Year ended 31 December 2022					
At start of year		1,887	15,325	69,687	86,899
Total comprehensive income:					
Profit for the year		-	-	21,277	21,277
Dividends paid		-	-	(11,321)	(11,321)
At end of year		1,887	15,325	79,643	96,855

Consolidated statement of cash flows

	Notes	2023 Shs' millions	2022 Shs' millions
Cash flows from operating activities			
Cash generated from operations	33	238,263	12,981
Income taxes paid	20	(9,631)	(12,692)
Net cash flows from operating activities		228,632	289
Cash flows from investing activities			
Purchase of property and equipment	16(a)	(7,254)	(5,704)
Proceeds from sale of property and equipment		16	48
Purchase of investment properties	16(d)	(37)	(210)
Purchase of intangible assets	17(a)	(3,814)	(3,814)
Purchase of investment securities	23	(308,817)	(244,318)
Proceeds from sale / maturity of investment securities	23	199,038	207,730
Acquisition of subsidiary, net of cash acquired		919	-
Net cash flows used in investing activities		(119,949)	(46,268)
Cash flows from financing activities			
Dividends paid to ordinary shareholders	31(g)	(15,095)	(11,321)
Proceeds from borrowed funds	29	42,011	68,617
Repayment of borrowed funds	29	(57,137)	(42,282)
Interest paid on borrowed funds	29	(28,403)	(6,833)
Interest paid on leases	16(c)	(602)	(1,016)
Principal elements of lease payments	16(c)	(2,327)	(1,560)
Net cash flows (used in)/ from financing activities		(61,553)	5,605
Net increase in cash and cash equivalents		47,130	(40,374)
Cash and cash equivalents at start of year		147,802	190,365
Effect of foreign exchange differences		(1,194)	(2,189)
Cash and cash equivalents at end of year	21 (a)	193,738	147,802

Company statement of cash flows

		2023	2022
	Notes	Shs' millions	Shs' millions
Cash flows from operating activities			
Profit before income tax		11,961	21,071
Adjustments for:			
Depreciation on property and equipment	16 (a)	2	2
Interest expense on term borrowings	29	1,427	814
Dividends income		(16,465)	(22,140)
Foreign exchange differences on borrowings	29	3,355	1,044
Operating loss before changes in operating assets and liabilities		280	791
Movement in operating assets and liabilities			
Other assets		222	5,381
Due from related parties		(902)	200
Due to related parties		13,439	(797)
Other liabilities		82	12
Cash generated from operations		13,121	5,587
Income taxes paid	20	(112)	(210)
Net cash flows from operating activities		13,009	5,377
Cash flows from investing activities			
Investment in subsidiaries		(7,153)	(12,198)
Purchase of property and equipment	16 (a)	(1)	(1)
Dividends received		16,465	22,140
Net cash flows from investing activities		9,311	9,941
Cash flows used in financing activities			
Interest paid on borrowed funds	29	(1,300)	(690)
Dividends paid	31 (g)	(15,095)	(11,321)
Net cash flows used in financing activities		(16,395)	(12,011)
Net increase in cash and cash equivalents		5,925	3,307
Cash and cash equivalents at start of year		14,410	11,103
Cash and cash equivalents at end of year	21	20,335	14,410

Notes

1 Corporate information

Equity Group Holdings Plc (the "Company") is incorporated under the Companies Act, 2015 and is domiciled in Kenya. The Company is licensed under the Kenyan Banking Act (Chapter 488).

The Company has subsidiaries in Kenya, Uganda, South Sudan, Rwanda, Tanzania and Democratic Republic of Congo. It also has a representative office in Ethiopia. The Company shares are listed on the Nairobi Securities Exchange, Uganda Securities Exchange and Rwanda Securities Exchange.

2 Summary of material accounting policies

The material accounting policies applied in the presentation of the Group and Company's annual financial statements are set out below. The accounting policy elections below apply to the Group and company, and are applied to all years presented, unless otherwise stated.

(a) Basis of preparation

The Group and Company's financial statements have been prepared in accordance with IFRS Accounting Standards. The measurement basis applied is the historical cost basis, except for fair value through other comprehensive income investments, derivatives and loan notes at fair value through profit or loss which have been measured at fair value.

The preparation of financial statements in conformity with IFRS Accounting Standards requires the use of certain critical accounting estimates. It also requires the directors to exercise judgement in the process of applying the Group and Company's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 3.

(b) Changes in accounting policy and disclosures

(i) *New standards, amendments and interpretations by the Group and Company*

The following standards and amendments have been applied by the Group for the first time for the financial year beginning 1 January 2023:

Definition of Accounting Estimates – Amendments to IAS 8

The amendment to IAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors* clarifies how companies should distinguish changes in accounting policies from changes in accounting estimates.

The distinction is important, because changes in accounting estimates are applied prospectively to future transactions and other future events, whereas changes in accounting policies are generally applied retrospectively to past transactions and other past events as well as the current period.

Disclosure of Accounting Policies – Amendments to IAS 1 and IFRS Practice Statement 2

The IASB amended IAS 1 *Presentation of Financial Statements* to require entities to disclose their *material* rather than their *significant* accounting policies. The amendments define what is 'material accounting policy information' (being information that, when considered together with other information included in an entity's financial statements, can reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements) and explain how to identify when accounting policy information is material. They further clarify that immaterial accounting policy information does not need to be disclosed. If it is disclosed, it should not obscure material accounting information.

To support this amendment, the IASB also amended IFRS Practice Statement 2 *Making Materiality Judgements* to provide guidance on how to apply the concept of materiality to accounting policy disclosures.

Notes (continued)

2 Summary of material accounting policies (continued)

(b) Changes in accounting policy and disclosures (continued)

(i) *New standards, amendments and interpretations by the Group and Company (continued)*

Deferred Tax related to Assets and Liabilities arising from a Single Transaction – Amendments to IAS 12

The amendments to IAS 12 *Income Taxes* require companies to recognise deferred tax on transactions that, on initial recognition, give rise to equal amounts of taxable and deductible temporary differences, and will require the recognition of additional deferred tax assets and liabilities.

The amendment should be applied to transactions that occur on or after the beginning of the earliest comparative period presented. In addition, entities should recognise deferred tax assets (to the extent that it is probable that they can be utilised) and deferred tax liabilities at the beginning of the earliest comparative period for all deductible and taxable temporary differences associated with:

- right-of-use assets and lease liabilities, and
- decommissioning, restoration and similar liabilities, and the corresponding amounts recognised as part of the cost of the related assets.

The cumulative effect of recognising these adjustments is recognised in the opening balance of retained earnings, or another component of equity, as appropriate.

IAS 12 did not previously address how to account for the tax effects of on- balance sheet leases and similar transactions and various approaches were considered acceptable. Some entities may have already accounted for such transactions consistent with the new requirements. These entities will not be affected by the amendments.

IFRS 17 Insurance Contracts

IFRS 17 was issued in May 2017 as replacement for IFRS 4 *Insurance Contracts*. It requires a current measurement model where estimates are remeasured in each reporting period. Contracts are measured using the building blocks of:

- discounted probability-weighted cash flows
- an explicit risk adjustment, and
- a contractual service margin (CSM) representing the unearned profit of the contract which is recognised as revenue over the coverage period.

The standard allows a choice between recognising changes in discount rates either in the statement of profit or loss or directly in other comprehensive income. The choice is likely to reflect how insurers account for their financial assets under IFRS 9.

An optional, simplified premium allocation approach is permitted for the liability for the remaining coverage for eligible groups of insurance contracts, which are often written by non-life insurers.

There is a modification of the general measurement model called the 'variable fee approach' for certain contracts written by life insurers where policyholders share in the returns from underlying items. When applying the variable fee approach, the entity's share of the fair value changes of the underlying items is included in the CSM. The results of insurers using this model are therefore likely to be less volatile than under the general model.

The new rules will affect the financial statements and key performance indicators of all entities that issue insurance contracts or investment contracts with discretionary participation features.

Notes (continued)

2 Summary of material accounting policies (continued)

(b) Changes in accounting policy and disclosures (continued)

(i) New standards, amendments and interpretations by the Group and Company (continued)

IFRS 17 Insurance Contracts (continued)

Targeted amendments made in July 2020 aimed to ease the implementation of the standard by reducing implementation costs and making it easier for entities to explain the results from applying IFRS 17 to investors and others. The amendments also deferred the application date of IFRS 17 to 1 January 2023.

Further amendments made in December 2021 added a transition option that permits an entity to apply an optional classification overlay in the comparative period(s) presented on initial application of IFRS 17. The classification overlay applies to all financial assets, including those held in respect of activities not connected to contracts within the scope of IFRS 17. It allows those assets to be classified in the comparative period(s) in a way that aligns with how the entity expects those assets to be classified on initial application of IFRS 9. The classification can be applied on an instrument-by-instrument basis.

(ii) Standards, interpretations and amendments issued but not effective and have not been early adopted by the Group

Title	Key requirements	Effective date
<i>Classification of Liabilities as Current or Non-current – Amendments to IAS 1</i> <i>Non-current Liabilities with Covenants – Amendments to IAS 1</i>	Amendments made to IAS 1 <i>Presentation of Financial Statements</i> in 2020 and 2022 clarified that liabilities are classified as either current or non-current, depending on the rights that exist at the end of the reporting period. Classification is unaffected by the entity's expectations or events after the reporting date (e.g. the receipt of a waiver or a breach of covenant). Covenants of loan arrangements will not affect classification of a liability as current or non-current at the reporting date if the entity must only comply with the covenants after the reporting date. However, if the entity must comply with a covenant either before or at the reporting date, this will affect the classification as current or non-current even if the covenant is only tested for compliance after the reporting date. The amendments require disclosures if an entity classifies a liability as non-current and that liability is subject to covenants that the entity must comply with within 12 months of the reporting date. The disclosures include:- - the carrying amount of the liability - information about the covenants, and - facts and circumstances, if any, that indicate that the entity may have difficulty complying with the covenants. The amendments also clarify what IAS 1 means when it refers to the 'settlement' of a liability. Terms of a liability that could, at the option of the counterparty, result in its settlement by the transfer of the entity's own equity instrument can only be ignored for the purpose of classifying the liability as current or non-current if the entity classifies the option as an equity instrument. However, conversion options that are classified as a liability must be considered when determining the current/non-current classification of a convertible note. The amendments must be applied retrospectively in accordance with the normal requirements in IAS 8 <i>Accounting Policies, Changes in Accounting Estimates and Errors</i>. Special transitional rules apply if an entity had early adopted the 2020 amendments regarding the classification of liabilities as current or non-current.	1 January 2024

Notes (continued)

2 Summary of material accounting policies (continued)

(b) Changes in accounting policy and disclosures (continued)

(ii) *Standards, interpretations and amendments issued but not effective and have not been early adopted by the Group*

Title	Key requirements	Effective date
<i>Lease Liability in a Sale and Leaseback – Amendments to IFRS 16</i>	In September 2022, the IASB finalised narrow-scope amendments to the requirements for sale and leaseback transactions in IFRS 16 <i>Leases</i> which explain how an entity accounts for a sale and leaseback after the date of the transaction. The amendments specify that, in measuring the lease liability subsequent to the sale and leaseback, the seller-lessee determines 'lease payments' and 'revised lease payments' in a way that does not result in the seller-lessee recognising any amount of the gain or loss that relates to the right of use that it retains. This could particularly impact sale and leaseback transactions where the lease payments include variable payments that do not depend on an index or a rate.	1 January 2024
<i>Sale or contribution of assets between an investor and its associate or joint venture – Amendments to IFRS 10 and IAS 28</i>	The IASB has made limited scope amendments to IFRS 10 <i>Consolidated Financial Statements</i> and IAS 28 <i>Investments in Associates and Joint Ventures</i> . The amendments clarify the accounting treatment for sales or contribution of assets between an investor and their associates or joint ventures. They confirm that the accounting treatment depends on whether the non-monetary assets sold or contributed to an associate or joint venture constitute a 'business' (as defined in IFRS 3 <i>Business Combinations</i>). Where the non-monetary assets constitute a business, the investor will recognise the full gain or loss on the sale or contribution of assets. If the assets do not meet the definition of a business, the gain or loss is recognised by the investor only to the extent of the other investor's interests in the associate or joint venture. The amendments apply prospectively. ** In December 2015, the IASB decided to defer the application date of this amendment until such time as the IASB has finalised its research project on the equity method.	**n/a

(c) Business combinations and goodwill

Business combinations are accounted for using the acquisition method. The cost of an acquisition is measured as the aggregate of the consideration transferred, measured at acquisition date fair value and the amount of any non-controlling interest in the acquiree. For each business combination, the Group elects whether to measure the non-controlling interest in the acquiree at fair value or at the proportionate share of the acquiree's identifiable net assets. Acquisition related costs are expensed as incurred and included in operating expenses.

When the Group acquires a business, it assesses the financial assets and liabilities assumed for appropriate classification and designation in accordance with the contractual terms, economic circumstances and pertinent conditions as at the acquisition date.

Goodwill is initially measured at cost, being the excess of the aggregate of the consideration transferred and the amount recognised for non-controlling interests and any previous interest held over fair value of the net identifiable assets acquired and liabilities assumed. If the fair value of the net assets acquired is in excess of the aggregate consideration transferred, the Group re-assesses whether it has correctly identified all of the assets acquired and all of the liabilities assumed and reviews the procedures used to measure the amounts to be recognised at the acquisition date.

Notes (continued)

2 Summary of material accounting policies (continued)

(c) Business combinations and goodwill (continued)

If the reassessment still results in an excess of the fair value of net assets acquired over the aggregate consideration transferred, then the gain is recognised in profit or loss. Goodwill and fair value adjustments arising on the acquisition of a foreign entity are treated as assets and liabilities of the foreign entity and translated at the closing exchange rate. After initial recognition, goodwill is measured at cost less any accumulated impairment losses. For the purpose of impairment testing, goodwill acquired in a business combination is, from the acquisition date, allocated to each of the Group's cash generating units that are expected to benefit from the combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units.

In the Company's financial statements, investments in subsidiaries are accounted for at cost less accumulated impairment losses.

If the purchase consideration paid is less than the fair value of the net identifiable assets of the business acquired, the difference is recognised directly in profit or loss as a bargain purchase.

Business combinations involving entities under common control

A business combination involving entities under common control is a business combination in which all of the combining entities are ultimately controlled by the same party or parties both before and after the business combination, and that control is not transitory. The assets acquired and liabilities assumed are measured based on their carrying amounts in the consolidated financial statements of the ultimate controlling party at the combination date. The difference between the carrying amount of the net assets acquired and the consideration paid for the combination (or the total face value of shares issued) is adjusted against the capital reserve. Any cost directly attributable to the combination is recognised in profit or loss when incurred. The combination date is the date on which one combining entity obtains control of other combining entities.

(d) Foreign currency translation

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "Functional Currency"). The consolidated financial statements are presented in Kenya Shillings, which is the Company's Functional and Presentation currency.

(i) Transactions and balances

Transactions in foreign currencies are initially recorded by the group entities at their respective Functional Currency prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated into the Functional Currency at the spot rate of exchange at the reporting date. All differences arising from non-trading activities are taken to other operating income in profit or loss. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the spot exchange rates as at the dates of recognition.

(ii) Group companies

On consolidation, the assets and liabilities in foreign operations whose functional currencies are not the currency of a hyperinflationary currency are translated into Kenya Shillings at the spot rate of exchange prevailing at the reporting date and their statements of profit or loss and other comprehensive income are translated at average rates. The exchange differences arising on the translation are recognised in other comprehensive income. On disposal of a foreign operation, the component of other comprehensive income relating to that particular foreign operation is recognised in profit or loss.

Notes (continued)

2 Summary of material accounting policies (continued)

(d) Foreign currency translation (continued)

(iii) Hyperinflationary economies

The Group considers an economy to be hyperinflationary if the cumulative inflation rate over three years is approaching, or exceeds, 100%. The financial statements of a subsidiary whose functional currency is the currency of a hyperinflationary economy are restated from historical cost into the measuring unit current at the end of the reporting period by applying a general price index.

The corresponding figures for the previous period and any information in respect of earlier periods is also stated in terms of the measuring unit current at the end of the reporting period. The restatement is based on conversion factors derived from Consumer Price Indices (CPI) (refer to note 40).

For the purpose of consolidation, the results and financial position of a subsidiary whose functional currency is the currency of a hyperinflationary economy are translated into Kenya Shillings at the spot rate of exchange prevailing at the reporting date. However, the comparative amounts are those that were presented in the prior year financial statements.

(e) Recognition of interest income, dividend and interest expense

Revenue is recognised as control is passed, either over time or at a point in time. The Group recognises revenue over time after each performance obligation is fulfilled.

Interest income and expense are recognised in profit or loss on the Effective Interest Rate (EIR) method. Interest income and expense presented in the statement of profit or loss include:

- Interest on financial assets and liabilities measured at amortised cost and debt instruments classified as FVOCI, calculated using the effective interest rate (EIR). The calculation takes into account all of the contractual terms of the financial instrument (for example, prepayment options) and includes any fees or incremental costs that are directly attributable to the instrument and are an integral part of the EIR, but not future credit losses. When the recorded value of a financial asset or a group of similar financial assets has been reduced by an impairment loss, interest income continues to be recognised using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss.
- Dividend income is recognised when the Company's right to receive that payment is established.

(f) Fee and commission income and expense

Fees and commissions charged for services provided or received by the Group are recognised as the services are provided or received, for example on completion of an underlying transaction.

(g) Net foreign exchange income

Net foreign exchange income arises from both the sale and purchase of investment securities, margins which are achieved through market-making and customer business and from changes in fair value caused by movements in interest and exchange rates and other market variables.

Gains or losses on assets or liabilities are included in profit or loss under net foreign exchange income.

Notes (continued)

2 Summary of material accounting policies

(h) Leases

(i) Determination

The determination of whether an arrangement is, or contains, a lease is based on the substance of the arrangement and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset or assets and the arrangement conveys a right to use the asset.

(ii) Group as a lessee

The Group leases various offices and are typically made for fixed periods of 6 months to 10 years but may have extension options. The Group allocates the consideration in the contract to the lease and non-lease components based on their relative stand-alone prices. For leases of real estate for which the group is a lessee, it has elected to separate lease and non-lease components and instead accounted for them as separate component. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions.

The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes. Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group.

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- variable lease payment that are based on an index or a rate, initially measured using the index or rate as at the commencement date;
- amounts expected to be payable by the Group under residual value guarantees;
- the exercise price of a purchase option if the Group is reasonably certain to exercise that option; and
- payments of penalties for terminating the lease, if the lease term reflects the Group exercising that option.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be readily determined, which is generally the case for leases in the Group, the lessee's incremental borrowing rate is used, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

To determine the incremental borrowing rate, the Group:

- where possible, uses recent third-party financing received by the individual lessee as a starting point, adjusted to reflect changes in the financing conditions since third party financing was received;
- uses a build-up approach that starts with a risk-free interest rate adjusted for credit risk for leases held by Group, which does not have recent third-party financing; and
- makes adjustments specific to the lease.

Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability;
- any lease payments made at or before the commencement date less any lease incentives received;
- any initial direct costs; and
- restoration costs.

Notes (continued)

2 Summary of material accounting policies (continued)

(h) Leases (continued)

(ii) Group as a lessee (continued)

Right-of-use assets are generally depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Group is reasonably certain to exercise a purchase option, the right-of-use asset is depreciated over the underlying asset's useful life.

Payments associated with short-term leases of equipment and vehicles and all leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less. Low-value assets comprise IT equipment and small items of office furniture.

Extension and termination options are included in a number of property and equipment leases across the Group. These are used to maximise operational flexibility in terms of managing the assets used in the Group's operations. The majority of extension and termination options held are exercisable only by the Group and not by the respective lessor.

(iii) Group as lessor

When assets are leased out under a finance lease, the present value of the lease payments is recognized as a receivable. The difference between the gross receivable and the present value of the receivable is recognized as unearned finance income. Lease income is recognized over the term of the lease using the net investment method (before income tax expense), which reflects a constant periodic rate of return. Payments received under operating lease are charged to profit or loss on a straight-line basis over the period of the lease.

(i) Income tax

The income tax expense for the period comprises current and deferred income tax. Tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

(i) Current income tax

The current income tax charge is calculated on the basis of the tax enacted or substantively enacted at the reporting date. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

(ii) Deferred income tax

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates (and laws) that have been enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled. Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities

(i) Classification and subsequent measurement

Financial assets

Except for trade receivables that do not have a significant financing component, at initial recognition, the Group measures a financial asset or financial liability at its fair value plus or minus, in the case of a financial asset or financial liability not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition or issuance of the financial asset or financial liability. Trade receivables that do not have a significant financing component are measured at their transaction price.

The Group classifies its financial assets into three principal classification categories based on the cash flow characteristics of the asset and the business model assessment:

- Measured at amortised cost;
- FVOCI; and
- FVTPL.

Amortised cost

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

The Group recognises cash, deposits and balances due from financial institutions including items in the course of collection, amounts due from related parties, loans and advances to customers, certain investment securities, and other assets at amortised cost.

The carrying amount of these assets is measured at amortised cost using the effective interest rate method and is adjusted by any expected credit loss allowance. Interest income from these financial assets is included in 'Interest and similar income' using the effective interest rate method.

Fair Value through Other Comprehensive Income (FVOCI) – Debt

A financial asset which is a debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

The Group classifies certain investments it has in government securities at FVOCI.

Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange gains and losses which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains/ (losses). Interest income from these financial assets is included in finance income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains/ (losses) and impairment expenses are presented as separate line item in the statement of profit or loss.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities (continued)

(i) Classification and subsequent measurement (continued)

Financial assets (continued)

Fair Value through Other Comprehensive Income (FVOCI) – Equity

On initial recognition of an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in fair value in OCI. This election is made on an investment-by-investment basis. The Group currently has no equity investments held at FVOCI.

Fair Value through Profit or Loss (FVTPL)

All financial assets not classified as measured at amortised cost or FVOCI as described above are measured at FVTPL. In addition, on initial recognition the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortised cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

The Group classifies derivative financial assets and loan notes at FVTPL.

A financial asset is classified into one of these categories on initial recognition. Under IFRS 9, derivatives embedded in contracts where the host is a financial asset in the scope of IFRS 9 are not separated. Instead, the hybrid financial instrument as a whole is assessed for classification.

A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognised in profit or loss in the period in which it arises. Interest income and credit related income from these financial assets is included in "interest income" using the effective interest rate method.

Assessment whether contractual cash flows are Solely Payments of Principal and Interest (SPPI)

To determine whether a financial asset should be classified as measured at amortised cost or FVOCI, an entity assesses whether the cash flows from the financial asset represent, on specified dates, solely payments of principal and interest on the principal amount outstanding - i.e. the SPPI criterion. A financial asset that does not meet the SPPI criterion is always measured at FVTPL, unless it is an equity instrument for which an entity may apply the OCI election.

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. The definition of principal reflects the economics of the financial asset from the perspective of the current holder. This means that an entity assesses the asset's contractual cash flow characteristics by comparing the contractual cash flows to the amount that it actually invested.

'Interest' is defined as consideration for the time value of money, for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considered the contractual terms of its financial assets. The Group, through the Credit, Finance and Treasury departments will from time to time review the contractual terms of existing instruments and also review contractual terms of new products the Group develops or invests in going forward. This includes assessing whether the financial asset contained a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities

(i) Classification and subsequent measurement

Financial assets (continued)

Assessment whether contractual cash flows are Solely Payments of Principal and Interest (SPPI) (continued)

In making the assessment, the Group shall consider:

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;
- terms that limit the Group's claim to cash flows from specified assets – e.g. non-recourse asset arrangements; and
- features that modify consideration for the time value of money – e.g. periodic reset of interest rates.

Contractual features that introduce exposure to risks or volatility in the contractual cash flows that is unrelated to a basic lending arrangement, such as exposure to changes in equity prices or commodity prices, give rise to contractual cash flows that do not meet the SPPI criterion.

The prevailing rates are generally based on a regulator's rate and include a discretionary spread (Margin). In these cases, the Group will assess whether the discretionary feature is consistent with the SPPI criterion by considering a number of factors, including whether:

- the borrowers are able to prepay the loans without significant penalties;
 - the market competition ensures that interest rates are consistent between banks; and
- any regulatory or customer protection framework is in place that requires banks to treat customers fairly.

Interest rate on loans made by other banking subsidiaries within the Group are based on the prevailing market rates depending on the specific country of operation.

Some of the Group's loans may contain prepayment features. A prepayment feature is consistent with the SPPI criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable compensation for early termination of the contract.

In addition, a prepayment feature is treated as consistent with this criterion if a financial asset is acquired or originated at a premium or discount to its contractual par amount, the prepayment amount substantially represents the contractual par amount plus accrued (but another asset) contractual interest (which may also include reasonable compensation for early termination), and the fair value of the prepayment feature is insignificant on initial recognition.

De minimis

A contractual cash flow characteristic may not affect the classification of a financial asset if it could have only a de minimis effect on the financial asset's contractual cash flows. To make this determination, the Group considers the possible effect of the contractual cash flow characteristic in each reporting period and cumulatively over the life of the financial asset.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities

(i) Classification and subsequent measurement

Financial assets (continued)

Business model assessment

The Group makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice, including whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Group's stated objective for managing the financial assets is achieved and how cash flows are realised.

Financial assets that are held for trading and those that are managed and whose performance is evaluated on a fair value basis will be measured at FVTPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets. The table below summarises the key features of each type of business model and the resultant measurement category:

BUSINESS MODEL	KEY FEATURES	CATEGORY
Held to collect	The objective of the business model is to hold assets to collect contractual cash flows. Sales are incidental to the objective of the model. This model typically involves the lowest level of sales in comparison with other business models (in frequency and volume).	Amortised cost (1)
Both held to collect and for sale	Both collecting contractual cash flows and sales are integral to achieving the objective of the business model. This model typically has more sales (in frequency and volume) than the held-to-collect business model.	FVOCI (1)
Other business models, including: Trading, managing assets on a fair value basis and maximising cash flows through sale	The business model is neither held-to-collect nor held to collect and for sale. The collection of contractual cash flows is incidental to the objective of the model.	FVTPL (2)

Notes

1. Subject to meeting the SPPI criterion.
2. The SPPI criterion is irrelevant - i.e. assets in all business models are measured at FVTPL.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities

(i) Classification and subsequent measurement (continued)

Financial liabilities

The Group classifies all financial liabilities as subsequently measured at amortised cost, except for financial liabilities at fair value through profit or loss. Such liabilities, including derivatives that are liabilities, shall be subsequently measured at fair value. Deposits from customers, borrowed funds and other liabilities are also classified at amortised cost.

Reclassification

The Group only reclassifies financial assets when management changes the business model for managing the financial assets. In that instance all affected financial assets are reclassified. Such changes are expected to be very infrequent, and are determined by the Group's senior management as a result of external or internal changes.

Derecognition and contract modification

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or when it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred. Any interest in transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability. However, when the modification of a financial instrument not measured at FVTPL does not result in derecognition, the Group has recalculated the gross carrying amount of the financial asset (or the amortised cost of the financial liability) by discounting the modified contractual cash flows at the original effective interest rate and recognise any resulting adjustment as a modification gain or loss in profit or loss.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire. The Group enters into transactions whereby it transfers assets recognised on its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. If all or substantially all risks and rewards are retained, then the transferred assets are not derecognised from the statement of financial position. Transfers of assets with retention of all or substantially all risks and rewards include, for example, securities lending and repurchase transactions.

Write-off

The Group writes off financial assets, in whole or part, when it has exhausted all practical recovery efforts and has concluded there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include:

- Ceasing enforcement activity; and
- Where the Group's recovery method is foreclosing on collateral and the value of the collateral is such there is no reasonable expectation of recovering in full.

Offsetting

Financial assets and liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group has a legal right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously. Income and expenses are presented on a net basis only when permitted under IFRS, or for gains and losses arising from a group of similar transactions such as in the Group's trading activity.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities

(i) Classification and subsequent measurement (continued)

Interest income recognition

According to IFRS 9 paragraph 5.4.1 interest revenue shall be calculated by using the effective interest method. This shall be calculated by applying the effective interest rate to the gross carrying amount of a financial asset except for:

- Purchased or originated credit-impaired financial assets. For those financial assets, the entity shall apply the credit-adjusted effective interest rate to the amortised cost of the financial asset from initial recognition; and
- Financial assets that are not purchased or originated credit-impaired financial assets but subsequently have become credit-impaired financial assets. For those financial assets, the entity shall apply the effective interest rate to the amortised cost of the financial asset in subsequent reporting periods.

According to IFRS 9 paragraph 5.4.2 an entity that, in a reporting period, calculates interest revenue by applying the effective interest method to the amortised cost of a financial asset in accordance with paragraph 5.4.1(b) (see (b) above), shall, in subsequent reporting periods, calculate the interest revenue by applying the effective interest rate to the gross carrying amount if the credit risk on the financial instrument improves so that the financial asset is no longer credit-impaired and the improvement can be related objectively to an event occurring after the requirements in paragraph 5.4.1(b) were applied (such as an improvement in the borrower's credit rating). In the context of the Central Bank regulations, credit impaired accounts would refer to the substandard, doubtful and loss risk classifications, and interest on these accounts is calculated on the gross carrying amount and not recognised in profit or loss but rather suspended in the statement of financial position.

Assets that are credit-impaired on initial recognition

According to IFRS 9 (7A.8.340) Purchased or Originated Credit Impaired (POCI) assets are assets that are credit-impaired on initial recognition. An asset is credit-impaired if one or more events have occurred that have a detrimental impact on the estimated future cash flows of the asset. The following are examples of such events:

- Significant financial difficulty of the issuer or the borrower;
- A breach of contract - e.g. a default or past-due event;
- A lender having granted a concession to the borrower - for economic or contractual reasons relating to the borrower's financial difficulty - that the lender would not otherwise consider;
- It becoming probable that the borrower will enter bankruptcy or other financial reorganisation;
- The disappearance of an active market for that financial asset because of financial difficulties; or
- The purchase of a financial asset at a deep discount that reflects the incurred credit losses.

It may not be possible to identify a single discrete event that caused the asset to be credit-impaired. Instead, the combined effect of several events may cause financial assets to become credit-impaired.

Measurement on initial recognition

On initial recognition, POCI assets do not carry an impairment allowance. Instead, lifetime ECLs are incorporated into the calculation of the effective interest rate.

Subsequent measurement

The expected credit losses (ECLs) for POCI assets are always measured at an amount equal to lifetime ECLs. However, the amount recognised as a loss allowance for these assets is not the total amount of lifetime ECLs, but instead the changes in lifetime ECLs since initial recognition of the asset. Favourable changes in lifetime ECLs are recognised as an impairment gain, even if the favourable changes are more than the amount, if any, previously recognised in profit or loss as impairment losses.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities

(i) Classification and subsequent measurement (continued)

Assets that are credit-impaired on initial recognition (continued)

Modifications

When the contractual cash flows of a POCI asset are modified and the modification does not result in derecognition, the calculation of the modification gain or loss is the difference between:

- the gross carrying amount of the asset before the modification; and
- the recalculated gross carrying amount.

The recalculated gross carrying amount is the present value of the estimated future cash payments or receipts through the expected life of the modified financial asset discounted using the credit-adjusted effective interest rate before the modification.

(ii) Impairment – financial assets, loan commitments and financial guarantee contracts

The impairment model applies to the following financial instruments that are not measured at FVTPL:

- financial assets that are debt instruments – this applies to the Group's loans and advances to customers, Investment in Government securities measured at amortised cost and FVOCI, balances due to group companies and other assets;
- lease and trade receivables – this applies to the Group's finance lease and trade receivables; and
- loan commitments and financial guarantee contracts issued (previously, impairment was measured under IAS 37 Provisions, Contingent Liabilities and Contingent Assets) - this applies to the Group's off balance sheet exposures where credit intervention is not required for the counterparty to access the credit facility.

No impairment loss is recognised on equity investments and financial assets measured at FVPL.

The Group recognises loss allowance at an amount equal to either 12-month ECLs or lifetime ECLs. Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument, whereas 12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date.

The Group has recognised loss allowances at an amount equal to lifetime ECLs, except in the following cases, for which the amount recognised will be 12-month ECLs:

- debt investment securities that are determined to have low credit risk at the reporting date. The Group has considered a debt security to have low credit risk when its credit risk rating is equivalent to the globally understood definition of 'investment-grade' and investments in Government securities; and
- other financial instruments (other than trade and lease receivables) for which credit risk has not increased significantly since initial recognition.

Loss allowances for trade and lease receivables will always be measured at an amount equal to lifetime ECLs. The impairment requirements of IFRS 9 are complex and require management judgement, estimates and assumptions, particularly in the following areas, which are discussed in detail below:

- assessing whether the credit risk of an instrument has increased significantly since initial recognition; and
- incorporating forward-looking information into the measurement of ECLs.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities

(ii) Impairment – financial assets, loan commitments and financial guarantee contracts (continued)

Measurement of expected credit losses

ECLs are a probability-weighted estimate of credit losses and have been measured as follows:

- financial assets that are not credit-impaired at the reporting date: the present value of all cash shortfalls – i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group expects to receive;
- financial assets that are credit-impaired at the reporting date: the difference between the gross carrying amount and the present value of estimated future cash flows;
- undrawn loan commitments: the present value of the difference between the contractual cash flows that are due to the Group if the commitment is drawn down and the cash flows that the Group expects to receive; and
- financial guarantee contracts: the present value of the expected payments to reimburse the holder less any amounts that the Group expects to recover.

An asset is credit-impaired if one or more events have occurred that have a detrimental impact on the estimated future cash flows of the asset. The following are examples of such events:

- significant financial difficulty of the issuer or the borrower;
- a breach of contract - e.g. a default or past-due event;
- a lender having granted a concession to the borrower - for economic or contractual reasons relating to the borrower's financial difficulty - that the lender would not otherwise consider;
- it becoming probable that the borrower will enter bankruptcy or other financial reorganisation;
- the disappearance of an active market for that financial asset because of financial difficulties; or
- the purchase of a financial asset at a deep discount that reflects the incurred credit losses.

For purposes of IFRS 9 there will generally be no difference between credit impaired and non-performing financial loans as defined by the regulator.

Expected credit losses

Expected credit losses are computed as a product of the Probability of Default (PD), Loss Given Default (LGD) and the Exposure at Default (EAD).

$$\text{ECL} = \text{PD} \times \text{LGD} \times \text{EAD}$$

In applying the IFRS 9 impairment requirements, an entity needs to follow one of the approaches below:

- The general approach
- The simplified approach

The simplified approach is applied for trade receivables or contract assets resulting from transactions in the scope of IFRS 15 Revenue from customer contracts or lease receivables resulting from transactions in the scope of IFRS 16 Leases. The Group has therefore applied the general approach.

The General Approach

Under the general approach, at each reporting date, an entity recognises a loss allowance based on either 12-month ECLs or lifetime ECLs, depending on whether there has been a significant increase in credit risk on the financial instrument since initial recognition.

The changes in the loss allowance balance are recognised in profit or loss as an impairment gain or loss. Essentially, an entity must make the following assessment at each reporting date:

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities

(ii) Impairment – financial assets, loan commitments and financial guarantee contracts (continued)

The General Approach (continued)

Stage 1 - For credit exposures where there have not been significant increases in credit risk since initial recognition, an entity is required to provide for 12-month ECLs, i.e., the portion of lifetime ECLs that represent the ECLs that result from default events that are possible within the 12-months after the reporting date (12-month ECL as per formula below).

$$\text{ECL}_{12m} = \text{PD}_{12m} \times \text{LGD}_{12m} \times \text{EAD}_{12m} \times \text{D}_{12m}$$

Stage 2 - For credit exposures where there have been significant increases in credit risk since initial recognition on an individual or collective basis, a loss allowance is required for lifetime (LT) ECLs, i.e., ECLs that result from all possible default events over the expected life of a financial instrument (ECL LT as per formula below).

$$\text{ECL LT} = \text{LT} \sum_{t=1}^{\infty} \text{PD}_t \times \text{LGD}_t \times \text{EAD}_t \times \text{D}_t$$

Stage 3 – For credit exposures that are credit impaired and in default. Similar to stage 2 assets a loss allowance is required for lifetime ECLs. However, the probability of default for these assets is presumed to be 100% less any determined recovery and cure rate.

Where: **D** – discounting factor and **t** - time

The table below shows the link between the regulator risk classifications, internal grading and the IFRS 9 stage allocation for assets for banking subsidiaries in the Group.

Central Banks Guidelines	Days past due	Internal grading	Stage allocation
Normal	0-30	1	1
Watch	31-90	2	2
Substandard	91-180	3	3
Doubtful	181 - 365	4	3
Loss	Over 365 or considered uncollectible	5	3

Definition of default

The Group will consider a financial asset to be in default when:

- the borrower is unlikely to pay their credit obligations to the Group in full, without recourse by the Group to actions such as realising security (if any is held);
- the borrower is more than 90 days past due on any material credit obligation to the Group. This will be consistent with the rebuttable criteria set out by IFRS 9 and existing practice of the Group; or
- if it meets the definition of the local regulator of default, if in the future the local regulator prescribe the criteria of default for IFRS 9 purposes.

This definition is largely consistent with the regulator definition that will be used for regulatory purposes. In assessing whether a borrower is in default, the Group will consider indicators that are:

- significant financial difficulty of the issuer or the borrower;
- a breach of contract - e.g. a default or past-due event;
- a lender having granted a concession to the borrower - for economic or contractual reasons relating to the borrower's financial difficulty - that the lender would not otherwise consider;
- it becoming probable that the borrower will enter bankruptcy or other financial reorganisation;
- the disappearance of an active market for that financial asset because of financial difficulties; or
- the purchase of a financial asset at a deep discount that reflects the incurred credit losses.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities

(ii) Impairment – financial assets, loan commitments and financial guarantee contracts (continued)

Definition of default (continued)

Inputs into the assessment of whether a financial instrument is in default and their significance may vary over time to reflect changes in circumstances. The Group has not rebutted the 90 Days Past Due (DPD) rule for identifying defaults.

Significant increase in credit risk (SICR)

The Group in determining whether the credit risk (i.e. risk of default) on a financial instrument has increased significantly since initial recognition considered reasonable and supportable information that is relevant and available without undue cost or effort, including both quantitative and qualitative information and analysis based on the Group's historical experience, expert credit assessment and forward-looking information.

The Group identifies a significant increase in credit risk where

- exposures have a regulatory risk rating of 'WATCH';
- an exposure is greater than 30 days past due – this is in line with the IFRS 9 30 DPD rebuttable presumption;
- an exposure has been restructured in the past due to credit risk related factors or which was NPL and is now regular (subject to the regulatory cooling off period); or
- by comparing an exposures:
 - credit risk quality at the date of reporting; with
 - the credit risk quality on initial recognition of the exposure.

The Group has not followed an overall blanket approach to the ECL impact of COVID-19 (where COVID-19 is seen as a significant increase in credit risk (SICR) trigger that will result in the entire portfolio of advances moving into their respective next staging bucket). The Group incorporated qualitative factors to assess significant increase in credit risk on these loans as below:

- All loans whose business activity, in our assessment, was significantly lower than the pre-COVID period as at 31 December 2021, was considered to have a significant increase in credit risk and downgraded to Stage 2.
- Loans in high risk industry segments (see the section "Restructuring" below) were assessed for significant increase in credit risk.

The assessment of significant deterioration is key in establishing the point of switching between the requirement to measure an allowance based on 12-month expected credit losses and one that is based on lifetime expected credit losses.

Credit risk classification

The Group allocates each exposure to a credit risk classification based on the regulatory requirements of the regulator which requires the prediction of the risk of default and applying experienced credit judgement. The Group shall use these classifications in identifying significant increases in credit risk under IFRS 9. The risk classifications are defined using the regulator's guidance, days past due, management assessment, qualitative and quantitative factors that are indicative of the risk of default.

These factors may vary depending on the nature of the exposure and the type of borrower. The Group shall undertake a thorough credit appraisal process and determine the credit quality of each exposure on initial recognition based on available information about the borrower. Exposures will be subject to ongoing monitoring, which may result in an exposure being moved to a different credit risk classification.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities

(ii) Impairment – financial assets, loan commitments and financial guarantee contracts (continued)

Determining whether credit risk has increased significantly

The Group has established a framework that incorporates both quantitative and qualitative information to determine whether the credit risk on a particular financial instrument has increased significantly since initial recognition. The framework has been aligned with the Group's internal credit risk management process. The criteria for determining whether credit risk has increased significantly varies by portfolio and will include a backstop based on delinquency (30 DPD presumption).

Quantitative factors

The Group deems the credit risk of a particular exposure to have increased significantly since initial recognition based on a loan being in arrears for a period of 31 to 90 days in accordance with IFRS 9 paragraph 5.5.11. The Group has developed an internal rating model going forward and movement in rating grades between the reporting period and initial recognition date/ the date of initial application of IFRS 9 of the loan will form the basis of significant increase in credit risk.

Qualitative factors

In certain instances, using its expert credit judgement and, where possible, relevant historical experience, the Group may determine that an exposure has undergone a significant increase in credit risk if particular qualitative factors indicate so and those indicators may not be fully captured by its quantitative analysis on a timely basis. The management view and judgement has included the following assessments:

- Classification of exposures by any other Banks and Financial institutions or local Credit Reference Bureau (CRB).
- Unavailable/inadequate financial information/financial statements;
- Qualified report by external auditors;
- Significant contingent liabilities;
- Loss of key staff in the organization;
- Increase in operational risk and higher occurrence of fraudulent activities;
- Continued delay and non-cooperation by the borrower in providing key relevant documentation; and
- Deterioration in credit worthiness due to factors other than those listed above.

As a backstop, and as required by IFRS 9, the Group will presumptively consider that a significant increase in credit risk occurs no later than when an asset is more than 30 days past due. The Group will determine days past due by counting the number of days since the earliest elapsed due date in respect of which full payment has not been received.

Backward transitions

Backward transitions define the criteria for moving a financial asset back from Stage 2 to Stage 1 or Stage 3 to Stage 2. The Group applies the considerations of the Central Bank prudential guidelines to determine whether a financial asset should be upgraded from Stage 3 to Stage 2 and then Stage 1. Where an account in Stage 3 is regularised (i.e. all past due principal and interest is repaid in full) it may be upgraded to Stage 2 subject to observation of the cooling off period as defined by prudential guidelines. A facility which meets the above condition and has been classified as Stage 2 may be reclassified to Stage 1 if a sustained record of performance is maintained for a period of six (6) months.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities

(ii) Impairment – financial assets, loan commitments and financial guarantee contracts (continued)

Modified financial assets

The contractual terms of a loan may be modified for a number of reasons, including changing market conditions, customer retention and other factors not related to a current or potential credit deterioration of the customer. An existing loan whose terms have been modified may be derecognised and the renegotiated loan recognised as a new loan at fair value. Under IFRS 9, when the terms of a financial asset are modified and the modification does not result in derecognition, the determination of whether the asset's credit risk has increased significantly reflects comparison of the borrower's initial credit risk assessment and the current assessment at the point of modification.

Restructuring

The Group renegotiates loans to customers in financial difficulties (referred to as 'restructuring') to maximise collection opportunities and minimise the risk of default. Under the Group's restructuring policy, loan restructuring is granted on a selective basis if the debtor is currently in default on its debt or if there is a high risk of default, there is evidence that the debtor made all reasonable efforts to pay under the original contractual terms and the debtor is expected to be able to meet the revised terms. The revised terms usually include extending the maturity, changing the timing of interest payments and amending the terms of loan covenants. The Group's Credit Committee regularly reviews reports on restructuring activities.

Generally, restructuring is a qualitative indicator of default and credit impairment and expectations of restructuring are relevant to assessing whether there is a significant increase in credit risk. Following restructuring, a customer needs to demonstrate consistently good payment behaviour over a period of time before the exposure is no longer considered to be in default/credit-impaired or the PD is considered to have decreased such that the loss allowance reverts to being measured at an amount equal to 12-month ECLs.

However, on the onset of the COVID-19 pandemic, the impact of the containment measures on the economy made it imperative for the Group to support its customers. The Group's view is that the economic impacts of the pandemic will be felt for a period of three to five years before there is full recovery. The Group therefore accommodated its customers to cushion them from the economic downturn by rescheduling their loan facilities for a period of 6 months to 36 months. The length of the period of accommodation depended on the impact of the pandemic on the industry in which the customer operates. The Group segregated the loan book into low risk, medium risk and high risk based on the industry. For example, Agriculture was rated as low risk, Mining as medium risk and Tourism and Hospitality and Real Estate as High Risk. The Group then accommodated for different periods depending on the level of risk.

The accommodation given to customers was given due to a macro economic issue that was facing customers in impacted industries. This was not an issue of an individual customer exhibiting significant increase in credit risk or default. These accommodations were therefore exempted from the general policy of a restructure being necessarily an indicator of significant increase in credit risk or default. This is fully compliant with the requirements of IFRS 9 and the Central Bank prudential guidelines. These loans are however monitored under a more stringent credit risk framework and judgmental factors are considered in the IFRS 9 provision methodology for these loans.

The Group applies the requirements of the Central Bank prudential guidelines where an account in Doubtful or Sub-standard category (Stage 3) will be upgraded to Watch if principal and interest payments are fully regularised at the point of restructure, the account is re-classified to Watch (Stage 2) and observed for six (6) months. Where the account continues to perform appropriately for an additional six (6) months the account is upgraded to normal and the Group reverts to measuring 12-month ECLs.

Notes (continued)

2 Summary of material accounting policies (continued)

(i) Financial assets and liabilities

(ii) Impairment – financial assets, loan commitments and financial guarantee contracts (continued)

Restructuring (continued)

Where the account is restructured with the customer having not regularized overdue principal and interest, the account shall remain in Substandard for six (6) months or if in Doubtful category, twelve (12) months for observation. If the restructured account performs as per the new contract during the observation period, the account can be then upgraded to Watch (stage 2) and observed for another six (6) months where it can be further upgraded to Normal (stage 1) if good performance is sustained.

The date of renegotiation is consequently considered to be the date of initial recognition for impairment calculation purposes, including for determining whether a significant increase in credit risk has occurred. However, the Group also assesses whether the new financial asset recognised is deemed to be credit-impaired at initial recognition, especially in circumstances where the renegotiation was driven by the debtor being unable to make the originally agreed payments. Differences in the carrying amount are also recognised in profit or loss as a gain or loss on derecognition.

If the terms are not substantially different, the renegotiation or modification does not result in derecognition, and the Group recalculates the gross carrying amount based on the revised cash flows of the financial asset and recognises a modification gain or loss in profit or loss. The new gross carrying amount is recalculated by discounting the modified cash flows at the original EIR.

ECL model

Segmentation

In order to determine the ECL by modelling the PD, LGD and EAD for different loan accounts, the Group has segmented the loan book into twelve industries namely Building & Construction, Energy & Water, Financial Services, Food and Agriculture, ICT and Telecommunications, Manufacturing, Mining and Quarrying, Personal Household, Real Estate, Tourism and Hospitality, Trade and Transport & logistics. The PDs are determined at industry level, LGD at customer or industry level (based on collateral and collections respectively) and EAD at account level. Where a borrower has been in several industries historically the Group uses the borrower's current segmentation.

In addition to the on-balance sheet facilities, the Group considered treasury products (investment securities and placements with other banking institutions) and the off balance sheet facilities offered by the Group such as guarantees, letters of credit, overdrafts and credit cards where an exposure is present. The EAD for these facilities is based on whether there is a commitment by the Group to fund a customer and the rate of conversion of such facilities (Credit Conversion Factor – CCF).

Risk parameters in measurement of ECLs

The key inputs into the measurement of ECLs are likely to be the term structures of the following variables:

- PD;
- Loss Given Default (LGD); and
- Exposure at Default (EAD).

These parameters has been derived from internally developed statistical models and other historical data that leverage regulatory models. They have been adjusted to reflect forward-looking information as described below.

Notes (continued)

2 Summary of material accounting policies (continued)

(i) Financial assets and liabilities

(ii) Impairment – financial assets, loan commitments and financial guarantee contracts (continued)

Probability of default

Probability of Default ("PD") refers to the likelihood of a default occurring and is a measure of the risk of default. In order to calculate IFRS 9 PD, there is a need to develop a PD term structure for calculating ECL (forward looking and lifetime PDs). PD estimates for loans and advances are estimates at a certain date, which has been calculated based on statistical migration matrices that model the chance of an exposure transitioning to default over time and has been assessed at portfolio level for portfolios of assets that have similar characteristics. PDs have been estimated based on the theory of Markov Chain process. The method requires information regarding transitions among credit states. Credit states are defined by rating classes. The Group reviews and updates the portfolio PDs on a semi-annual basis.

The Group has drawn yearly transition matrix of ratings to compute a value or transaction-based PD over the one year horizon for the past 3-5 years. The Group has built data to 5 years and update every year thereafter for new data. The PDs are approved by the relevant Board committees for them to take effect. Transition probabilities are determined from the actually observed number of transitions over the observed period of time. These PDs have been classified as per stage 1 and 2 which is driven by the central bank risk classifications, management view and DPD. This rating migration captures the movement of obligors into default at yearly intervals.

An average default rate of 5 years is used. Based on the transitions of counterparties within the stages in value terms, the default estimation is done by the transition matrix.

Probability of default (continued)

PD estimates for other exposures are estimates at a certain date, which will be calculated based on statistical rating tools and assessed using rating tools tailored to the various categories of counterparties and exposures. These statistical models are based on internally compiled data comprising both quantitative and qualitative factors. Where it is available, market data has also been used to derive the PD for large corporate counterparties. If a counterparty or exposure migrates between ratings classes, then this will lead to a change in the estimate of the associated PD. Lifetime PDs will be estimated considering the contractual maturities of exposures and estimated prepayment rates. Lifetime PDs are calculated using the Matrix Multiplication method utilising the Markov Chain method.

LGD

LGD is the forecast of the magnitude of the likely loss if there is a default. The Group has estimated LGD parameters based on collateral available for secured debt instruments against exposures and the history of recovery rates of claims against defaulted counterparties for unsecured portfolios.

LGD by collateral

The LGD models have considered the structure, collateral, seniority of the claim, counterparty industry and recovery costs of any collateral that is integral to the financial asset. The Group will consider the eligibility of collateral. Collateral is eligible if the following can be demonstrated:

- Legal certainty and enforceability; and
- History of enforceability and recovery

LGD estimates have been calibrated for different collateral types. To reflect possible changes in property prices, the forced sale value (FSV) shall be considered for all collateral types.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities (continued)

(ii) Impairment – financial assets, loan commitments and financial guarantee contracts (continued)

The collateral values to consider have been calculated on a discounted cash flow basis using the effective interest. The table below highlights the Group's acceptable collateral types;

No	Collateral Type
1	Cash Under Lien
2	Corporate Guarantees
3	Debenture/Land
4	Government Guarantee
5	Hire Purchase Agreement
6	Land & Buildings-Commercial
7	Land & Buildings-Residential
8	Logbooks
9	Shares
10	Treasury Bonds/Bills

LGD by Collections

For the purpose of LGD estimation on its non-collateralized portfolio, the Group shall compute LGD based on actual recoveries on its defaulted portfolio over a period of at least 3- 5 years prior to the assessment date. To determine this recovery rate, the Group has identified the point in time when accounts first go into default in half year periods, filter out any non-performing loan (NPL) accounts that cure and for the remaining accounts obtain data on amounts collected. The difference between the value of the NPL accounts that do not cure and the collections from these accounts as a percentage of the original NPL accounts (NPL accounts that cured and did not cure) is determined as the LGD. For individually assessed unsecured accounts, the LGD is assessed based on the circumstances of the facility.

Exposure at default (EAD)

EAD represents the expected exposure in the event of a default. The Group has derived the EAD from the current exposure to the counterparty and potential changes to the current amount allowed under the contract, including amortisation, and prepayments. The EAD of a financial asset is measured as:

$$\text{EAD} = \text{Outstanding exposure} + (\text{CCF} \times \text{Undrawn portion})$$

For lending commitments and financial guarantees, the EAD has considered the amount drawn, as well as potential future amounts that may be drawn or repaid under the contract, which will be estimated based on behavioural study of historical patterns and forward-looking forecasts.

For revolving off-balance sheet positions, the CCF to be applied to the undrawn commitments have been derived from a behavioural study of historical patterns. In the case of undrawn commitments (i.e. undrawn portions of the Group's commitments for off-balance sheet items), if the terms of the contract clearly state that the commitment is unconditionally cancellable for any reason, the committed amounts for such arrangements has not be considered as EAD.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities (continued)

(ii) Impairment – financial assets, loan commitments and financial guarantee contracts (continued)

Term of loan in calculating Lifetime ECL and determining the EAD

As described previously in this document, and subject to using a maximum of a 12-month PD for financial assets for which credit risk has not significantly increased, the Group will measure ECLs considering the risk of default over the maximum contractual period (including any borrower's extension options) over which it is exposed to credit risk, even if, for risk management purposes, the Group will consider a longer period. The maximum contractual period extends to the date at which the Group has the right to require repayment of an advance or terminate a loan commitment or guarantee. For overdrafts, guarantee facilities and other revolving facilities that include both a loan and an undrawn commitment component, the Group will measure ECLs over a period of one year unless the expected life of the exposure can be reasonably determined.

Forward-looking information

Under IFRS 9, the Group has incorporated forward-looking information in its measurement of ECLs. The Group has formulated a 'base case' view of the future direction of relevant economic variables and a representative range of other possible forecast scenarios based on advice from the Group's Executive Risk Committees (ALCO & CORC) and economic experts and consideration of a variety of external actual and forecast information. This process involves developing two or more additional economic scenarios and considering the relative probabilities of each outcome. External information may include economic data and forecasts published by governmental bodies and monetary authorities in East Africa, supranational organisations such as the World Bank and the International Monetary Fund and selected private sector and academic forecasters. The base case represents a most-likely outcome and be aligned with information used by the Group for other purposes, such as strategic planning and budgeting. The other scenarios will represent more optimistic and more pessimistic outcomes. Noting the wide range of possible scenarios and macroeconomic outcomes, and the relative uncertainty of the social and economic consequences of COVID-19, these scenarios represent reasonable and supportable forward-looking views as at the reporting date.

The Group has identified and documented key drivers of credit risk and credit losses for each portfolio of financial instruments and, using an analysis of historical data, has estimated relationships between macro-economic variables and credit risk and credit losses. These key drivers include, among others, inflation rates, GDP forecasts, balance of trade, unemployment rates and interest rates. Predicted relationships between the key indicators and default and loss rates on various portfolios of financial assets shall be developed based on analysing historical data over the previous 5 years. The economic scenarios used have been approved by the Group's Credit and Risk Committees.

(iii) Fair value measurement

The Group measures financial instruments such as derivatives, loan notes at FVTPL and FVOCI investment securities at fair value at each reporting date. Fair value of financial instruments is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities (continued)

(iii) Fair value measurement (continued)

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data is available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable.
- Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognised in the financial statements at fair value on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The determination of fair values of financial assets and financial liabilities is based on quoted market prices or dealer price quotations for financial instruments traded in active markets at the reporting date without any deduction for transaction costs.

Gains or losses on valuation of FVOCI are recognised in other comprehensive income.

For all other financial instruments not traded in an active market, the fair value is determined by using appropriate valuation techniques. Valuation techniques include the discounted cash flow method, comparison to similar instruments for which market observable prices exist, options pricing models, credit models and other relevant valuation models.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy, as explained above. The table below shows the various asset classes.

Notes (continued)

2 Summary of material accounting policies (continued)

(j) Financial assets and liabilities (continued)

(iii) Fair value measurement (continued)

	Class (as determined by the Group)	Subclasses
Financial assets		
Financial assets at fair value through profit or loss (FVTPL)	Financial assets held for trading	Derivative financial assets
	Financial assets designated at fair value through profit or loss	Loan notes at FVTPL
		Investment securities designated at FVTPL
		Insurance contract assets
Amortised cost	Deposits and balances due from financial institutions	
	Due from group companies	
	Loans and advances to customers	Term loans
		Mobile loans
		Credit cards
		Mortgages
		Overdrafts
	Others	
	Settlement and clearing accounts	
	Cash balances with central banks	
Other assets		
Investment securities		
Financial assets at fair value through other comprehensive income (FVOCI)	Investment securities	
	Employee benefit obligations	
Financial liabilities		
Financial liabilities at amortised cost	Deposits due to other financial institutions	
	Deposits from customers	
	Other liabilities	
	Insurance contract liabilities	
	Borrowed funds	
	Lease liabilities	
	Due to group companies	
Off-balance sheet financial instruments		
Loan commitments		
Guarantees, acceptances and other financial liabilities		

Fair-value related disclosures for financial instruments that are measured at fair value or where fair values are disclosed, are summarised in Note 5 to the financial statements.

Notes (continued)

2 Summary of material accounting policies (continued)

(k) Cash and cash equivalents

Cash and cash equivalents include notes and coins on hand and bank balances held with central banks in the countries in which the Group operates and highly liquid financial assets with original maturities of less than three months, which are subject to insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments.

Cash and cash equivalents are classified and carried at amortised cost in the statement of financial position. For the purpose of the statement of cash flows, cash and cash equivalents comprise cash and balances with banks, unrestricted balances with central banks in the countries in which the Group operates and money market placements.

(l) Property and equipment

(i) Recognition and measurement

Items of property and equipment are initially measured at cost. Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost includes any other costs directly attributable to bringing the asset to a working condition for its intended use and the present value of the estimated costs of dismantling and removing the items and restoring the site on which they are located. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment. After initial recognition, property and equipment are measured at cost less accumulated depreciation and impairment losses.

(ii) Subsequent costs

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The costs of the day-to-day servicing of property and equipment are recognised in profit or loss as they are incurred.

(iii) Depreciation

Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property and equipment in order to write down the carrying amount over its useful life to its residual value. Freehold land is not depreciated

The annual rates of depreciation (2.5% - 33.3%) in use are as follows:

Buildings	2.5%
Motor vehicles and Village cell banking vans	25%
Office equipment, furniture and fittings	12.5%
Computer hardware	33.3%
ATM machines, core banking hardware	20%

Leasehold improvements are written off over their estimated useful lives or the lease period, whichever is shorter. The assets' residual values, useful lives and methods of depreciation are reassessed at each financial year-end and adjusted prospectively, as a change in an estimate, if appropriate. Property and equipment is derecognised on disposal or when no future economic benefits are expected from its use. An item of property and equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in other operating income in profit or loss in the year the asset is derecognised.

Notes (continued)

2 Summary of material accounting policies (continued)

(m) Intangible assets

The Group's intangible assets include the value of computer software. Costs associated with maintaining software programmes are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the group are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software so that it will be available for use;
- management intends to complete the software and use or sell it;
- there is an ability to use or sell the software;
- it can be demonstrated how the software will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software are available; and
- the expenditure attributable to the software during its development can be reliably measured.

Directly attributable costs that are capitalised as part of the software include employee costs and an appropriate portion of relevant overheads. Capitalised development costs are recorded as intangible assets and amortised from the point at which the asset is ready for use.

Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and any accumulated impairment losses.

The useful lives of intangible assets are assessed to be finite or indefinite. Intangible assets with finite lives are amortised over the useful lives. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in profit or loss in the expense category consistent with the function of the intangible asset. The intangible assets have a maximum useful life of ten years.

Acquired intangible assets

The customer relationship and core deposit intangible asset ("acquired intangible assets") were acquired as part of a business combination (Note 15 (a)). They are recognised at their fair value at the date of acquisition and are subsequently amortised on a straight-line based on the timing of projected cash flows of the contracts over their estimated useful lives. Separately 'acquired intangible assets are shown at historical cost. They have a finite useful life and are subsequently carried at cost less accumulated amortisation and impairment losses. The Group amortises intangible assets with a limited useful life, using the straight-line method over 1 period of 3 years. For brand name, this is not amortised since it has an indefinite useful life but assessed for impairment on an annual basis.

(n) Impairment of non-financial assets

The carrying amounts of the Group's non-financial assets are reviewed at each reporting date to determine whether there is any indication that an asset may be impaired. If any such indication exists, then the asset's recoverable amount is estimated. An asset's recoverable amount is the higher of an asset's or cash-generating unit's (CGU's) fair value less costs of disposal and its value in use. The recoverable amount is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs of disposal, an appropriate valuation model is used. Impairment losses are recognised in profit or loss in expense categories consistent with the function of the impaired asset.

Notes (continued)

2 Summary of material accounting policies (continued)

(n) Impairment of non-financial assets (continued)

A previously recognised impairment loss is reversed only if there has been a change in the assumptions used to determine the asset's recoverable amount since the last impairment loss was recognised. The reversal is limited so that the carrying amount of the asset does not exceed its recoverable amount, or the carrying amount that would have been determined, net of depreciation or amortisation, had no impairment loss been recognised for the asset in prior years. Such reversal is recognised in profit or loss.

(o) Provisions

Provisions are recognised when the Group and Company have a present obligation (legal or constructive) as a result of a past event, and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. The expense relating to any provision is presented in profit or loss net of any reimbursement.

(p) Employee benefits

(i) Defined contribution schemes

The Group contributes to statutory defined contribution pension schemes (the National Social Security Fund (NSSF)), for Kenya, Tanzania, Uganda and Democratic Republic of Congo employees. The Group also contributes to the Rwanda Social Security Fund for Rwanda employees and to a private pension fund for employees in South Sudan.

A defined contribution plan is a pension plan under which the Group pays fixed contributions into a separate entity. The Group has no legal or constructive obligations to pay further contributions if the funds do not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The assets of the schemes are held in a separate trustee administered funds, which are funded by contributions from both the Group and employees.

(ii) Defined benefit plan

The Group has an unfunded defined benefit scheme for employees in DRC. The benefits provided by the defined benefit scheme are based on a formula taking into account years of service and remuneration levels, whilst the benefits provided by the defined contribution scheme are determined by accumulated contributions and returns on investments.

For the defined benefit plan, the liability recognised in the statement of financial position is the present value of the defined benefit obligation at the balance sheet date less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected credit unit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using an interest rate equal to the yield on government securities that have a term to maturity approximating to the term of the related pension liability.

Actuarial gains and losses that arise are recognised in shareholders' equity and presented in the statement of other comprehensive income in the period they arise. The Group determines the net interest expense on the net defined liability for the year by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the net defined benefit liability, taking into account any changes in the net defined benefit liability during the year as a result of contributions and benefit payments. Net interest expense and other expenses related to the defined benefit plan are recognised in the income statement. When the defined benefit calculation results in a benefit to the Group, the recognised asset is limited to the total of any unrecognised past service costs and the present value of economic benefits available in the form of any future refunds from the plan or reductions in future contributions to the plan. The Group contributions to both schemes are charged to the statement of comprehensive income in the year to which they relate.

Notes (continued)

2 Summary of material accounting policies (continued)

(p) Employee benefits (continued)

In order to calculate the present value of economic benefits, consideration is given to any minimum funding requirements that apply to the plan. An economic benefit is available to the Group if it is realisable during the life of the plan, or on settlement of the plan liabilities. When the benefits of a plan are improved, the portion of the increased benefit related to past service by employees is recognised in the income statement on a straight-line basis over the average period until the benefits become vested. To the extent that the benefits vest immediately, the expense is recognised immediately in the income statement (Note 29).

(iii) Short-term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A provision is recognised for the amount expected to be paid under short-term cash bonus and leave if the group has a present obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

(q) Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker. The chief operating decision-maker who is responsible for allocating resources and assessing the performance of the operating segments has been identified as the Group Strategy and Investment Committee that makes strategic decisions.

All transactions between business segments are conducted on an arm's length basis, with intra-segment revenue and costs being eliminated in head office. Income and expenses directly associated with each segment are included in determining business segment performance.

(r) Earnings per share

The Group presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS is calculated by dividing the profit attributable to ordinary shareholders of the Group by the weighted average number of ordinary shares outstanding during the year.

(s) Dividends

Dividends are recognised as a liability and deducted from equity in the year in which they are declared when they are approved by the Company's Shareholders. Proposed dividends are disclosed as part of Note 30 (g).

(t) Deposits from customers

Deposits from customers are recognized and accounted for on receipt basis as liabilities. Interest expense is accrued on the deposits on a daily basis.

(u) Work in progress

Work-in-progress includes assets paid for but are not yet ready for the intended use and include software, computers and equipment. These are not depreciated and are capitalized when they get in the location and condition necessary for them to be capable of operating in the manner intended by management.

Notes (continued)

2 Summary of material accounting policies (continued)

(v) Fiduciary assets

The Group entities provide trust and other fiduciary services that result in the holding or investing of assets on behalf of its clients. Assets held in a fiduciary capacity, unless recognition criteria are met, are not reported in the financial statements, as they are not assets of the Group (note 37).

(w) Derivative financial assets and liabilities

The Group enters into derivatives (currency forwards and swaps) for trading purposes. At their inception, derivatives often involve only a mutual exchange of promises with little or no transfer of consideration. The Group may take positions with the expectation of profiting from favourable movement in prices, rates or indices. The Group's exposure under derivative contracts is closely monitored as part of the overall management of its market risk. Derivatives are recorded at fair value and carried as assets when their fair value is positive and as liabilities when their fair value is negative. Changes in the fair value of derivatives are included in net trading income.

The Group uses the following derivative instruments:

Currency forwards - Forward contracts are contractual agreements to buy or sell a specified financial instrument at a specific price and date in the future. Forwards are customised contracts transacted in the over-the-counter market. The Group has credit exposure to the counterparties of forward contracts. Forward contracts are settled gross and result in market risk exposure.

Currency swaps - Swaps are contractual agreements between two parties to exchange streams of payments over time based on specified notional amounts, in relation to movements in a specified underlying index such as a foreign currency rate. In a currency swap, the Group pays a specified amount in one currency and receives a specified amount in another currency.

Currency spots - Spot contracts are contractual agreements between two parties to exchange streams with immediate settlement (payment and delivery) on the spot date, which is normally two business days after the trade date.

(x) Financial guarantee contracts and loan commitments

Financial guarantee contracts are contracts that require the issuer to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due, in accordance with the terms of a debt instrument. Such financial guarantees are given to banks, financial institutions, and others on behalf of customers to secure loans, overdrafts, and other banking facilities. Financial guarantee contracts are initially measured at fair value and subsequently measured at the higher of:

- The amount of loss allowance and;
- The premium received on initial recognition less recognition in accordance with the principles of IFRS 15

Loan commitments provided by the Group are measured as the amount of the loss allowance. The Group has not provided any commitment to provide loans at a below-market interest rate, or that can be settled net in cash or by delivering or issuing another financial instrument.

For loan commitments and financial guarantee contracts, the loss allowance is recognised as a provision. However, for contracts that include both a loan and undrawn commitment and the Group cannot separately identify the expected credit losses on the undrawn commitment component from those on the loan component, the expected credit losses on the undrawn commitment are recognised together with the loss allowance for the loan. To the extent that the combined expected credit losses exceed the gross carrying amount of the loan, the expected credit losses are recognised as a provision.

Notes (continued)

2 Summary of material accounting policies (continued)

(y) Investment properties

Buildings, or part of a building, (freehold or held under a finance lease) and land (freehold or held under an operating lease) held for long term rental yields and /or capital appreciation and are not occupied by the Group are classified as investment property and are non-current assets. Investment property is carried at fair value, representing open market value determined every three years by external valuers. Properties under construction and development sites with projected use as investment properties are valued at projected fair values considering current market conditions. Changes in fair values are included in investment income in the income statement.

(z) Insurance contracts

A contract is classified as an insurance contract where the Group accepts significant insurance risk from another party by agreeing to compensate that party if it is adversely affected by a specified uncertain future event. An insurance contract may also transfer financial risk, but is accounted for as an insurance contract if the insurance risk is significant. In addition, the Group issues investment contracts that transfer financial risk with no significant insurance risk, which are also accounted under IFRS 17 'Insurance Contracts'.

i) Recognition, measurement, and presentation of insurance contracts

IFRS 17 establishes principles for the recognition, measurement, presentation and disclosure of insurance contracts, reinsurance contracts and investment contracts with discretionary participation features. It introduces a model that measures groups of contracts based on the company's estimates of the present value of future cash flows that are expected to arise as the company fulfils the contracts, an explicit risk adjustment for non-financial risk and a contractual service margin (CSM).

Under IFRS 17, insurance revenue in each reporting period represents the changes in the liabilities for remaining coverage that relate to services for which the company expects to receive consideration and an allocation of premiums that relate to recovering insurance acquisition cash flows. In addition, investment components are no longer included in insurance revenue and insurance service expenses.

Insurance finance income and expenses, disaggregated between profit or loss and other comprehensive income (OCI) for life risk and life savings contracts, are presented separately from insurance revenue and insurance service expenses. The company applies the premium allocation approach (PAA) to simplify the measurement of contracts in the non-life segment, except for groups of acquired contracts that do not qualify for the PAA. When measuring liabilities for remaining coverage, the PAA is similar to the company's previous accounting treatment. However, when measuring liabilities for incurred claims, the company now discounts the future cash flows unless they are expected to occur in one year or less from the date on which the claims are incurred) and includes an explicit risk adjustment for non-financial risk.

Previously, all acquisition costs were recognised and presented as separate assets from the related insurance contracts ('deferred acquisition costs') until those costs were included in profit or loss. Under IFRS 17, only insurance acquisition cash flows that arise before the recognition of the related insurance contracts are recognised under insurance contract liabilities and are tested for recoverability. These deferred acquisition costs are presented in the carrying amount of the related portfolio of contracts and are derecognised once the related contracts have been recognised.

Income and expenses from reinsurance contracts other than insurance finance income and expenses are now presented as a single net amount in profit or loss. Previously, amounts recovered from reinsurers and reinsurance expenses were presented separately.

Notes (continued)

2 Summary of material accounting policies (continued)

(z) Insurance contracts (continued)

ii) Transition

Changes in accounting policies resulting from the adoption of IFRS 17 have been applied using a full retrospective approach to the extent practicable. Under the full retrospective approach, at 1 January 2022 the company:

identified, recognised and measured each group of insurance and reinsurance contracts as if IFRS 17 had always been applied;

- Identified, recognised and measured any assets for insurance acquisition cash flows as if IFRS 17 had always been applied;
- derecognised previously reported balances that would not have existed if IFRS 17 had always been applied. These included some deferred acquisition costs for insurance contracts, insurance receivables and payables, and provisions for levies that are attributable to existing insurance contracts. Under IFRS 17, they are included in the measurement of the insurance contracts; and
- recognised any resulting net difference in equity.

The company having commenced business in January 2022 only has transition impact effective 1 January 2022.

iii) Classification

Contracts under which the company accepts significant insurance risk are classified as insurance contracts. Contracts held by the company under which it transfers significant insurance risk related to underlying insurance contracts are classified as reinsurance contracts. Insurance and reinsurance contracts also expose the company to financial risk.

Insurance contracts may be issued, and reinsurance contracts may be initiated by the company, or they may be acquired in a business combination or in a transfer of contracts that do not form a business. All references in these accounting policies to 'insurance contracts' and 'reinsurance contracts' include contracts issued, initiated or acquired by the company, unless otherwise stated.

Some contracts entered into by the company have the legal form of insurance contracts but do not transfer significant insurance risk. These contracts are classified as financial liabilities and are referred to as 'investment contracts'.

Insurance contracts are classified as direct participating contracts or contracts without direct participation features. Direct participating contracts are contracts for which, at inception:

- the contractual terms specify that the policyholder participates in a share of a clearly identified pool of underlying items;
- the company expects to pay to the policyholder an amount equal to a substantial share of the fair value returns on the underlying items; and
- the company expects a substantial proportion of any change in the amounts to be paid to the policyholder to vary with the change in fair value of the underlying items.

All other insurance contracts and all reinsurance contracts are classified as contracts without direct participation features. Some of these contracts are measured under the PAA.

Notes (continued)

2 Summary of material accounting policies (continued)

(z) Insurance contracts (continued)

iv) Measurement

On initial recognition, the company measures a group of insurance contracts as the total of:

(a) the fulfilment cash flows, which comprise estimates of future cash flows, adjusted to reflect the time value of money and the associated financial risks, and a risk adjustment for non-financial risk; and

(b) the CSM. The fulfilment cash flows of a group of insurance contracts do not reflect the company's non-performance risk.

The risk adjustment for non-financial risk for a group of insurance contracts, determined separately from the other estimates, is the compensation required for bearing uncertainty about the amount and timing of the cash flows that arises from non-financial risk.

The CSM of a group of insurance contracts represents the unearned profit that the company will recognise as it provides services under those contracts. On initial recognition of a group of insurance contracts, if the total of (a) the fulfilment cash flows, (b) any cash flows arising at that date and (c) any amount arising from the derecognition of any assets or liabilities previously recognised for cash flows related to the company (including assets for insurance acquisition cash flows under (iii)) is a net inflow, then the group is not onerous. In this case, the CSM is measured as the equal and opposite amount of the net inflow, which results in no income or expenses arising on initial recognition.

For groups of contracts acquired in a transfer of contracts or a business combination, the consideration received for the contracts is included in the fulfilment cash flows as a proxy for the premiums received at the date of acquisition. In a business combination, the consideration received is the fair value of the contracts at that date.

A loss component is created to depict the amount of the net cash outflow, which determines the amounts that are subsequently presented in profit or loss as reversals of losses on onerous contracts and are excluded from insurance revenue

(v) Presentation

Portfolios of insurance contracts that are assets and those that are liabilities, and portfolios of reinsurance contracts that are assets and those that are liabilities, are presented separately in the statement of financial position. Any assets or liabilities recognised for cash flows arising before the recognition of the related group of contracts (including any assets for insurance acquisition cash flows under (iii)) are included in the carrying amount of the related portfolios of contracts.

The Company disaggregates amounts recognised in the statement of profit or loss and OCI into an insurance service result, comprising insurance revenue and insurance service expenses; and insurance finance income or expenses.

Income and expenses from reinsurance contracts are presented separately from income and expenses from insurance contracts. Income and expenses from reinsurance contracts, other than insurance finance income or expenses, are presented on a net basis as 'net expenses from reinsurance contracts' in the insurance service result.

Notes (continued)

2 Summary of material accounting policies (continued)

(z) Insurance contracts (continued)

(v) Presentation (continued)

Insurance revenue and insurance service expenses exclude any investment components and are recognised as follows:

Insurance revenue – Contracts not measured under the PAA

The company recognises insurance revenue as it satisfies its performance obligations – i.e. as it provides services under groups of insurance contracts. For contracts not measured under the PAA, the insurance revenue relating to services provided for each year represents the total of the changes in the liability for remaining coverage that relate to services for which the Group expects to receive consideration, and comprises the following items.

- A release of the CSM, measured based on coverage units provided.
- Changes in the risk adjustment for non-financial risk relating to current services.
- Claims and other insurance service expenses incurred in the year, generally measured at the amounts expected at the beginning of the year. This includes amounts arising from the derecognition of any assets for cash flows other than insurance acquisition cash flows at the date of initial recognition of a group of contracts which are recognised as insurance revenue and insurance service expenses at that date.
- Other amounts, including experience adjustments for premium receipts for current or past services for the life risk segment and amounts related to incurred policyholder tax expenses for the participating segment.

Insurance revenue – Contracts measured under the PAA

For contracts measured under the PAA, the insurance revenue for each period is the amount of expected premium receipts for providing services in the period. The company allocates the expected premium receipts to each period on the following bases:

- certain property contracts;
- the expected timing of incurred insurance service expenses;
- and other contracts: the passage of time.

Notes (continued)

3 Critical accounting estimates and assumptions

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including experience of future events that are believed to be reasonable under the circumstances.

Critical accounting estimates and assumptions

The Group makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below.

(a) Measurement of expected credit loss allowance

The measurement of expected credit loss allowance for financial assets measured at amortised cost and FVOCI is an area that requires the use of complex models and significant assumptions about future economic conditions and credit behaviour (e.g. the likelihood of customers defaulting and the resulting losses).

A number of significant judgements are also required in applying the accounting requirements for measuring ECL, such as:

- Determining the criteria for significant increase in credit risk;
- Choosing appropriate models and assumptions for the measurement of ECL;
- Establishing the number and relative weightings for a forward-looking scenarios for each type of product / market and associated ECL;
- Establishing groups of similar assets for the purposes of measuring ECL; and
- Determining LGDs of individually assessed loan accounts.

The expected credit loss allowance on loans and advances is disclosed in more detail in Notes 13 and 22 (b).

(b) Uncertain tax positions

Significant judgment is required in determining the Group's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred income tax provisions in the period in which such determination is made.

(c) Fair value of financial instruments

Fair value is the price that would be received to sell an asset or paid to transfer a liability in orderly transaction between market participants at the measurement date.

All financial instruments are initially recognized at fair value, which is normally the transaction price. Subsequent to initial recognition, some of the Group's financial instruments are carried at fair value. The fair values of quoted financial instruments in active markets are based on current prices with no subjective judgments. If the market for a financial instrument does not exist or is not active including for unlisted securities, the Group establishes fair value by using valuation techniques.

These include the use of recent arm's length transactions, discounted cash flow analysis, option pricing models and other valuation techniques commonly used by market participants. Where representative prices are unreliable because of illiquid markets, the determination of fair value may require estimation of certain parameters, which are calibrated against industry standards and observable market data, or the use of valuation models that are based on observable market data.

The fair value for the majority of the Group's financial instruments is based on observable market prices or derived from observable market parameters. Changes in assumptions about these factors could affect the reported fair value of financial instruments.

Notes (continued)

3 Critical accounting estimates and assumptions (continued)

d) Income taxes

Significant estimates are required in determining the provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. Where the final tax outcome is different from the amounts that were initially recorded, such differences will impact the income tax balances and deferred tax provisions in the period in which such determination is made.

e) Retirement benefits

The cost of the defined benefit pension plan is determined using actuarial valuation. The actuarial valuation involves making assumptions about discount rates, expected rates of return on assets, future salary increases, mortality rates and future pension increases. Due to the long-term nature of these plans, such estimates are subject to significant uncertainty and a change in any of the assumptions will alter the carrying amount of pension obligations. The assumptions used in determining the net cost (income) for pensions include the discount rate. The Group determines the appropriate discount rate at the end of each year. This is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. In determining the appropriate discount rate, the Group considers the interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid and that have terms to maturity approximating the terms of the related pension liability. Other key assumptions for pension obligations are based in part on current market conditions.

f) Leases

The right of use is depreciated over the lease term considering the renewal option. The Group will renew the lease when it is reasonably certain that the lease location is still economically viable to conduct business. The Group will bear restoration costs upon relocation or end of lease where such is stipulated in the lease agreement.

Notes (continued)

4 (i) Financial risk management

(a) Introduction and overview

The Group and Company have exposure to the following risks from its financial instruments:

- credit risk
- liquidity risk
- market risk
- capital risk

This note presents information about the Group's and Company's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risk, and the Group's management of capital. There were no changes in the risk and capital management policies during the current financial year.

Risk management framework

The Board of Directors has overall responsibility for the establishment and oversight of the group's risk management framework. The Board has established the Board Risk Management Committee, which is responsible for developing and monitoring Group risk management policies in their specified areas. All Board committees have both executive and non-executive members and report regularly to the Board of Directors on their activities. The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions, products and services offered. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees understand their roles and obligations.

The Risk Management Committee is responsible for monitoring compliance with the Group's risk management policies and procedures, and for reviewing the adequacy of the risk management framework in relation to the risks faced by the Group. The Board Risk Management Committee is assisted in these functions by Risk Management Department. Internal Audit undertakes both regular and ad-hoc reviews of risk management controls and procedures, the results of which are reported to the Board Risk Management Committee.

(b) Credit risk

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises principally from the Group's loans and advances to customers and other banks, and investment securities. For risk management reporting purposes, the Group considers and consolidates all elements of credit risk exposure.

Management of credit risk

The Board of Directors has delegated responsibility for the management of credit risk to Group management through the Chief Executive Officer. Management has delegated this responsibility to head office and branch credit committees as prescribed in the Group's credit charter.

A separate Group Credit Committee, reporting to the Chief Executive Officer, is responsible for oversight of the Group's credit risk, including: *Formulating credit policies* in consultation with business units, covering collateral requirements, credit assessment, risk grading and reporting, documentary and legal procedures, and compliance with regulatory and statutory requirements.

Notes (continued)

4 Financial risk management (management)

(b) Credit risk (continued)

Management of credit risk (continued)

- *Establishing the authorisation structure* for the approval and renewal of credit facilities. Authorisation limits are allocated to head office and branch credit committees as stipulated in the Group's Credit Charter.
- *Reviewing and assessing credit risk* - The Group Credit Committee assesses all credit exposures in excess of designated limits, prior to facilities being committed to customers by the branch concerned. Renewals and reviews of facilities are subject to the same review process.
- *Limiting concentrations of exposure* to counterparties, geographies and industries (for loans and advances) and by issuer, credit rating band, market liquidity and country (for investment securities).
- *Developing and maintaining the Group's risk grading* in order to categorise exposures according to the degree of risk of financial loss faced and to focus management on the attendant risks. The risk grading system is used in determining where impairment provisions may be required against specific credit exposures. The current risk grading framework consists of five grades reflecting varying degrees of risk of default and the availability of collateral or other credit risk mitigation. The responsibility for setting risk grades lies with the final approving executive / committee as appropriate. Risk grades are subject to regular reviews by Group's credit risk department.
- *Reviewing compliance* of business units with agreed exposure limits, including those for selected industries, country risk and product types. Regular reports are provided to Group Credit department on the credit quality of local portfolios and appropriate corrective action is taken.
- *Providing advice, guidance and specialist skills* to branches to promote best practice throughout the Group in the management of credit risk.

Each branch is required to implement Group credit policies and procedures, with credit approval authorities delegated from the Group Credit committee. Each branch has a credit risk manager who reports on all credit related matters to local management who report to Group management and the Group Credit Committee. Each business unit is responsible for the quality and performance of its credit portfolio and for monitoring and controlling all credit risks in its portfolios, including those subject to central approval.

Regular audits of branches and Group credit processes are undertaken by internal audit.

Notes (continued)

4 Financial risk management (continued)

(b) Credit risk (continued)

The maximum exposure to credit risk for the components of the statement of financial position at 31 December is their carrying amount as illustrated in the tables below:

Group		2023		2022	
Credit exposures	Note	Shs' millions	%	Shs' millions	%
On – balance sheet items					
Balances and deposits due from financial institutions*	21	219,825	13%	203,928	15%
Derivative financial assets	38	96	0%	873	0%
Investment securities	23	500,542	31%	393,984	30%
Due from related parties	32(f)	141	0%	101	0%
Loans and advances to customers at amortised cost	22(a)	885,066	54%	705,169	53%
Loans and advances to customers at FVTPL	22(d)	2,314	0%	1,419	0%
Other assets**	24	26,941	2%	20,721	2%
		1,634,925		1,326,195	
Off-balance sheet items					
Guarantees and standby letters of credit	35	140,357		94,580	
Letters of credit, acceptances and other credits	35	113,133		82,248	
		253,490		176,828	
		1,888,415		1,503,023	
Company					
Credit exposures					
On – balance sheet items					
Balances and deposits due from financial institutions	21	20,337	93%	14,412	89%
Due from related parties	32 (f)	105	0%	3	0%
Other assets	24	1,502	7%	1,724	11%
		21,944		16,139	

*Balances and deposits due from financial institutions excludes cash at hand as disclosed under Note 21 (a) as this does not pose a credit risk. The credit risk on balances and deposits due from financial institutions, investment securities and derivative financial assets is limited as the counterparties are all recognised financial institutions with good reputation. None of the balances are past due or impaired and no collateral is held for these balances. ECL has been assessed using a 12 month ECL and is disclosed in Note 24.

Notes (continued)

4 Financial risk management (continued)

(b) Credit risk (continued)

**Other assets are made up of settlement and clearing accounts, refundable deposits and other receivable balances. Prepayments are excluded as they do not pose a credit risk. The balances are settled no more than 12 months after the reporting date. All the balances are non-interest bearing. None of the other assets and balances due from related parties are past due or impaired. No collateral is held for these assets. Management has established a related entity risk management framework including mandatory credit checks with counter parties. The arising ECL and remeasurement in the year is shown in Note 24.

Letters of credit, acceptances, guarantees and performance bonds are issued by the Group, on behalf of customers, to guarantee performance by customers to third parties. The Group will only be required to meet these obligations in the event of default by the customers. The off-balance sheet items have been assessed for impairment and resulting ECL booked as part of the total provisions held for loans and advances.

Exposure to credit risk – Loans and advances

	2023			
	Stage 1	Stage 2	Stage 3	Total
	12-month ECL	Lifetime ECL	Lifetime ECL	
	Shs' millions	Shs' millions	Shs' millions	Shs' millions
Amortised cost				
Individually and collectively impaired				
Grade 3: Substandard			24,301	24,301
Grade 4: Doubtful			56,398	56,398
Grade 5: Loss			26,419	26,419
Gross amount			107,118	107,118
Provision for impairment losses			(51,785)	(51,785)
Carrying amount			55,333	55,333
Individually and collectively impaired				
Grade 1: Normal	749,455	-	-	749,455
Grade 2: Watch	-	98,566	-	98,566
Gross amount	749,455	98,566	-	848,021
Provision for impairment losses	(8,854)	(9,434)	-	(18,288)
Carrying amount	740,601	89,132	-	829,733
Total carrying amount				885,066
Fair value through profit or loss				
Loan note				7,850
Fair value loss				(5,536)
Carrying amount				2,314
Total carrying amount				887,380

Notes (continued)

4 Financial risk management (continued)

(b) Credit risk (continued)

Exposure to credit risk – Loans and advances (continued)

	2022			
	Stage 1	Stage 2	Stage 3	Total
	12 month ECL	Lifetime ECL	Lifetime ECL	
	Shs' millions	Shs' millions	Shs' millions	Shs' millions
Amortised cost				
Individually and collectively impaired				
Grade 3: Substandard			13,309	13,309
Grade 4: Doubtful			30,892	30,892
Grade 5: Loss			14,464	14,464
Gross amount			58,665	58,665
Provision for impairment losses			(36,225)	(36,225)
Carrying amount			22,440	22,440
Individually and collectively impaired				
Grade 1: Normal	599,576	-	-	599,576
Grade 2: Watch	-	97,118	-	97,118
Gross amount				696,694
Provision for impairment losses	(6,446)	(7,519)	-	(13,965)
Carrying amount	593,130	89,599	-	682,729
Total carrying amount				705,169
Fair value through profit or loss				
Loan note				6,172
Fair value loss				(4,753)
Carrying amount				1,419
Total carrying amount				706,588

Grade 1 and grade 2 represent loans and advances that are not impaired. Grade 3, grade 4 and grade 5 refer to loans and advances that have been impaired in line with the Group's credit policy and internal model. These represent the loans and advances that the Group cannot collect according to contractual terms of the loan agreements.

Notes (continued)

4 Financial risk management (continued)

(b) Credit risk (continued)

Exposure to credit risk – Loans and advances (continued)

Impaired loans

Impaired loans are loans which the Group determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan agreements.

Past due but not impaired loans

These are loans where contractual interest or principal payments are past due but the Group believes that impairment is not appropriate on the basis of the stage of collection of amounts owed to the Group.

Allowances for impairment

The loss allowance recognised in the period is impacted by a variety of factors as follows:

- Transfers between Stages 1, 2 and 3 reflective of significant increases (or decreases) of credit risk or loans and advances becoming credit impaired in the period, and the consequent "step up" or "step down" between 12-month and lifetime ECL;
- Allowance for new financial instruments recognised during the period, as well as releases for financial instruments de-recognised in the period;
- Impact on the measurement of ECL due to changes in PDs, EADs and LGDs in the period, arising from regular refreshing of inputs to models;
- Impacts on the measurement of ECL due to changes made to models and assumptions; and
- Discount unwind within ECL due to the passage of time, as ECL is measured on a present value basis.

Write-off policy

The Group writes off a loan balance when the credit department determines that the loans are uncollectible. This determination is reached after considering information such as the occurrence of significant changes in the borrower's financial position such that the borrower can no longer pay the obligation or that proceeds from collateral have failed to cover the entire facility outstanding. For smaller balance standardised loans, write-off decisions are generally based on a product specific past due default history.

Collateral on loans and advances

The Group routinely obtains collateral and security to mitigate credit risk. The Group ensures that any collateral held is sufficiently liquid, legally effective, enforceable and regularly reassessed.

Before attaching value to collateral, the business holding approved collateral must ensure that they are legally perfected and devoid of any encumbrances. Security structures and legal covenants are subject to regular review, to ensure that they remain fit for purpose and remain consistent with accepted local market practice.

The principal collateral types held by the Group for loans and advances are:

- Mortgages over residential properties.
- Charges over business assets such as premises, inventory and accounts receivable.
- Charges over financial instruments such as debt securities and equities.

Valuation of collateral taken is within agreed parameters. The valuation is performed on origination, periodically in line with the Group policy and in the course of enforcement actions. Collateral for impaired loans is reviewed regularly to ensure that it is still enforceable and that the impairment allowance remains appropriate given the current valuation.

Notes (continued)

4 Financial risk management (continued)

(b) Credit risk (continued)

Collateral on loans and advances (continued)

The Group has considered all relevant factors, including local market conditions and practices, before any collateral is realized.

The collateral held by the Group against loans and advances is as below;

	2023 Shs' millions	Group 2022 Shs' millions
Property	638,106	637,822
Equities	184	113
Other*	113,466	107,831
Total	751,756	745,766

*Other includes log-books, cash cover, debentures and directors' guarantees.

The Group monitors concentration of credit risk by industry. An analysis of concentrations of credit risk at the reporting date is shown below:

	2023 Shs' millions	Group 2022 Shs' millions
Concentration by sector		
<i>Gross loans and advances (overall – amortised and fair value)</i>		
Trade	278,645	176,266
Personal household	235,177	179,572
Real estate	116,986	106,846
Tourism and Hospitality	75,534	22,755
Transport and logistics	48,324	49,882
Manufacturing	44,482	37,353
Building and construction	34,255	19,980
Mining & Quarrying	33,978	31,195
Energy and water	33,551	49,596
Food and agriculture	32,032	28,088
Financial services	20,837	52,274
ICT and Telecommunication	1,338	1,552
	955,139	755,359

Exposure to credit risk – investment securities

Investment securities comprise treasury bills and bonds held with various governments in the Group. No collateral is held for these assets. None of the other financial assets are either past due or impaired. The balances have been assessed for impairment using a 12 month ECL and the arising ECL is shown in Note 23.

Notes (continued)

4 Financial risk management (continued)

(c) Liquidity risk

The definition of liquidity risk is the risk that the Group is unable to meet its obligations as they fall due as a result of a sudden, and potentially protracted, increase in net cash outflows. Such outflows would deplete available cash resources for customer lending, trading activities and investments. These outflows could be principally through customer withdrawals, wholesale counterparties removing financing, collateral posting requirements or loan draw-downs. This risk is inherent in all banking operations and can be affected by a range of Group-specific and market-wide events which can result in: – an inability to support normal business activity; and – a failure to meet liquidity regulatory requirements.

During periods of market dislocation, the Group's ability to manage liquidity requirements may be impacted by a reduction in the availability of wholesale term funding as well as an increase in the cost of raising wholesale funds. Asset sales, balance sheet reductions and the increasing costs of raising funding will affect the earnings of the Group. In illiquid markets, the Group may decide to hold assets rather than securitising, syndicating or disposing of them. This could affect the Group's ability to originate new loans or support other customer transactions as both capital and liquidity are consumed by existing or legacy assets.

The efficient management of liquidity is essential to the Group in retaining the confidence of the financial markets and ensuring that the business is sustainable. Liquidity risk is managed through the Liquidity Risk Framework, which is designed to meet the following objectives:

- Maintain liquidity resources that are sufficient in amount and quality and a funding profile that is appropriate to meet the liquidity risk framework as expressed by the Board;
- maintain market confidence in the Group;
- set limits to control liquidity risk within and across lines of business;
- accurately price liquidity costs, benefits and risks and incorporate those into product pricing and performance measurement;
- set early warning indicators to identify immediately the emergence of increased liquidity risk or vulnerabilities including events that would impair access to liquidity resources;
- project fully over an appropriate set of time horizons cash flows arising from assets, liabilities and off-balance sheet items; and
- maintain a contingency funding plan ("CFP") that is comprehensive and proportionate to the nature, scale and complexity of the business and that is regularly tested to ensure that it is operationally robust.

Management of liquidity risk

The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

To limit this risk, management has arranged for diversified funding sources in addition to its core deposit base, and adopted a policy of managing assets with liquidity in mind and monitoring future cash flows and liquidity on a daily basis. The Group has developed internal control processes and contingency plans for managing liquidity risk.

This incorporates an assessment of expected cash flows and the availability of high grade collateral which could be used to secure additional funding if required. The Group maintains a portfolio of highly marketable and diverse assets that are assumed to be easily liquidated in the event of an unforeseen interruption in cash flow. The Group also has lines of credit that it can access to meet liquidity needs.

Notes (continued)

4 Financial risk management (continued)

(c) Liquidity risk (continued)

Management of liquidity risk (continued)

In accordance with the Group's policy, the liquidity position is assessed under a variety of scenarios, giving due consideration to stress factors relating to both the market in general and specifically to the Group. Net liquid assets consist of cash, short-term bank deposits and liquid debt securities available for immediate sale, less deposit for banks and borrowings due to mature within the next month.

The Group stresses the importance of current accounts and savings accounts as sources of funds to finance lending to customers. They are monitored using the advances to deposit ratio, which compares loans and advances to customers as a percentage of core customer current and savings accounts, together with term funding with a remaining term to maturity in excess of one year.

Treasury maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment securities, loans and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the Group as a whole. The daily liquidity position is monitored and regular liquidity stress testing is conducted under a variety of scenarios covering both normal and more severe market conditions. All liquidity policies and procedures are subject to review and approval by Board Risk Management Committee.

Exposure to liquidity risk

The key measure used by the Group for managing liquidity risk is the ratio of net liquid assets to deposits from customers.

Details of the reported Group ratios of net liquid assets to deposits at the reporting date and during the reporting period were as follows:

	Kenya	Uganda	South Sudan	Rwanda	Tanzania	DRC
At 31 December 2023						
At 31 December	67%	32%	138%	282%	34.3%	132%
Average for the year	58%	31%	135%	282%	33.7%	132%
Maximum for the year	67%	37%	157%	374%	38.5%	146%
Minimum for the year	45%	24%	102%	209%	29.3%	124%
Minimum statutory requirement	20%	20%	20%	100%	20%	100%
At 31 December 2022						
At 31 December	68%	29%	132%	289%	38%	143%
Average for the year	69%	30%	148%	274%	35%	151%
Maximum for the year	83%	37%	222%	411%	41%	176%
Minimum for the year	64%	24%	122%	193%	27%	140%
Minimum statutory requirement	20%	20%	20%	100%	20%	100%

Notes (continued)

4 Financial risk management (continued)

(c) Liquidity risk (continued)

Analysis of financial assets and liabilities by remaining contractual maturities

The table below summarises the maturity profile of the undiscounted cash flows of the Group's financial assets and liabilities as at 31 December.

Group 2023	Less than 3 months Shs' millions	3-6 months Shs' millions	6-12 months Shs' millions	1-5 years Shs' millions	More than 5 years Shs' millions	Totals Shs' millions
<i>Financial assets</i>						
Balances and deposits due from financial institutions	284,605	-	-	-	-	284,605
Loans and advances to customers	173,562	54,008	129,896	464,785	264,756	1,087,007
Investment securities	11,286	31,318	35,408	264,764	552,559	895,335
Derivative financial assets	96	-	-	-	-	96
Other assets	16,334	3,554	3,597	3,642	4,466	31,593
Due to related parties	141	-	-	-	-	141
Total financial assets	486,024	88,880	168,901	733,191	821,781	2,298,777
<i>Financial liabilities</i>						
Deposits from customers	788,845	67,496	125,881	398,522	672	1,381,416
Borrowed funds	7,860	2,151	15,932	120,961	5,254	152,158
Insurance contract liabilities	-	-	-	-	-	-
Other liabilities	8,558	596	1,507	9,980	2,183	22,824
Lease liabilities	18,206	8,551	8,902	11,533	8,497	55,689
Total financial liabilities	823,469	78,794	152,222	540,996	16,606	1,612,087
Liquidity gap at 31 December 2023	(337,445)	10,086	16,679	192,195	805,175	686,690
<i>Off-balance sheet items</i>						
Guarantees and standby letters of credit	21,256	15,028	59,601	28,734	-	124,619
Letters of credit, acceptances and other documentary credits	84,821	19,621	6,242	193	-	110,877
Capital commitments	53	57	9,046	321	-	9,477
Loans approved but not disbursed	4,487	1,766	83	184	-	6,520
Total commitments and guarantees	110,617	36,472	74,972	29,432	-	251,493

Notes (continued)

4 Financial risk management (continued)

(c) Liquidity risk (continued)

Group 2022	Less than 3 months Shs' millions	3-6 Months Shs' millions	6-12 months Shs' millions	1-5 years Shs' millions	More than 5 years Shs' millions	Totals Shs' millions
<i>Financial assets</i>						
Balances and deposits due from financial institutions	232,369	-	-	-	-	232,369
Loans and advances to customers	141,009	62,810	89,748	323,423	343,664	960,654
Investment securities	49,804	14,166	29,996	169,044	479,692	742,702
Derivative financial assets	873	-	-	-	-	873
Other assets	29,423	-	-	-	-	29,423
Due to related parties	101	-	-	-	-	101
Total financial assets	453,579	76,976	119,744	492,467	823,356	1,966,122
<i>Financial liabilities</i>						
Deposits from customers	522,845	72,459	91,287	370,143	599	1,057,333
Borrowed funds	50,693	2,211	5,558	94,911	16,579	169,952
Insurance contract liabilities	2,935	-	-	-	-	2,935
Other liabilities	18,043	-	-	-	-	18,043
Lease liabilities	4,711	5,728	6,465	10,568	6,796	34,268
Total financial liabilities	599,227	80,398	103,310	475,622	23,974	1,282,531
Liquidity gap at 31 December 2022	(145,648)	(3,422)	16,434	16,845	799,382	683,591
<i>Off-balance sheet items</i>						
Guarantees and standby letters of credit	25,436	12,052	26,289	30,804	-	94,581
Letters of credit, acceptances and other documentary credits	19,886	32,377	28,576	1,408	-	82,247
Capital commitments	17	-	5,336	-	-	5,353
Loans approved but not disbursed	3,226	174	27	131	-	3,558
Total commitments and guarantees	48,565	44,603	60,228	32,343	-	185,739

Notes (continued)

4 Financial risk management (continued)

(c) Liquidity risk (continued)

Company 2023	Less than 3 months Shs' millions	3-6 months Shs' millions	6-12 months Shs' millions	1-5 Years Shs' millions	Over 5 Years Shs' millions	Totals Shs' millions
Financial assets						
Balances and deposits due from financial institutions	20,335	-	-	-	-	20,335
Due from related parties	105	-	-	-	-	105
Other assets	1,502	-	-	-	-	1,502
Total financial assets	21,942	-	-	-	-	21,942
Financial liabilities						
Due to related parties	13,986	-	-	-	-	13,986
Borrowed funds	-	686	686	14,739	-	16,111
Other liabilities	96	-	-	-	-	96
Total financial liabilities	14,082	686	686	14,739	-	30,193
Liquidity gap at 31 December 2023	7,860	(686)	(686)	(14,739)	-	(8,251)
Company 2022						
Financial assets						
Balances and deposits due from financial institutions	14,410	-	-	-	-	14,410
Due from related party	3	-	-	-	-	3
Other assets	1,724	-	-	-	-	1,724
Total financial assets	16,137	-	-	-	-	16,137
Financial liabilities						
Due to related parties	547	-	-	-	-	547
Borrowed funds	-	396	396	7,945	3,892	12,629
Other liabilities	14	-	-	-	-	14
Total financial liabilities	561	396	396	7,945	3,892	13,190
Liquidity gap at 31 December 2022	15,576	(396)	(396)	(7,945)	(3,892)	2,947

Notes (continued)

4 Financial risk management (continued)

(d) Market risk

Market risk is the risk that changes in market prices, such as interest rates, equity prices, foreign exchange rates and credit spreads (not relating to changes in the obligor's / issuer's credit standing) will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

Market risk includes non-traded market risk which is the risk of the Group being exposed to interest rate risk arising from loans, deposits and similar instruments held for longer term strategic purposes rather than for the purpose of profiting from changes in interest rates. Non-trading portfolios also consist of foreign exchange and price risks arising from the Group's amortised and FVOCI financial assets.

Exposure to market risks – trading portfolios

Market Risk exposures arising from the trading book are managed by the Treasury department whilst those arising from the non-trading activities are managed through the ALM (Asset and Liability Management) and ICAAP processes.

Management of market risks

The objective of market risk measurement is to manage and control market risk exposures within acceptable limits while optimising the return on risk. The Group's Treasury is responsible for the development of detailed market risk management policies and for day-to-day implementation of those policies.

Furthermore, it includes the protection and enhancement of the statement of financial position and statement of profit or loss and other comprehensive income and facilitating business growth within a controlled and transparent risk management framework.

All foreign exchange risk within the Group is managed by the Treasury department. Accordingly, the foreign exchange position is treated as part of the Group's trading portfolios for risk management purposes (refer to note 35).

Overall authority for market risk management is vested in the Board Risk Management Committee. The Finance and Treasury departments in collaboration with the Risk Management department are responsible for the development of detailed market risk management policies (subject to review and approval by Board Risk Management Committee) and for the day-to-day review of their implementation.

Notes (continued)

4 Financial risk management (continued)

(d) Market risk (continued)

Market risk measurement techniques

(i) Value at risk

The Group applies a 'value at risk' (VAR) methodology to its foreign currency trading to estimate the market risk of positions held and the maximum losses expected, based upon a number of assumptions for various changes in market conditions. The Board sets limits on the value of risk that may be accepted for each banking subsidiary, which are monitored on a daily basis by the Treasury department of each banking subsidiary.

VAR is a statistically based estimate of the potential loss on the current portfolio from adverse market movements. It expresses the 'maximum' amount the banking subsidiary might lose, but only to a certain level of confidence (95%). There is therefore a specified statistical probability (5%) that actual loss could be greater than the VAR estimate. The VAR model assumes a certain 'holding period' until positions can be closed (1 day). It also assumes that market moves occurring over this holding period will follow a similar pattern to those that have occurred over 1-day periods in the past. The Group's assessment of past movements is based on data for the past five years. The use of this approach does not prevent losses outside of these limits in the event of more significant market movements.

As VAR constitutes an integral part of the Group's market risk control regime, VAR limits are established by the Board annually for all trading portfolio operations and allocated to business units. Actual exposure against limits is reviewed daily by the Treasury department of each banking subsidiary and centrally by Group Treasury. The result of the VAR testing in the year were within the acceptable thresholds.

(ii) Stress tests

The Group applies a 'stress test' methodology to its non-trading book. Interest rate risk in the non-trading book is measured through the use of interest rate repricing gap analysis. Stress tests provide an indication of the potential size of losses that could arise in extreme conditions. The results of the stress tests are reviewed by heads of business unit and by the Board. The stress testing is tailored to the business and typically uses scenario analysis. The Group's test results in the year were within the expected threshold. Management continue to monitor the stress levels especially in light of COVID-19 to ensure the Group's risk profile is robust.

Interest rate risk

The principal risk to which non-trading portfolios are exposed is the risk of loss from fluctuations in the future cash flows or fair values of financial instruments because of a change in market interest rates. Interest rate risk is managed principally through monitoring interest rate gaps and by having pre-approved limits for repricing bands. The Board Risk Management Committee is the monitoring body for compliance with these limits and is assisted by Treasury back office and Finance department in the day-to-day monitoring activities, while Risk Management department carries out regular reviews. A summary of the Group's interest rate gap position on non-trading portfolios is as follows:

Notes (continued)

4 Financial risk management (continued)

(d) Market risk (continued)

Interest rate risk (continued)

Financial assets and liabilities subject to interest rate fluctuations.

Included in the table below are financial assets and financial liabilities at carrying amount categorised by earlier of contractual repricing or maturity date.

	Carrying amount	Non- interest bearing	Less than 3 months	3-6 months	6-12 months	1-5 years	More than 5 years
31 December 2023	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions
Assets							
Balances and deposits due from financial institutions	289,253	6,949	282,304	-	-	-	-
Loans and advances to Customers	887,380	-	523,183	73,633	130,128	90,686	69,750
Investment securities	500,542	324	4,841	17,790	13,589	115,391	348,607
	1,677,175	7,273	810,328	91,423	143,717	206,077	418,357
Liabilities							
Deposits from customers	1,358,228	709,291	404,524	61,473	113,654	68,914	372
Borrowed funds	9,591	6,169	18	18	362	1,067	1,957
Lease Liabilities	150,595	-	2,431	2,649	14,566	128,237	2,712
Insurance liabilities	16,903	16,903	-	-	-	-	-
	1,535,317	732,363	406,973	64,140	128,582	198,218	5,041
Interest rate sensitivity gap	141,858	(725,090)	403,355	27,283	15,135	7,859	413,316

Notes (continued)

4 Financial risk management (continued)

(d) Market risks (continued)

Interest rate risk (continued)

	Carrying amount	Non- interest bearing	Less than 3 months	3-6 months	6-12 months	1-5 years	More than 5 years
31 December 2022	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions
<i>Assets</i>							
Balances and deposits due from financial institutions	232,369	203,411	28,958	-	-	-	-
Loans and advances to Customers	706,588	-	706,588	-	-	-	-
Investment securities	393,984	-	43,630	6,398	3,106	45,287	295,563
	1,332,941	203,411	779,176	6,398	3,106	45,287	295,563
<i>Liabilities</i>							
Deposits from customers	1,052,162	637,090	198,582	67,911	77,206	69,010	2,363
Borrowed funds	157,542	-	51,871	2,214	5,454	85,366	12,637
Lease Liabilities	9,127	1,406	546	448	950	4,169	1,608
Insurance liabilities	2,935	2,935	-	-	-	-	-
	1,221,766	641,431	250,999	70,573	83,610	158,545	16,608
Interest rate sensitivity gap	111,175	(438,020)	528,177	(64,175)	(80,504)	(113,258)	278,955

The Group closely monitors interest rate movements and seeks to limit its exposure by managing the interest rate and maturity structure of assets and liabilities carried on the statement of financial position. Assets and Liabilities Committee (ALCO) monitors compliance with the set interest rate gaps.

Notes (continued)

4 Financial risk management (continued)

(d) Market risks (continued)

Company interest rate risk

	Carrying amount Shs' millions	Less than 3 Months Shs' millions	1 - 5 Years Shs' millions	More than 5 Years Shs' millions
31 December 2023				
Assets				
Cash and cash equivalents	20,335	20,335	-	-
Liabilities				
Borrowed funds	(16,111)	-	(16,111)	-
Interest rate sensitivity gap	4,224	20,335	(16,111)	-
31 December 2022				
Assets				
Cash and cash equivalents	14,410	14,410	-	-
Liabilities				
Borrowed funds	(12,629)	-	(12,629)	-
Interest rate sensitivity gap	1,781	14,410	(12,629)	-

During the year, a 5% increase / decrease (2022: 5%) of the annual interest rate would have the following effect on profit or loss and equity:

	Sensitivity	Group impact on profit or loss Shs' millions	Company impact on profit or loss Shs' millions	Group impact on equity Shs' millions	Company impact on equity Shs' millions
2023	+/-5%	+/- 2,594	+/- 598	+/- 1,816	+/- 419
2022	+/-5%	+/- 5,559	+/- 89	+/- 3,891	+/- 62

Exposure to other market risks – non-trading portfolios

Credit spread risk (not relating to changes in the obligor / issuer's credit standing) on debt securities held by Treasury and price risk is subject to regular monitoring by Board Risk Management Committee. Currently, the exposure to other market risks on non-trading portfolio is not significant in relation to the overall results and financial position of the Group.

Foreign currency exposure

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate due to changes in foreign exchange rates. The Board of directors has set limits on foreign currency positions. The foreign currency positions are monitored on daily basis and strategies used to ensure that positions are maintained within the established limits. The amounts below summarize the foreign currency exposure position as at 31 December.

Notes (continued)

4 Financial risk management (continued)

(d) Market risks (continued)

Group	US\$ Shs' millions	GBP Shs' millions	Euro Shs' millions	Others Shs' millions	Total Shs' millions
31 December 2023					
Cash and cash equivalents	117,157	892	9,390	95,210	222,649
Loans and advances to customers	460,431	53	1,921	64,633	527,038
Investment securities	178,701	-	-	49,720	228,421
Other assets	52,226	699	728	14,619	68,272
Total assets	808,515	1,644	12,039	224,182	1,046,380
Customer deposits	547,977	881	10,995	52,951	612,804
Borrowed funds	155,717	452	199	88,951	245,319
Other liabilities	142,856	34	610	27,000	170,500
Total liabilities	846,550	1,367	11,804	168,902	1,028,623
Net financial position	(38,035)	277	235	55,280	17,757
31 December 2022					
Cash and cash equivalents	12,773	277	4,644	79,176	96,870
Loans and advances to customers	372,371	75	2,328	52,092	426,866
Investment securities	142,296	-	5	29,754	172,055
Other assets	31,598	104	1,681	13,916	47,299
Total assets	559,038	456	8,658	174,938	743,090
Customer deposits	339,821	-	8,718	126,012	474,551
Borrowed funds	133,715	-	-	2,398	136,113
Other liabilities	103,067	32	181	19,989	123,269
Total liabilities	576,603	32	8,899	148,399	733,933
Net financial position	(17,565)	424	(241)	26,539	9,157

Notes (continued)

4 Financial risk management (continued)

(d) Market risks (continued)

Foreign currency exposure (continued)

Company	2023		2022	
	US\$ Shs' millions	Total Shs' millions	US\$ Shs' millions	Total Shs' millions
Assets				
Cash and cash equivalents	2,159	2,159	4	4
Liabilities				
Borrowed funds	16,111	16,111	12,629	12,629
Net financial position	(13,952)	(13,952)	(12,625)	(12,625)

Group		Effect on profit before income tax	Effect on equity
		Shs' millions	Shs' millions
	Changes in EUR		
2023	+/-3%	+/-9.5	+/-6.4
2022	+/-3%	+/-11	+/-8
	Changes in US\$		
2023	+/-9%	+/-1,370	+/-1,440
2022	+/-9%	+/-1,581	+/-1,107
	Changes in GBP		
2023	+/-3%	+/-5.2	+/-4.0
2022	+/-3%	+/-7	+/-5
Company			
	Changes in US\$		
2023	+/-9%	-/+1,981	-/+1,087
2022	+/-9%	-/+1,136	-/+795

The analysis calculates the effect of a reasonably possible movement of the currency rate against other currencies profit or loss and equity. A negative amount in the table reflects a potential net reduction in profit or equity, while a positive amount reflects a net potential increase.

Notes (continued)

4 Financial risk management (continued)

(e) Capital management

Capital risk is the risk that the Group is unable to maintain adequate levels of capital which could lead to an inability to support business activity or to meet regulatory requirements. Changes to credit ratings, could result in increased costs or reduced capacity to raise funding.

The primary objectives of the Group's capital management policy are to ensure that the Group complies with externally imposed capital requirements and maintains strong credit ratings and healthy capital ratios in order to support its business and to maximise shareholder value. This is done by the Board of Directors. The Group Board manages its capital structure and makes adjustments according to changes in economic conditions and the risk characteristics of its activities. In order to maintain or adjust the capital structure, the Group Board may adjust the amount of dividend payment to shareholders, return capital to shareholders or issue capital securities. Primary objectives and core practices are:

- Provide a viable and sustainable business offering by maintaining adequate capital to cover the Group's current and forecast business needs and associated risks;
- Meet minimum regulatory requirements;
- Ensure the Group maintains adequate capital to withstand the impact of the risks that may arise under the stressed conditions;
- Perform internal and regulatory stress tests;
- Maintain capital buffers over regulatory minimum;
- Develop contingency plans for severe (stress management actions) to support the Group's and Company's growth and strategic options; and
- Maintain a capital plan on a short-term and medium-term basis aligned with strategic objectives.

We adopt a forward-looking, risk-based approach to capital risk management. Capital demand and supply is actively managed taking into account the regulatory, economic and commercial environment in which Group operates.

The Group's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholders' return is also recognised, and the Group and the Company recognises the need to maintain a balance between the higher returns that might be possible with higher leverage and the advantages and security afforded by a sound capital position.

Insurance entities in Kenya are governed by the Insurance Act and as such are subject to insurance solvency regulations which specify the minimum amount and type of capital that must be held. The Company manages capital in accordance with these rules.

The Group insurance subsidiaries have complied with the regulatory risk-based capital requirements. Capital adequacy is monitored regularly by the Company's Management and submitted quarterly to the Insurance Regulatory Authority. The capital structure of the Company consists of issued capital, share premium and retained earnings.

The Group has complied with all externally imposed capital requirements throughout the year .

Notes (continued)

4 Financial risk management (continued)

(e) Capital management

The regulatory capital position at 31 December was as follows:

Shs 'millions	EBKL	Equity BCDC	EBTL	EBUL	EBRPLC	EBSSL
31 December 2023						
Risk Weighted Assets	892,999	398,690	36,855	95,280	88,458	4,298
Core Capital	127,817	44,032	5,994	17,741	16,363	5,047
Total Capital	168,690	49,952	5,994	18,620	17,365	5,047
Deposits	772,742	504,566	46,840	123,450	96,999	14,946
Core capital / TRWA	14.31%	11.04%	16.26%	18.62%	18.50%	117.43%
Statutory minimum	10.50%	7.50%	12.50%	10.00%	10.00%	8.00%
Excess	3.81%	3.54%	3.76%	8.62%	8.50%	109.43%
Total capital / TRWA	18.89%	12.53%	16.26%	19.54%	19.63%	117.43%
Statutory minimum	14.50%	10.00%	14.50%	12.00%	15.00%	8.00%
Excess	4.39%	2.53%	1.76%	7.54%	4.63%	109.43%
Core capital / deposits	16.54%	8.73%	12.80%	14.37%	16.87%	33.77%
Statutory minimum	8.00%	8.00%	8.00%	10.00%	8.00%	12.00%
Excess	8.54%	0.73%	4.80%	4.37%	8.87%	21.77%
31 December 2022						
Risk Weighted Assets	764,664	269,317	26,257	67,336	43,390	2,736
Core Capital	121,034	31,671	4,552	11,516	7,231	3,697
Total Capital	158,267	36,218	4,552	12,927	7,231	3,697
Deposits	647,371	367,673	34,320	91,433	50,752	11,997
Core capital / TRWA	15.83%	11.76%	17.34%	17.10%	16.67%	135.12%
Statutory minimum	10.50%	7.50%	12.50%	10.00%	10.00%	8.00%
Excess	5.33%	4.26%	4.84%	7.10%	6.67%	127.12%
Total capital / TRWA	20.70%	13.45%	17.34%	19.20%	16.67%	135.12%
Statutory minimum	14.50%	10.00%	14.50%	12.00%	15.00%	8.00%
Excess	6.20%	3.45%	2.84%	7.20%	1.67%	127.12%
Core capital / deposits	18.70%	8.61%	13.26%	12.60%	14.25%	30.82%
Statutory minimum	8.00%	8.00%	8.00%	10.00%	8.00%	12.00%
Excess	10.70%	0.61%	5.26%	2.60%	6.25%	18.82%

Notes (continued)

4 Financial risk management (continued)

(e) Capital management

	ELAK 2023	ELAK 2022
Capital adequacy ratio	182.0%	122.0%
Minimum statutory requirement	100.0%	100.0%
Excess	82.0%	22.0%
	Group 2023 Shs' millions	2022 Shs' millions
Total risk-weighted assets	1,541,117	1,134,400
<i>Capital ratios</i>		
Total regulatory capital expressed as a percentage of total risk-weighted assets	18.1%	22.5%
Total tier 1 capital expressed as a percentage of risk-weighted assets	14.3%	18.0%

f) Managing Insurance risk

The risk under any one insurance contract is the possibility that the insured event occurs and the uncertainty of the amount of the resulting claim. By the very nature of an insurance contract, this risk is random and therefore unpredictable.

For a portfolio of insurance contracts where the theory of probability is applied to pricing and provisioning, the principal risk that the Group faces under its insurance contracts is that the actual claims and benefit payments exceed the carrying amount of the insurance liabilities. This could occur because the frequency of severity of claims and benefits are greater than estimated. Insurance events are random, and the actual number and number of claims and benefits will vary from year to year from the level established using statistical techniques.

Experience shows that the larger the portfolio of similar insurance contracts, the smaller the relative variability about the expected outcome will be. In addition, a more diversified portfolio is likely to be affected across the board by a change in any subset of the portfolio. The Group has developed its insurance underwriting strategy to diversify the type of insurance risk accepted and within each of these categories to achieve a sufficiently large population of risks to reduce the variability of the expected outcome.

Factors that aggravate insurance risk include lack of risk diversification in terms of type and amount of risk, geographical location and type of industry covered.

Notes (continued)

4 Financial risk management (continued)

f) Managing Insurance risk (continued)

(i) Frequency and severity of claims

For contracts where death is the insured risk, the most significant factors that could increase the overall frequency of claims are epidemics or widespread changes in lifestyle, such as dietary, smoking, exercise habits resulting in earlier or more claims than expected. For contracts where survival is the insured risk, the most significant factor is continued improvement in medical science and social conditions that would increase longevity.

These risks are monitored closely, and reinsurance arrangements are in place to protect the impact of severity of claims and frequency from one event. There is an underwriting policy in place which is strictly followed.

The underwriting strategy adopted is intended to ensure that the risks underwritten are well diversified in terms of type of risk and level of insured benefits. Medical selection is also included in underwriting procedures with premiums varied to reflect the health condition and family medical history of the insured. The Group has retention limit for standard risks (from a medical point of view). The Group has a reinsurance arrangement to cover risks above its retention limit. Insurance risk for contracts disclosed in this note is also affected by policyholder's right to pay reduced premiums or no future premiums or terminate the contract completely.

(ii) Sources of uncertainty in the estimation of future claim payments

Uncertainty in the estimation of future benefit payments and premium receipts for long term insurance contracts arises from the unpredictability of long-term changes in overall levels of mortality and the variability in contract holder behaviour.

The Group uses appropriate base tables of standard mortality according to the type of contract being written.

The process and assumptions for long-term contracts to determine liabilities are decided by the appointed actuary and are contained in the Statutory Actuarial Valuation Report as at 31 December 2022. The actuarial method and basis used are those set out in the Insurance Act.

(iii) Reinsurance

Reinsurance is used to manage insurance risk. This does not however discharge the Company's liability as primary insurer. If a reinsurer fails to pay a claim for any reason, the Company remains liable for the payment to the policyholder. The creditworthiness of reinsurers is considered on an annual basis by reviewing their financial strength prior to finalisation of any contract.

Notes (continued)

5 Financial assets and liabilities

The fair value of financial instruments is included at the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date, or in its absence, the most advantageous market to which the Group has access at that date. The fair value of a liability reflects its non-performance risk. Non-performance risk refers to the risk that the obligation will not be fulfilled and affects the value at which the liability is transferred. The fair value of cash and cash equivalents, loans and advances, customer deposits and borrowed funds are evaluated by the Group based on parameters such as interest rates, specific country factors and individual creditworthiness of the customer. The valuation is performed on a discounted cash flow basis. Based on this evaluation, allowances are taken to account for the expected losses of the receivables.

Valuation methods and assumptions

The following methods and assumptions were used to estimate the fair values. The fair values of the quoted notes and bonds are based on price quotations at the reporting date. The fair values of loans and advances, borrowed funds and other financial liabilities, are estimated by discounting future cash flows using rates currently available for debt on similar terms, credit risk and remaining maturities.

The fair values of remaining FVOCI financial assets are derived from quoted market prices in active markets. There have been no transfers between Level 1 and Level 2 during the year ended 31 December 2023 (2022: Nil).

The table below shows certain financial assets and financial liabilities that have been measured at either fair value, or for which fair value has been disclosed in the financial statements, analysed by the level of valuation method.

Level 2	Valuation Technique	Significant observable input	Range (Weighted average)	
			2023	2022
FVOCI investment securities	Fair value at closing rate	Quoted yields	12%-18%	9.5%-15%
Amortised cost investment securities	Fair value at closing rate	Quoted yields	10%-14%	9%-13%
FVTPL investment securities	Fair value at closing rate	Quoted yields	10%-14%	6%-10.5%
Level 3				
Currency swaps and forwards	Forward pricing model	Interest curve	2% - 5%	2% - 5%
Loans note at FVTPL	Discounted cash flow	Expected cashflows	3%	3%
Deposits from customers-fixed deposits	Discounted cash flow	Fixed rate and period	2.5%-17%	2%-11%
Borrowed funds	Discounted cash flow	Expected cashflows	4%-11%	4%-11%

* The Group holds a loan note that contains an embedded derivative and has therefore been measured at fair value through profit or loss. For this, the fair value is composed of two key cashflow components, being the interest receivable on the mandatorily convertible component of the loan note and valuation of the shares upon whose sale the principal debt amount will be realised. Any shortfall from the above cashflow streams is covered, albeit partially, by a government guarantee.

In valuing the hybrid instrument, management has only considered the Government guarantee and interest receivable as there is significant uncertainty in relation to the future recovery of amounts from sale of shares. In particular, the original borrower company is loss making, is in a significant shareholders' deficit position and has been significantly adversely.

Notes (continued)

5 Financial assets and liabilities (continued)

Valuation methods (continued)

Fair value measurement hierarchy

Group	Level 1 Shs' millions	Level 2 Shs' millions	Level 3 Shs' millions	Total Shs' millions
At 31 December 2023				
Financial assets fair value disclosures:				
Investment securities – FVOCI (Note 23)	463,189	-	-	463,189
Loan note at FVTPL (Note 22 (a))	-	-	2,314	2,314
Derivative financial assets (Note 38)	-	96	-	96
Investment securities – FVTPL (Note 23)	12,570	-	-	12,570
Total financial assets at fair value	475,759	96	2,314	478,169
At 31 December 2022				
Financial assets fair value disclosures				
Investment securities – FVOCI (Note 23)	363,071	-	-	363,071
Loan note at FVTPL (Note 22 (a))	-	-	1,419	1,419
Derivative financial assets (Note 38)	-	873	-	873
Investment securities – FVTPL (Note 23)	5,456	-	-	5,456
Total financial assets at fair value	368,527	873	1,419	370,819

The movement in the loan note at FVTPL is attributable to exchange and fair value changes.

The following summarises the carrying amount of those assets and liabilities not held at fair value. Except for amortised cost investment securities, the carrying amount of assets and liabilities held at amortised cost is considered to approximate their fair value where they have short tenor or, for long term facilities, earn/accrue interest at market rate.

Notes (continued)

5 Financial assets and liabilities (continued)

Fair value measurement hierarchy

Group	Carrying amount Shs' millions	Fair value Shs' millions	Level 1 Shs' millions	Level 2 Shs' million	Level 3 Shs' millions
At 31 December 2023					
Cash balances and deposits in financial institutions (Note 21 (a))	289,253	289,253	-	-	289,253
Investment securities – amortised cost (Note 23)	40,680	22,766	-	22,766	-
Loans and advances at amortised cost (Note 22)	885,066	885,621	-	-	885,621
Due from related parties (Note 32)	141	141	-	-	141
Other assets (Note 24)	24,429	24,429	-	-	24,429
Total financial assets	1,239,569	1,222,210	-	22,766	1,199,444
Deposits from customers (Note 27)	1,358,228	1,358,228	-	-	1,358,228
Borrowed funds (Note 29)	150,595	150,595	-	-	150,595
Lease liabilities (Note 16(c))	9,591	9,591	-	-	9,591
Other liabilities (Note 28)	57,857	57,857	-	-	57,857
Total financial liabilities	1,576,271	1,576,271	-	-	1,576,271
At 31 December 2022					
Cash balances and deposits in financial institutions (Note 21 (a))	232,369	232,369	-	-	232,369
Investment securities – amortised cost (Note 23)	22,894	14,257	-	14,257	-
Due from related parties (Note 32)	101	101	-	-	101
Loans and advances at amortised cost (Note 22)	705,168	705,168	-	-	705,168
Other assets (Note 24)	22,437	22,437	-	-	22,437
Total financial assets	982,969	974,332	-	14,257	960,075
Deposits from customers (Note 27)	1,052,162	1,052,162	-	-	1,052,162
Borrowed funds (Note 29)	157,542	157,542	-	-	157,542
Lease Liabilities (Note 16(c))	9,127	9,127	-	-	9,127
Other liabilities (Note 28)	37,705	37,705	-	-	37,705
Total liabilities	1,256,536	1,256,536	-	-	1,256,536

Notes (continued)

5 Financial assets and liabilities (continued)

Company	Carrying amount Shs' millions	Fair value Shs' millions	Level 1 Shs' millions	Level 2 Shs' million	Level 3 Shs' millions
At 31 December 2023					
Cash balances and deposits in financial institutions (Note 21(a))	20,335	20,335	-	-	20,335
Due from related parties (Note 32)	105	105	-	-	105
Other assets (Note 24)	1,502	1,502	-	-	1,502
Total financial assets	21,942	21,942	-	-	21,942
Borrowed funds (Note 29)	16,111	16,111	-	-	16,111
Due to related parties (Note 32)	13,986	13,986	-	-	13,986
Other liabilities (Note 28)	96	96	-	-	96
Total liabilities	30,193	30,193	-	-	30,193
At 31 December 2023					
Cash balances and deposits in financial institutions (Note 21(a))	14,410	14,410	-	-	14,410
Due from related parties (Note 32)	3	3	-	-	3
Other assets (Note 24)	1,724	1,724	-	-	1,724
Total financial assets	16,137	16,137	-	-	16,137
Borrowed funds (Note 29)	12,629	12,629	-	-	12,629
Due to related parties (Note 32)	547	547	-	-	547
Other liabilities (Note 28)	14	14	-	-	14
Total liabilities	13,190	13,190	-	-	13,190

Notes (continued)

6 Interest income

	Group		Company	
	2023	2022	2023	2022
	Shs' millions	Shs' millions	Shs' millions	Shs' millions
Interest income				
Loans and advances to customers	102,263	78,577	-	-
Cash and cash equivalents	2,325	1,186	782	702
Credit related fees	8,222	8,705	-	-
Investment securities at amortised cost	12,351	3,702	-	-
Investment securities at FVOCI	39,053	36,358	-	-
	164,214	128,528	782	702
Interest expense				
Deposits from banks	(4,396)	(1,714)	-	-
Deposits from customers	(33,442)	(22,397)	-	-
Borrowed funds (Note 29)	(12,512)	(8,712)	(1,427)	(814)
Lease liabilities (Note 16)	(841)	(812)	-	-
	(51,191)	(33,635)	(1,427)	(814)
Net interest income	113,023	94,893	(645)	(112)

Included within the Group interest income is Shs 3,507 million (2022: Shs 1,296 million) in respect of credit -impaired financial assets.

7 Net fee and commission income

	Group	
	2023	2022
	Shs' millions	Shs' millions
(a) Fee and commission income		
<i>Recognised at a point in time</i>		
Service fees and commission	40,590	27,860
Custodial fee income	231	267
	40,821	28,127
(b) Fee and commission expense		
Fee and commission expense	(11,876)	(8,477)
Net fee and commission income	28,945	19,650

The service fees largely relate to fees earned from transactions with customers and commissions earned on facilitation of remittances.

Notes (continued)

8 Net foreign exchange income

	Group 2023 Shs' millions	2022 Shs' millions
Net foreign exchange gain	17,356	12,970

9 Insurance revenue

Insurance revenue measured under PAA	1,657	569
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10 Insurance service expense

Incurring claims	334	241
Other directly attributable expenses	309	22
Changes that relate to past service -adjustments to the liability for incurred claims	366	17
Amortisation of insurance acquisition cash flows	125	8
Insurance expenses measured under PAA	1,134	288

11 Other operating income/ (expenses)

	Group 2023 Shs' millions	2022 Shs' millions	Company 2023 Shs' millions	2022 Shs' millions
Realised gain on investment securities	1,035	1,524	-	-
Profit on disposal of property and equipment	18	25	-	-
Rental income	375	318	-	-
Insurance brokerage income	45	1,019	-	-
Re-insurance commission	-	120	-	-
Other income/(expenses)*	6,874	3,945	(2,908)	(549)
	8,347	6,951	(2,908)	(549)

*Other income includes unrealised foreign exchange gain on monetary assets and liabilities as well as fee income from government social payments and other programmes.

12 Depreciation and amortisation

	Group 2023 Shs' millions	2022 Shs' millions
Depreciation on property and equipment (Note 16 (a))	3,491	3,381
Depreciation of right-of-use assets (Note 16 (b))	2,019	1,910
Amortisation of intangible assets - Software (Note 17 (a))	1,811	2,080
	7,321	7,371

Notes (continued)

13 Credit impairment losses

		2023	Group	2022
	Notes	Shs' millions	Shs' millions	Shs' millions
Movements during the year:				
Increase in other assets	24	8		69
Increase in money market	19 (a)	8		59
Increase in investment securities	23	222		14
Loans and advances:				
Increase in Stage 1	22 (b)	2,425		1,762
Decrease in Stage 2	22 (b)	(357)		(259)
Increase in Stage 3	22 (b)	33,284		13,406
Net increase in impairment losses		35,590		15,051
Loan recoveries		(2,636)		(1,699)
		32,954		13,352

14 Employee benefits

	2023	Group	Company	2022
	Shs' millions	Shs' millions	Shs' millions	Shs' millions
Salaries and other staff costs	29,970	23,118	26	93
Defined contribution plans	1,779	1,508	-	-
Defined benefit plans (Note 30)	262	151	-	-
	32,011	24,777	26	93

The average number of permanent staff in the Group for the year was 13,102 (2022: 9,028).

15 Lease expenses

	Group	Company	2022
	2023	2022	2023
	Shs' millions	Shs' millions	Shs' millions
VAT & service charge	332	110	-

Lease expenses relate to VAT and service charge which are excluded in the assessment of lease liability and right-of-use asset.

Notes (continued)

16 (a) Property and equipment - Group

	Freehold land & buildings	Leasehold improvements	Motor vehicles	Equipment, furniture & fittings	Computers	Work-in- progress	Total
	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions
31 December 2023							
Cost							
At start of year	7,473	13,749	1,191	12,500	14,548	3,537	52,998
Translation differences	494	(433)	(72)	1,855	(1,104)	171	911
Additions	751	920	160	1,120	1,727	2,576	7,254
Transfers	-	-	156	1,629	689	(2,474)	-
Disposals	-	(66)	(68)	(187)	(196)	-	(517)
At end of year	8,718	14,170	1,367	16,917	15,664	3,810	60,646
Accumulated depreciation							
At start of year	1,605	10,865	1,008	8,411	12,210	-	34,099
Translation differences	10	(318)	(111)	(1,384)	(753)	-	(2,556)
Charge for the year	229	969	140	1,134	1,019	-	3,491
Disposals	-	(65)	(68)	(188)	(205)	-	(526)
At end of year	1,844	11,451	969	7,973	12,271	-	34,508
Net book value at end of year	6,874	2,719	398	8,944	3,393	3,810	26,138

Notes (continued)

16 (a) Property and equipment - Group

	Freehold land & buildings	Leasehold improvements	Motor vehicles	Equipment, furniture & fittings	Computers	Work-in- progress	Total
	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions
31 December 2022							
Cost							
At start of year	6,979	13,563	1,197	10,207	16,552	875	49,373
Translation differences	494	(433)	(72)	1,855	(1,063)	171	952
Additions	-	625	26	896	346	3,811	5,704
Transfers	-	6	48	163	1,103	(1,320)	-
Disposals	-	(12)	(8)	(621)	(2,390)	-	(3,031)
At end of year	7,473	13,749	1,191	12,500	14,548	3,537	52,998
Accumulated depreciation							
At start of year	1,187	10,378	1,028	7,317	14,262	-	34,172
Translation differences	5	(318)	(111)	732	(754)	-	(446)
Charge for the year	413	817	99	965	1,087	-	3,381
Disposals	-	(12)	(8)	(603)	(2,385)	-	(3,008)
At end of year	1,605	10,865	1,008	8,411	12,210	-	34,099
Net book value at end of year	5,868	2,884	183	4,089	2,338	3,537	18,899

Notes (continued)

16 (a) Property and equipment – Company

	2023	2022
	Shs' millions	Shs' millions
Equipment, furniture & fittings		
Cost		
At start of year	15	14
Additions	1	1
At end of year	16	15
Accumulated depreciation		
At start of year	6	4
Charge for the year	2	2
At end of year	8	6
Net book value at end of year	8	9

16 (b) Right-of-use assets – Group

	Group	2022
	2023	Shs' millions
	Shs' millions	Shs' millions
Cost		
At start of year	14,557	13,084
Remeasurements	1,427	1,490
Disposals	(394)	(233)
Translation differences	1,371	216
At end of year	16,961	14,557
Accumulated depreciation		
At start of year	6,383	4,994
Remeasurements	(67)	(82)
Charge for the year	2,019	1,910
Disposals	(326)	(191)
Translation differences	506	(247)
	8,515	6,384
Net book value at end of year	8,446	8,173

Notes (continued)

16 (c) Lease liabilities – Group

	Group	
	2023	2022
	Shs' millions	Shs' millions
Current	1,966	2,342
Non-current	7,625	6,785
	9,591	9,127
Movement during the year:		
At start of year	9,127	8,900
Disposals	(551)	(46)
Remeasurements	901	1,490
Interest expense	841	812
Interest paid	(602)	(516)
Principal elements of lease payments	(2,327)	(2,060)
Translation differences	2,202	547
	9,591	9,127
Amounts recognised in the statement of profit or loss:		
Depreciation charge of right-of-use assets – branches and ATMs	2,019	1,910
Interest expense	841	812
	2,860	2,722
Amounts recognised in the statement of cash flows:		
The total cash outflow for leases was as follows:		
Financing cash flows from leases	2,929	2,572

16 (d) Investment properties

(i) Measuring investment property at fair value

Investment properties, principally office buildings, are held for long-term rental yields and are not occupied by the Group. They are carried at fair value. Changes in fair values are presented in other income.

The Group's investment properties are held in Democratic Republic of Congo (DRC). The valuation of the properties was carried out by an independent professional valuer.

(ii) Non-current assets - at fair value

	Group	
	2022	2022
	Shs' millions	Shs' millions
At start of the year	6,115	5,581
Additions	37	210
Change in fair valuation	(317)	-
Translation differences	1,662	324
At 31 December	7,497	6,115

Notes (continued)

16 (d) Investment properties (continued)

(iii) Amounts recognised in profit or loss for investment properties	Group	
	2022 Shs' millions	2022 Shs' millions
Rental income from operating leases	370	500
Direct operating expenses from property that generated rental income	102	133

(iv) Fair value hierarchy

Investment Properties	Level 1 Shs' millions	Level 2 Shs' millions	Level 3 Shs' millions	Total Shs' millions
31 December 2023	-	-	7,497	7,497
31 December 2022	-	-	6,115	6,115

The table below summarizes the significant unobservable inputs used in the fair value measurement.

- Average occupancy rate: 95% (2022: 90%)
- Weighted average rent of Shs 2 041 (2022: Shs 1,852) per square metre
- Risk-adjusted discount rates (Weighted average 4.0% (2022: 4.2%))
- Market rental growth (Weighted average of between 2.3% to 2.9% (2022: 2.3% to 2.7%)

Sensitivity analysis

Changes in the above assumptions could affect the reported fair value of investment properties for the period ending 31 December 2023. We have summarized in the table below the increases/decreases in fair value arising from a reasonable shift for each of the below factors while holding all other factors constant;

2023	Base assumption Shs' 000	Increase Shs' 000	Decrease Shs' 000
Change in Average occupancy rate; +/-5%	7,497	591	(591)
Change in Weighted average rent; +/-5%	7,497	880	(980)
Change in Risk-adjusted discount rates: +/-5%	7,497	(361)	360
Change in Market rental growth: +/-5%	7,497	438	(460)
2022	Base assumption Shs' 000	Increase Shs' 000	Decrease Shs' 000
Change in Average occupancy rate; +/-5%	6,115	467	468
Change in Weighted average rent; +/-5%	6,115	766	(766)
Change in Risk-adjusted discount rates: +/-5%	6,115	(431)	450
Change in Market rental growth: +/-5%	6,115	272	(274)

17 Intangible assets – Group

	2023 Shs' millions	2022 Shs' millions
Software	15,446	11,791
Acquired intangible assets	552	737
Goodwill	3,170	2,213
	19,168	14,741

Notes (continued)

17 Intangible assets – Group (continued)

(a) Software & acquired intangible assets

Group 31 December 2023	Software Shs' millions	Acquired intangible asset Shs' millions	Work in progress Shs' millions	Total Shs' millions
Cost				
At start of year	17,376	1,882	5,195	24,453
Additions	527	552	4,101	5,180
Transfers	3,607	-	(3,607)	-
Translation differences	71	-	-	71
At end of year	21,581	2,434	5,689	29,704
Amortisation				
At start of year	10,780	1,145	-	11,925
Amortisation	1,074	737	-	1,811
Translation differences	(30)	-	-	(30)
At end of year	11,824	1,882	-	13,706
Net book value at end of year	9,757	552	5,689	15,998
31 December 2022	Software Shs' millions	Acquired intangible asset Shs' millions	Work in progress Shs' millions	Total Shs' millions
Cost				
At start of year	16,350	1,882	2,670	20,902
Translation differences	(145)	-	-	(145)
Additions	228	-	3,586	3,814
Transfers	1,061	-	(1,061)	-
Disposals	(118)	-	-	(118)
At end of year	17,376	1,882	5,195	24,453
Amortisation				
At start of year	9,587	577	-	10,164
Translation differences	(209)	-	-	(209)
Amortisation	1,512	568	-	2,080
Disposals	(110)	-	-	(110)
At end of year	10,780	1,145	-	11,925
Net book value at end of year	6,596	737	5,195	12,528

Notes (continued)

17 Intangible assets – Group (continued)

Software & acquired intangible assets (continued)

The Group's intangible assets include the value of computer software.

The work-in-progress is composed of software in development. Costs directly attributable to the development of computer software are capitalised as intangible assets only when technical feasibility of the project is demonstrated, the Group has the intention and ability to complete and use the software and the costs can be measured reliably. The transfers relate to projects completed in the course of the year.

Acquired intangibles assets relate to core deposits and customer relations arising from the acquisition of Equity BCDC (formerly BCDC) in 2020 and CogeBanque in 2023. Refer to Note 19 (b) on CogeBanque acquisition.

These were valued as follows;

Core deposits

The fair value of the core deposit intangible was determined using the cost savings method. It's calculated as the after-tax present values of; (i) net cost of funding and; (ii) net service fees earned on deposits. Net cost of funding is the difference between interest expense on acquired low cost saving and demand deposit and cost of alternative funding over the useful life of the deposit.

Customer relationships

The fair value of customer relationships was valued using replacement cost method. The value is calculated as the estimated cost of acquiring new customers multiplied by the unique number of customers acquired in the transaction. This is adjusted with the profit mark up and opportunity cost

(a) Goodwill

	Carrying amount at 1 January Shs' millions	Acquired in the year	Effect of exchange rate changes Shs' millions	Carrying amount at 31 December Shs' millions
Year ended 31 December 2023				
Equity Bank Uganda Limited	799	-	(68)	731
Equity BCDC	1,414	-	158	1,572
CogeBanque	-	867	-	867
	2,213	867	90	3,170
Year ended 31 December 2022				
Equity Bank Uganda Limited	769	-	30	799
Equity BCDC	1,296	-	118	1,414
	2,065	-	148	2,213

Notes (continued)

17 Intangible assets – Group (continued)

(b) Goodwill (continued)

Equity Bank Uganda Limited

The goodwill arose from the acquisition of Equity Bank Uganda Limited (formerly Uganda Microfinance Limited) in April 2008, which was determined in accordance with IFRS 3. It represents the difference between the total purchase consideration (including acquisition costs) paid to acquire 100% stake in Equity Bank Uganda Limited and the fair value of the net tangible assets and the separable identifiable intangible assets.

Equity BCDC

The goodwill arose from the acquisition of 79% stake in Equity Bank Congo S.A (now merged with BCDC to form Equity BCDC) in September 2015, which was determined in accordance with IFRS 3.

CogeBanque

The goodwill arose from the acquisition of 99.1% stake in CogeBanque (now merged with Equity Bank Rwanda Limited) effective 31 December 2023, which was determined in accordance with IFRS 3. Refer to Note 19 (b) on CogeBanque acquisition.

The goodwill arising from acquisition consists largely of the synergies and economies of scale expected from combining the operations of Equity Group Holdings Plc and CogeBanque, Equity Bank Congo S.A, as well as Equity Bank Uganda Limited.

Management carried out an impairment assessment in respect of goodwill at year end. Since the goodwill arose on purchase of Equity Bank Uganda Limited and Equity Bank Congo S.A as subsidiaries, the whole amount is allocated to the subsidiaries which the Group considers as a cash generating unit (CGU). The table below shows the various variables used in management's impairment assessment:

	Equity Bank Uganda Limited		Equity BCDC	
	2023	2022	2023	2022
	Shs'	Shs'	Shs'	Shs'
	millions	millions	millions	millions
Value in use	96,832	118,801	180,190	195,901
Net assets	17,845	14,422	69,879	44,562
Goodwill				
Headroom				
Projected growth in net interest income – 2024/2023	14%	33%	14%	16%
Projected growth in net interest income – 2025/2024	10%	42%	10%	15%
Projected growth in non-interest income – 2024/2023	22%	23%	37%	35%
Projected growth in non-interest income – 2025/2024	15%	22%	29%	34%
Weighted average cost of capital	18.3%	18.5%	20.0%	36%
Long term average growth rate	5.6%	5.1%	6.5%	6.3%

Notes (continued)

17 Intangible assets – Group (continued)

(c) Goodwill (continued)

Key assumptions used in value in use calculations and sensitivity to changes in assumptions:

- Budgeted PAT – Budgeted PAT has been based on values achieved in the past five years adjusted for efficiencies expected from implementation of Group initiatives.
- Long term growth rate is based on projected GDP growth rate for each subsidiary.
- Weighted average cost of capital is the pre-tax risk adjusted discount rate based on the risk-free rate of government securities in the respective country adjusted for a risk premium to reflect the increased risk of investing in equities and the systemic risk of the specific Group operating company.
- An assumed terminal value based on a historical performance of the CGUs and Pre-tax risk adjusted discount rate.

Sensitivity analysis

Management believes that no reasonably possible change in any of the above key assumptions would cause the carrying value of any CGU to exceed its recoverable amount.

18 General and administrative expenses

	Group		Company	
	2023	2022	2023	2022
	Shs'	Shs'	Shs'	Shs'
	millions	millions	millions	millions
Software licencing and other IT related costs	9,513	5,727	7	-
Consultancy, legal and professional fees	3,734	2,600	373	161
Electricity, water, repairs and maintenance	2,388	1,841	-	-
Travel and accommodation	3,440	2,613	26	11
Marketing, advertising and sponsorship	2,394	2,686	-	21
Publications, stationery and communications	2,225	1,672	2	7
Lease expenses	332	110	3	5
Deposit fund protection expenses	2,912	2,948	-	-
Auditors' remuneration	83	81	2	2
Insurance commission expenses	-	88	-	-
Other administrative expenses	16,225	9,401	510	106
	43,246	29,767	923	313

Notes (continued)

19 (a) Investment in subsidiary companies

	Country of incorporati on	Shareholding	2023	2022		
		2023	2022	Shs' millions	Shs' millions	
<u>Banking</u>						
Equity Bank (Kenya) Limited	Kenya	100%	100%	40,733	40,733	
Equity BCDC	DRC	85.4%*	84.1%*	27,360	27,354	
Equity Bank (South Sudan) Limited	South Sudan	100%	100%	5,712	5,712	
Equity Bank Uganda Limited	Uganda	100%	100%	6,908	6,908	
Equity Bank Tanzania Limited	Tanzania	100%	100%	7,377	7,377	
Equity Bank Rwanda PLC	Rwanda	99.1%	100%	10,054	2,807	
<u>Telecommunication</u>						
Finserve Africa Limited	Kenya	100%	100%	1,001	1,001	
<u>Investment banking</u>						
Equity Investment Bank Limited	Kenya	100%	100%	420	420	
<u>Insurance</u>						
Equity Group Insurance Holdings Limited	Kenya	100%	-	600	600	
<u>Insurance brokerage</u>						
Equity Bancassurance Intermediary Limited	Kenya	100%	100%	-	100	
<u>Consultancy</u>						
Equity Consulting Group Limited	Kenya	100%	100%	0.5	0.5	
Equity Investment Services Limited	Kenya	100%	100%	420	420	
<u>Custodial services</u>						
Equity Nominees Limited	Kenya	100%	100%	0.1	0.1	
Total				100,586	93,433	

In May 2023, Equity Bank Kenya Limited acquired 100% shareholding in Equity Bancassurance Intermediary Limited (EBIL) from Equity Group Holdings Limited (EGHL) for a consideration of Shs 100 million. The acquisition is in line with the Insurance (Bancassurance) Regulations, 2020 which stipulates that a bancassurance intermediary must be wholly owned by a bank, microfinance or a licensed financial institution.

Following the acquisition, EBIL will operate as a wholly owned subsidiary of Equity Bank (Kenya) Limited, maintaining its current brand identity and continuing to provide the same high-quality services to its clients.

Equity Bancassurance Intermediary Limited (EBIL) is still consolidated in Equity Group Holdings Limited in accordance with IFRS 10.

Notes (continued)

19 (b) Acquisition of CogeBanque

On 30 November 2023, the Group acquired 198,250 of the issued shares, representing 99.13% shareholding of CogeBanque in Rwanda for a total cash consideration of KShs.7.2 billion. On 31 December 2023 CogeBanque was amalgamated with Equity Bank Rwanda Limited and will operate as Equity Bank Rwanda Limited.

(i) Net acquired assets

An analysis of the fair value of net assets recognised as a result of the acquisition is as follows:

Cash balances and deposits due from other banks	8,166
Government securities and other investments	13,214
Loans and advances to customers	16,056
Property and equipment	1,589
Other assets	1,180
Intangible assets- core deposits	502
Intangible assets- customer relationships	50
Customers deposits	(25,887)
Due from other banks	(7,247)
Deferred tax liabilities	(83)
Other liabilities	(1,104)
Net identifiable assets acquired	6,436
Purchase consideration	7,247
Non-controlling assets	56
Total equity	7,303
Goodwill	867
<i>Purchase consideration - cash outflow</i>	
Cash consideration	7,247
Less: Balances acquired	
Cash balances and deposits due from other banks	(8,166)
Net outflow of cash – investing activities	(919)

Acquisition-related costs

Acquisition-related costs of Shs 373 million that were not directly attributable to the issue of shares are included in administrative expenses in the statement of profit or loss and in operating cash flows in the statement of cash flows.

The acquired business contributed total operating income of Shs 3,621 million and net profit of Shs 351 to the Group for the period from 1 December to 31 December 2023.

If the acquisition had occurred on 1 January 2023, consolidated pro-forma operating income and profit for the year ended 31 December 2023 would have been Shs 42,278 and Shs 1,211 respectively.

Significant judgements in the estimation of intangible assets

Intangible assets arising from the acquisition are Core deposits (KShs 502 million) and Customer relationships (KShs 50 million). The key considerations applied in the estimation of the fair value of these intangibles is as follows:

Notes (continued)

19 (a) Acquisition of CogeBanque

Significant judgements in the estimation of intangible assets

Customer relationships

The value of a customer relationship is mainly derived from the expectation of repeat business from the customer, which gives opportunity for cross selling various products and services. Customer relationships provide deposits that will be used to finance assets in the future and earn fees. The replacement cost method was used to determine the fair value of customer relationships. The value is calculated as the estimated cost of acquiring new customers (depositors) multiplied by the number of unique customers acquired from the transaction. They are recognised at their fair value at the date of acquisition and are subsequently amortised on a straight-line basis based on the timing of the projected cashflows of the contracts over their estimated useful lives. The customer relationship value will be amortised to the profit or loss over a period of three years.

Core deposits

The premise underlying the core deposit intangible asset is that a rational buyer would be willing to pay a premium to obtain a group of core deposit accounts that are less expensive than the buyer's marginal cost of funds. The stable deposit base provides a low-cost source of funding as banks can utilise the core deposit base as a low-cost source of finance. The alternative to replace these established, low-cost deposit accounts in a timely manner, would be to utilize higher cost funds at current market rates. The fair value of the core deposit intangible was determined using the cost savings method. It's calculated as the after-tax present values of; (i) net cost of funding and (ii) net service fees earned on deposits. Net cost of funding is the difference between interest expense on acquired low cost saving and demand deposit and cost of alternative funding over the useful life of the deposit. Amortisation for this asset is for two years.

19 (b) Non-controlling interests (NCI)

Set out below is the summarised financial information of Equity BCDC and Equity bank (Rwanda) Limited which has non-controlling interest that is material to the Group.

	Group	
	2023	2022
	Shs' millions	Shs' millions
<i>Summarised statement of financial position</i>		
Total assets	625,336	443,425
Total liabilities	554,230	398,863
Equity	71,106	44,562
Accumulated NCI	10,570	6,016
<i>Summarised statement of comprehensive income</i>		
Operating income	46,010	29,318
Profit for the period	13,671	5,765
Other comprehensive income	681	(502)
Total comprehensive income	14,352	5,263
Profit allocated to NCI	1,760	1,209
<i>Summarised statement of cash flows</i>		
Cash flows from operating activities	94,006	(65,739)
Cash flows to investing activities	(20,437)	(5,799)
Cash flows from financing activities	4,351	2,885
Net decrease / increase in cash and cash equivalents	77,920	(68,653)

Notes (continued)

19 (c) Interests in unconsolidated structured entity (continued)

Equity Group Holdings Plc does not consolidate the results of Equity Group Foundation (the "Foundation") which was incorporated on 12 February 2008 under the Companies Act (Cap 486) as a company limited by guarantee. It is a charitable organization set up to provide a platform to development partners, government, the private sector as well as local and international organizations for the implementation of high impact development programs which include Wings to Fly Scholarship Program.

The programs of the Foundation are primarily funded by third party donors under donor agreements. The Group's contributions to the Foundation are both in monetary terms but mainly in-kind in the form of utilising the Group's extensive branch network and staff in driving the achievement of the goals/activities of the Foundation in communities. On the basis that the donors provide majority of the funding and direct the activities of the Foundation through the donor agreements, the Group does not control the Foundation. The table below summarises EGF's source of funding:

	Shs' millions 2023	Shs' millions 2022
Donors	5,154	4,703
Equity Group Holdings Plc	398	259
Total donations income	5,552	4,962
Program expenses	(5,552)	(4,962)
Surplus	-	-

The Group does not earn income from EGF and is not exposed to loss arising from its involvement with the Foundation.

Consistent with previous years, the Group will continue providing support to the Foundation primarily as regards the use of the Group's branch network and staff to carry out its program activities.

20 Income tax

Recognised in profit or loss

	Group		Company	
	2023	2022	2023	2022
	Shs'	Shs'	Shs'	Shs'
	millions	millions	millions	millions
Current income tax:				
Current year charge	14,796	12,086	62	-
Deferred income tax (Note 26):				
Current year (credit)/ charge	(6,654)	1,655	(645)	(206)
Income tax expense/ (credit)	8,142	13,741	(583)	(206)

Where there's uncertainty in the tax treatment, the Group measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty. The Group did not have any significant area of uncertainty in the year.

The Group's tax related contingencies are disclosed in Note 26.

Notes (continued)

20 Income tax (continued)

Reconciliation of effective tax rate:

The tax on the Group's and Company's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows:

	Group		Company	
	2023	2022	2023	2022
	Shs'	Shs'	Shs'	Shs'
	millions	millions	millions	millions
Profit before income tax	51,879	59,844	11,961	21,071
Income tax using the enacted corporation tax rate	15,564	17,953	3,588	6,321
Income not subject to tax	(8,453)	(4,871)	(4,939)	(6,659)
Other differences	1,031	659	768	132
	8,142	13,741	(583)	(206)
Current income tax liability/ (asset)				
At start of year	102	363	(147)	62
Charge for the year	14,796	12,086	62	-
Translation differences	(1,319)	345	-	-
Paid during the year	(9,631)	(12,692)	(112)	(209)
At end of year	3,948	102	(197)	(147)
Made up of:				
Tax payable	5,036	1,830	-	-
Tax recoverable	(1,088)	(1,728)	(197)	(147)
	3,948	102	(197)	(147)

Notes (continued)

20 Income tax (continued)

Tax rates are as follows:

31 December 2023

	Group Shs' millions	EGH Plc Shs' millions	EBKL Shs' millions	EBUL Shs' millions	Equity BCDC Shs' millions	EBRPLC Shs' millions	EBIL Shs' millions	EBTL Shs' millions	EBSSL Shs' millions	Others* Shs' millions
Profit before tax	51,879	11,960	25,194	1,295	18,638	5,719	794	631	3,009	2,209

Enacted tax rate	30%	30%	30%	30%	30%	30%	30%	30%	30%	30%
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Income tax using the enacted corporation tax rate	15,564	3,588	7,558	389	5,591	1,716	238	189	903	663
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31 December 2022

Profit before tax	59,844	21,071	42,002	2,396	8,118	4,027	717	470	2,995	1,216
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Enacted tax rate	30%	30%	30%	30%	30%	30%	30%	30%	30%	30%
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Income tax using the enacted corporation tax rate	17,953	6,321	12,601	719	2,435	1,208	215	141	899	365
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EGH Plc – Equity Group Holdings Plc, EBKL – Equity Bank Kenya Limited, EBUL – Equity Bank Uganda Limited, EBRPLC – Equity Bank Rwanda PLC, EBIL – Equity Bancassurance Intermediary Limited, EBTL – Equity Bank Tanzania Limited, EBSSL – Equity Bank South Sudan Limited, EquityBCDC – Equity Banque Commerciale Du Congo.

Equity Bancassurance Intermediary Limited was transferred to Equity Bank Kenya Limited, a fully owned subsidiary of the Group in accordance with the IRA(Kenya) regulations.

*Others relate to Equity Investment Bank Limited, Finserve Africa Limited, Equity Nominees Limited, Equity Investment Services Limited and Equity Consulting Group Limited.

Notes (continued)

21 (a) Cash, deposits and balances due from financial institutions

For the purpose of the statement of cash flows, cash and cash equivalents comprise the following at 31 December:

	Group		Company	
	2023	2022	2023	2022
	Shs'	Shs'	Shs'	Shs' millions
	millions	millions	millions	
Cash in hand	69,428	28,441	-	-
Unrestricted balances with central banks	10,424	3,388	-	-
Money market placements	16,776	47,573	-	-
Cash balances with banks	97,699	68,928	20,337	14,412
	194,327	148,330	20,337	14,412
12-month ECL:				
At start of the year	(528)	(466)	(2)	(2)
Re-measurement during the year	8	(47)	-	-
Translation differences	(69)	(15)	-	-
At end of the year	(589)	(528)	(2)	(2)
Included in cash and cash equivalents	193,738	147,802	20,335	14,410
Restricted balances with central banks	95,515	84,567	-	-
Net carrying amount	289,253	232,369	20,335	14,410
Movement in restricted balances:				
At start of year	84,567	52,417	-	-
Movement during the year	10,948	32,150	-	-
At end of year	95,515	84,567	-	-

The restricted funds with the central banks in Kenya, Uganda, Tanzania, Rwanda, South Sudan and Democratic Republic of Congo are not interest earning and are based on the value of deposits as adjusted by central banks' requirements from time to time. These funds (restricted balances with central banks) are not available for use by the Group in its day-to-day operations.

Notes (continued)

21 (b) Net debt reconciliation

This section sets out an analysis of net debt and the movements in net debt for each of the periods presented.

Group	2023 Shs' millions	2022 Shs' millions	2023 Shs' millions	2022 Shs' millions
Cash and cash equivalents (Note 21(a))	193,738	147,802	20,335	14,410
<i>Liquid investments:</i>				
FVOCI and FVTPL investment securities (Note 23)	460,773	368,527	-	-
Borrowed funds - repayable within one year (Note 29)	(16,999)	(58,424)	-	-
Borrowed funds - repayable after one year (Note 29)	(127,483)	(99,118)	(16,111)	(12,629)
Lease liabilities (Note 16 (c))	(3,434)	(3,539)		-
Net cash	506,595	355,248	4,224	1,781
Cash and liquid investments	654,511	516,329	20,335	14,410
Gross debt - fixed interest rates	(40,636)	(69,038)	-	-
Gross debt - variable interest rates	(107,280)	(92,043)	(16,111)	(12,629)
	506,595	355,248	4,224	1,781

22 Loans and advances to customers

	2023 Shs' millions	2022 Shs' millions
Loans and advances at amortised cost	885,066	705,169
Loans and advances at fair value through profit or loss	2,314	1,419
	887,380	706,588

a) Loans and advances at amortised cost

At 31 December 2023	Stage 1 12-month ECL Shs' millions	Stage 2 Lifetime ECL Shs' millions	Stage 3 Lifetime ECL Shs' millions	Total Shs' Millions
Gross loans and advances	749,455	98,566	107,118	955,139
Loss allowance	(8,854)	(9,434)	(51,785)	(70,073)
Net loans and advances	740,601	89,132	55,333	885,066

Notes (continued)

22 Loans and advances to customers (continued)

(a) Loans and advances at amortised cost (continued)

At 31 December 2022	Stage 1 12-month ECL Shs' millions	Stage 2 Lifetime ECL Shs' millions	Stage 3 Lifetime ECL Shs' millions	Total Shs' millions
Gross loans and advances	599,576	97,118	58,665	755,359
Loss allowance	(6,446)	(7,519)	(36,225)	(50,190)
Net loans and advances	593,130	89,599	22,440	705,169
	Gross 2023 Shs' millions	2022 Shs' millions	Net 2023 Shs' millions	2022 Shs' millions
Current portion	510,494	204,805	238,970	191,196
Non-current portion	444,645	550,554	646,096	513,973
	955,139	755,359	885,066	705,169

(b) Impairment on financial assets

	Stage 1 12-month ECL Shs' millions	2023 Stage 2 Lifetime ECL Shs' millions	Stage 3 Lifetime ECL Shs' millions	Total ECL Shs' millions
Loss allowance as at 1 January	6,446	7,519	36,225	50,190
Transfer to 12 months ECL	1,020	(599)	(421)	-
Transfer to lifetime ECL not credit impaired	(818)	1,239	(421)	-
Transfer to lifetime ECL credit impaired	(323)	(531)	854	-
Net remeasurement	4,995	3,757	25,825	34,577
New financial assets originated	4,536	1,441	9,394	15,371
Financial assets derecognised	(7,002)	(3,392)	(4,201)	(14,595)
	2,408	1,915	31,030	35,353
Write offs	-	-	(15,470)	(15,470)
Loss allowance as at 31 December	8,854	9,434	51,785	70,073

Notes (continued)

22 Loans and advances to customers (continued)

(b) Impairment on financial assets (continued)

	2022			Total
	Stage 1 12-month ECL Shs' millions	Stage 2 Lifetime ECL Shs' millions	Stage 3 Lifetime ECL Shs' millions	Shs' millions
Loss allowance as at 1 January	4,684	7,778	33,980	46,442
Transfer to 12 months ECL	958	(563)	(395)	-
Transfer to lifetime ECL not credit impaired	(768)	1,164	(396)	-
Transfer to lifetime ECL credit impaired	(303)	(499)	802	-
Net remeasurement	(1,038)	43	8,800	7,805
New financial assets originated	3,805	925	5,124	9,854
Financial assets derecognised	(1,113)	(1,351)	(915)	(3,379)
Translation differences	221	22	386	629
	1,762	(259)	13,406	14,909
Write offs	-	-	(11,161)	(11,161)
Loss allowance as at 31 December	6,446	7,519	36,225	50,190
	2023			Total
	Stage 1 12-month ECL Shs' millions	Stage 2 Lifetime ECL Shs' millions	Stage 3 Lifetime ECL Shs' millions	Shs' millions
Gross carrying amount as at 1 January	599,576	97,118	58,665	755,359
Movements during the year:				
Transfer to 12 months ECL	14,813	(13,884)	(929)	-
Transfer to lifetime ECL not credit impaired	(34,984)	35,357	(373)	-
Transfer to lifetime ECL credit impaired	(12,588)	(9,848)	22,436	-
Net remeasurement	(29,243)	7,766	(4,188)	(25,665)
New financial assets originated	342,730	3,293	48,457	394,480
Financial assets derecognised	(134,049)	(18,515)	(17,736)	(170,300)
Translation differences	3,195	(2,721)	791	1,265
Gross carrying amount as at 31 December	749,450	98,566	107,123	955,139

Notes (continued)

22 Loans and advances to customers (continued)

(b) Impairment on financial assets (continued)

	Stage 1 12-month ECL Shs' millions	2022 Stage 2 Lifetime ECL Shs' millions	Stage 3 Lifetime ECL Shs' millions	Total Shs' millions
Gross carrying amount as at 1 January	495,302	85,705	51,905	632,912
Movements during the year:				
Transfer to 12 months ECL	13,913	(13,039)	(874)	-
Transfer to lifetime ECL not credit impaired	(32,856)	33,205	(349)	-
Transfer to lifetime ECL credit impaired	(11,822)	(9,249)	21,071	-
Net remeasurement	(27,464)	7,295	(3,933)	(24,102)
New financial assets originated	285,399	13,145	6,757	305,301
Financial assets derecognised	(125,894)	(17,388)	(16,654)	(159,936)
Translation differences	2,998	(2,556)	742	1,184
Gross carrying amount as at 31 December	599,576	97,118	58,665	755,359

Notes (continued)

22 Loans and advances to customers (continued)

(b) Impairment on financial assets (continued)

(c) Movements per sector

31 December 2023

	Building and construction			Energy and water			Financial services		
	Stage 1	Stage 2	Stage 3	Stage 1	Stage 2	Stage 3	Stage 1	Stage 2	Stage 3
	12-month ECL	Lifetime ECL	Lifetime ECL	12-month ECL	Lifetime ECL	Lifetime ECL	12-month ECL	Lifetime ECL	Lifetime ECL
	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions
Total	19,980	19,980	19,980	38,908	2,385	8,303	47,486	3,785	1,003
Gross carrying amount as at 1 January	11,791	4,028	4,161	38,908	2,385	8,303	47,486	3,785	1,003
Transfer to 12 months ECL	1,028	(908)	(120)	-	-	-	79	(26)	(53)
Transfer to Lifetime ECL not credit impaired	(1,774)	1,791	(17)	(343)	345	(2)	(523)	523	-
Transfer to Lifetime ECL credit impaired	(288)	(108)	396	(29)	-	29	(562)	282	280
Net remeasurement	(1,475)	164	(267)	6,212	(2,198)	702	2,756	7	(66)
New financial assets originated	7,798	1,573	2,364	11,438	211	5,799	17,970	140	772
Financial assets derecognised	(2,588)	(1,765)	(881)	(5,189)	(322)	(10)	(4,386)	(277)	(571)
Translation differences	(250)	(25)	(76)	60	27	2	225	56	102
Gross carrying amount as at 31 December	14,242	4,750	5,560	51,057	448	14,823	63,045	4,490	1,467
Total	14,242	4,750	5,560	51,057	448	14,823	63,045	4,490	1,467
Gross carrying amount as at 31 December	14,242	4,750	5,560	51,057	448	14,823	63,045	4,490	1,467

Gross carrying amount as at 31 December

Loss allowance as at 1 January	186	381	3,381	473	501	8,085	660	107	383
Transfer to 12 months ECL	92	(73)	(19)	-	-	-	2	11	(13)
Transfer to Lifetime ECL not credit impaired	(91)	91	-	(2)	2	-	(4)	4	-
Transfer to Lifetime ECL credit impaired	(3)	(12)	15	-	(5)	5	(5)	1	4
Net remeasurement of loss allowance	(65)	146	674	97	(679)	574	114	(37)	32
New financial assets originated	106	54	1,639	170	15	3,469	339	48	48
Financial assets derecognised	(31)	(57)	49	(43)	(32)	(4)	(42)	(10)	(347)
Write offs	-	-	(415)	-	-	(1)	-	-	(198)
Translation differences	(26)	(26)	(26)	2	3	1	14	3	71
Loss allowance as at 31 December	168	504	5,298	697	(195)	12,129	1,078	127	(20)
Net loans and advances	14,074	4,246	262	18,582	643	2,694	61,967	4,363	1,487
Net loans and advances	14,074	4,246	262	18,582	643	2,694	61,967	4,363	1,487

22 Loans and advances to customers (continued)

31 December 2023

Net loans and advances

Notes (continued)

22 Loans and advances to customers (continued)

(b) Impairment on financial assets (continued)

(c) Movements per sector

31 December 2023

(c) Movements per sector	Mining and quarrying				Personal household				Real estate				Total
	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL		
31 December 2023	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions
Gross carrying amount as at 1 January	25,159	4,290	1,746	31,195	168,331	5,253	5,988	179,572	71,594	27,477	7,775	106,846	
Transfer to 12 months ECL	-	-	-	-	1,391	(1,133)	(258)	-	2,027	(1,835)	(192)	-	
Transfer to Lifetime ECL not credit impaired	-	-	-	-	(2,696)	2,841	(145)	-	(17,362)	17,962	(600)	-	
Transfer to Lifetime ECL credit impaired	(1,399)	(316)	1,715	-	(1,951)	(569)	2,520	-	(790)	(1,333)	2,123	-	
Net remeasurement	(3,660)	1,124	1	(2,535)	(17,802)	(438)	(210)	(18,450)	(6,060)	64	(770)	(6,766)	
New financial assets originated	13,841	(497)	2,357	15,701	117,018	2,028	6,728	125,774	22,984	(2,716)	4,511	24,779	
Financial assets derecognised	(2,907)	(2)	(59)	(2,968)	(49,735)	(1,069)	(2,525)	(53,329)	(6,125)	(636)	(2,002)	(8,763)	
Translation differences	75	27	5	107	568	270	116	954	651	(876)	72	(153)	

Gross carrying amount as at 31 December

Gross carrying amount as at 31 December	31,109	4,626	5,765	41,500	215,124	7,183	12,214	234,521	66,919	38,107	10,917	115,943
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Loss allowance as at 1 January

Loss allowance as at 1 January	19	317	39	375	1,758	319	3,151	5,228	584	1,768	5,280	7,632
Transfer to 12 months ECL	-	-	-	-	116	(57)	(59)	-	153	(60)	(93)	-
Transfer to Lifetime ECL not credit impaired	-	-	-	-	(30)	128	(98)	-	(126)	214	(88)	-
Transfer to Lifetime ECL credit impaired	(1)	(10)	11	-	(126)	(55)	181	-	(10)	(57)	67	-
Net remeasurement of loss allowance	3	2	2	7	6,058	3,719	18,680	28,457	(165)	826	1,586	2,247
New financial assets originated	9	(3)	76	82	1,431	685	(8,718)	(6,602)	323	18	2,222	2,563
Financial assets derecognised	(1)	-	(56)	(57)	(6,211)	(2,022)	(2,793)	(11,026)	(30)	(69)	660	561
Write offs	-	-	(40)	(40)	-	-	(6,434)	(6,434)	-	-	(2,204)	(2,204)
Translation differences	(7)	-	5	(2)	(306)	(11)	(236)	(553)	70	(129)	166	107

Loss allowance as at 31 December

Loss allowance as at 31 December	22	306	37	365	2,690	2,706	3,674	9,070	799	2,511	7,596	10,906
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Net loans and advances

Net loans and advances	31,087	4,320	5,728	41,135	212,434	4,477	8,540	225,451	66,120	35,596	3,321	105,037
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Notes (continued)

22 Loans and advances to customers (continued)

(b) Impairment on financial assets (continued)

(c) Movements per sector

31 December 2023

	Tourism and hospitality			Trade			Transport and logistics			
	Stage 1		Total	Stage 1		Total	Stage 1		Stage 2	Total
	12-month ECL	Stage 2 Lifetime ECL		12-month ECL	Stage 2 Lifetime ECL		12-month ECL	Stage 2 Lifetime ECL	12-month ECL	
	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions
Gross carrying amount as at 1 January	3,822	16,918	22,755	153,949	3,788	18,529	39,702	6,301	3,879	49,882
Transfer to 12 months ECL	(1,291)	1,293	-	10,533	(10,273)	(260)	247	(228)	(19)	-
Transfer to Lifetime ECL not credit impaired	(39)	50	-	(5,205)	4,402	803	(993)	1,366	(373)	-
Transfer to Lifetime ECL credit impaired	(1,047)	111	-	(6,152)	(6,438)	12,590	152	(780)	628	-
Net remeasurement	1,954	(1,523)	443	(6,686)	9,547	(4,533)	(5,245)	(772)	1,065	(4,952)
New financial assets originated	1,302	(607)	3,019	95,665	970	17,586	26,388	1,322	2,492	30,202
Financial assets derecognised	(284)	(703)	(1,244)	(44,712)	(11,483)	(7,953)	(6,080)	(182)	(1,620)	(7,882)
Translation differences	407	(999)	(582)	571	(625)	210	145	(113)	293	325
Gross carrying amount as at 31 December	4,824	14,540	24,391	197,963	(10,112)	36,972	54,316	6,914	6,345	67,575
Loss allowance as at 1 January	114	705	1,247	1,559	801	11,136	505	812	2,540	3,857
Transfer to 12 months ECL	68	(68)	-	515	(286)	(229)	21	(17)	(4)	-
Transfer to Lifetime ECL not credit impaired	(35)	44	-	(59)	44	15	(23)	258	(235)	-
Transfer to Lifetime ECL credit impaired	(19)	(2)	-	(59)	(279)	338	(7)	(18)	25	-
Net remeasurement of loss allowance	(18)	(397)	(363)	(1,392)	(462)	4,328	(61)	(34)	1,080	985
New financial assets originated	29	73	193	1,219	106	9,073	345	276	1,108	1,729
Financial assets derecognised	(4)	(779)	(658)	(371)	(264)	(2,103)	(70)	(10)	(62)	(142)
Write offs	-	-	(463)	-	-	(4,120)	-	-	(711)	(711)
Translation differences	44	(32)	27	50	285	(217)	67	(56)	77	88
Loss allowance as at 31 December	179	(456)	(17)	1,462	(55)	18,221	777	1,211	3,818	5,806
Net loans and advances	4,645	14,996	24,408	196,501	(10,057)	18,751	53,539	5,703	2,527	61,769

Notes (continued)

22 Loans and advances to customers (continued)

(b) Impairment on financial assets (continued)

(c) Movements per sector

31 December 2022

	Food and agriculture			ICT and Telecommunication			Manufacturing		
	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	Stage 1 12-month ECL
	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions
Gross carrying amount as at 1 January	18,259	4,450	3,180	25,889	1,552	3	10,213	11,186	2,393
Transfer to 12 months ECL	729	(705)	(24)	-	-	-	22	(22)	-
Transfer to Lifetime ECL not credit impaired	(1,518)	1,543	(25)	-	(9)	9	(4,154)	4,155	(1)
Transfer to Lifetime ECL credit impaired	(463)	(651)	1,114	-	(3)	-	(24)	(4)	28
Net remeasurement	(2,135)	(1,840)	(123)	(4,098)	(34)	(3)	2,885	3,525	8
New financial assets originated	15,062	2,934	303	18,299	97	9	8,968	689	101
Financial assets derecognised	(9,062)	(1,347)	(1,616)	(12,025)	(112)	(3)	(2,137)	(600)	(129)
Translation differences	(107)	94	36	23	43	-	762	(529)	18
Gross carrying amount as at 31 December	20,765	4,478	2,845	28,088	1,534	15	16,535	18,400	2,418

Gross carrying amount as at 31 December

	20,765	4,478	2,845	28,088	1,534	15	16,535	18,400	2,418	37,353
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Loss allowance as at 1 January

Transfer to 12 months ECL	161	277	823	1,261	7	-	109	587	2,156	2,852
Transfer to Lifetime ECL not credit impaired	49	(45)	(4)	-	-	-	-	-	-	-
Transfer to Lifetime ECL credit impaired	(11)	18	(7)	-	-	-	(410)	410	-	-
Net remeasurement of loss allowance	(76)	(88)	164	-	-	-	(11)	-	11	-
New financial assets originated	(2)	54	674	726	(1)	-	401	579	(1,786)	(806)
Financial assets derecognised	355	180	118	653	-	-	118	9	38	165
Write offs	(161)	(128)	388	99	-	-	(27)	(12)	(78)	(117)
Translation differences	-	-	(782)	(782)	-	-	-	-	(47)	(47)
	67	5	115	187	-	-	20	(38)	18	-

Loss allowance as at 31 December

	382	273	1,489	2,144	6	-	200	1,535	312	2,047
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Net loans and advances

	20,383	4,205	1,356	25,944	1,528	15	16,335	16,865	2,106	35,306
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(b) Impairment on financial assets (continued)

31 December 2022

December	25,159	4,290	1,746	31,195	168,331	5,253	5,988	179,572	71,594	27,477	7,775	106,846
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Loss allowance as at 31 December

Net loans and advances	25,140	3,973	1,707	30,820	166,573	4,934	2,837	71,010	25,709	2,495	99,214
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Notes (continued)

22 Loans and advances to customers (continued)

(b) Impairment on financial assets (continued)

(c) Movements per sector

31 December 2022	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total	Stage 1 12-month ECL	Stage 2 Lifetime ECL	Stage 3 Lifetime ECL	Total
	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions
Gross carrying amount as at 1 January	3,116	17,668	1,005	21,789	122,249	17,873	14,582	154,704	28,621	5,020	3,858	37,499
Transfer to 12 months ECL	(1,212)	1,214	(2)	-	9,892	(9,648)	(244)	-	232	(214)	(18)	-
Transfer to Lifetime ECL not credit impaired	(37)	47	(10)	-	(4,888)	4,134	754	-	(933)	1,283	(350)	-
Transfer to Lifetime ECL credit impaired	(983)	104	879	-	(5,778)	(6,046)	11,824	-	143	(733)	590	-
Net remeasurement	1,835	(1,430)	11	416	(6,279)	8,966	(4,257)	(1,570)	(4,926)	(725)	1,000	(4,651)
New financial assets originated	988	913	364	2,265	80,209	(120)	3,142	83,231	22,139	1,947	45	24,131
Financial assets derecognised	(267)	(660)	(241)	(1,168)	(41,992)	(10,784)	(7,469)	(60,245)	(5,710)	(171)	(1,521)	(7,402)
Translation differences	382	(938)	9	(547)	536	(587)	197	146	136	(106)	275	305
Gross carrying amount as at 31 December	3,822	16,918	2,015	22,755	153,949	3,788	18,529	176,266	39,702	6,301	3,879	49,882
Loss allowance as at 1 January	64	1,801	655	2,520	1,733	1,606	9,543	12,882	295	425	2,363	3,083
Transfer to 12 months ECL	64	(64)	-	-	484	(269)	(215)	-	20	(16)	(4)	-
Transfer to Lifetime ECL not credit impaired	(33)	41	(8)	-	(55)	41	14	-	(22)	242	(220)	-
Transfer to Lifetime ECL credit impaired	(18)	(2)	20	-	(55)	(262)	317	-	(7)	(17)	24	-
Net remeasurement of loss allowance	(17)	(373)	49	(341)	(1,307)	(434)	4,065	2,324	(57)	(32)	1,014	925
New financial assets originated	17	64	16	97	1,060	99	3,707	4,866	279	272	17	568
Financial assets derecognised	(4)	(732)	117	(619)	(348)	(248)	(1,975)	(2,571)	(66)	(9)	(58)	(133)
Write offs	-	-	(435)	(435)	-	-	(3,869)	(3,869)	-	-	(668)	(668)
Translation differences	41	(30)	14	25	47	268	(451)	(136)	63	(53)	72	82
Loss allowance as at 31 December	114	705	428	1,247	1,559	801	11,136	13,496	505	812	2,540	3,857
Net loans and advances	3,708	16,213	1,587	21,508	152,390	2,987	7,393	162,770	39,197	5,489	1,339	46,025

Notes (continued)

22 Loans and advances to customers (continued)

(c) Movement per sector (continued)

The terms and conditions normally provided for the loans and advances to customers are as follows:

Retail loans – Retail loans are comprised of consumer loans, micro-enterprises and agriculture. These are interest bearing facilities to retail customers. Collateral is required except for scheme loans to salaried customers. On average, the contractual tenor is between 6 months and 5 years. These loans are charged processing fees.

Corporate loans - Consist of small and medium enterprises and large enterprises - These are loans to small medium and large customers, and they are all interest bearing. Collateral is a requirement for all facilities. The contractual tenor is between 6 months and 10 years. These loans are charged processing fees.

Overdrafts - These are short-term facilities to customers with urgent need of cash. Collateral is required for all these facilities and the tenor is 6 to 12 months. The only charge on these facilities is the overdraft arrangement fee.

(d) Financial asset at fair value through profit or loss

	Group	
	2023	2022
	Shs' millions	Shs' millions
Loan note	7,850	6,172
Fair value loss	(5,536)	(4,753)
	2,314	1,419
Non-current	2,314	1,419
Movement in fair value loss:		
At start of the year	(4,753)	(4,368)
Fair value loss in current year	(783)	(385)
At start of the year	(5,536)	(4,753)

The financial asset at fair value through profit or loss relates to long term note issued to the Bank in 2017 following a restructure of facilities to a customer in the airline industry (original borrower company). The loan note earns a coupon rate of interest, is partly guaranteed by the Government of Kenya and is secured by shares held by the issuer in the original borrower company. The ultimate amount recoverable on the loan note will depend on the value realised when the underlying shares are disposed of (including any upswing) and any guarantee called in the event of loss. The instrument is considered a loan instrument with an embedded derivative and has therefore been classified as an asset at fair value through profit or loss.

In addition to the above, the value of the loan note would be impacted by qualitative, judgemental analysis of developments at the original borrower company and in the airline industry, and the future actions of the Government of Kenya and other shareholders.

Notes (continued)

23 Investment securities – Group

	2023 Shs' millions	2022 Shs' millions
Investment securities at amortised cost		
At start of year	25,482	13,712
Purchase of securities	11,672	16,849
Maturity of securities	(14,146)	(4,851)
Translation differences	1,790	(228)
At end of year	24,798	25,482
12-month ECL:		
At start of the year	(25)	(6)
Re-measurement during the year	10	(19)
At end of the year	(15)	(25)
Net carrying amount	24,783	25,457
Investment securities at FVOCI		
At start of year	363,272	377,311
Purchase of investment securities	287,699	227,469
Sale / maturity of investment securities	(180,200)	(202,879)
Net gain/(loss) on fair valuation	(14,553)	(41,545)
Translation differences	7,013	2,916
At end of year	463,231	363,272
12-month ECL:		
At start of year	(201)	(158)
Re-measurement during the year	212	(41)
Translation differences	(53)	(2)
At end of year	(42)	(201)
Net carrying amount	463,189	363,071
Investment securities at FVTPL		
At start of year	5,456	3,242
Purchase of investment securities	9,446	6,749
Sale of investment securities	(4,692)	(4,343)
Translation differences	2,360	(192)
At end of year	12,570	5,456
Total investment securities	500,542	393,984
Current	34,766	74,922
Non-current	465,776	319,062
Total	500,542	393,984

The weighted average effective interest rate at 31 December 2023 was 11.8% (2021: 10.5%).

Notes (continued)

24 Other assets

	Group		Company	
	2023	2022	2023	2022
	Shs' millions	Shs' millions	Shs' millions	Shs' millions
Settlement and clearing accounts	15,011	12,457	-	-
Prepaid expenses	11,292	13,989	-	-
Refundable deposits	1,061	1,177	-	-
Sundry debtors	7,265	4,488	1,777	1,999
Other assets	4,042	3,130	-	-
	38,671	35,241	1,777	1,999
12-month ECL:				
At start of the year	(531)	(537)	(275)	(275)
Re-measurement during the year	8	(17)	-	-
Translation differences	85	23	-	-
	(438)	(531)	(275)	(275)
Net carrying amount	38,233	34,710	1,502	1,724

Other assets includes inventory for bank operations, receivables from card schemes and a receivable for expenses incurred on behalf of third parties.

Other assets are settled no more than 12 months after the reporting date. All the balances are non-interest bearing.

25 (a) Reinsurance contract assets

	Group	
	2023	2022
	Shs' millions	Shs' millions
Assets from:		
- Group life	105	98
- Credit life	1,518	1,387
	1,623	1,485

(b) Insurance contract liabilities

	2023	2022
	Shs' millions	Shs' millions
At Start of the year	2,935	-
Net insurance service result	497	3,992
Investment component cashflows	13,471	(1,057)
	16,903	2,935

Notes (continued)

25a) Reinsurance contract assets

	Asset for Remaining Coverage (ARC)		Asset Recoverable on Incurred Claims (ARIC)	Total
2022	Excluding Loss Recovery Component KShs '000	Total ARC KShs '000	KShs '000	KShs '000
Opening reinsurance contract assets	-	-	-	-
Expenses from reinsurance contracts	(488)	(488)	-	(488)
Claims recovered	-	-	302	302
Effect of changes in the risk of reinsurers non-performance	-	-	5	5
Net income (expenses) from reinsurance contracts held	(488)	(488)	307	(181)
Total recognized in the statement of profit or loss and comprehensive income	(488)	(488)	307	(181)
Cash flows	-	-	-	-
Premiums paid net of ceding commissions and other directly attributable expenses paid	1,761	1,761	(95)	1,666
Recoveries from reinsurance	-	-	-	-
Total cash flows	1,761	1,761	(95)	1,666
Net balance at 31 December	1,273	1,273	212	1,485

Notes (continued)

25a) Reinsurance contract assets (continued)

	Asset for Remaining Coverage		Asset Recoverable on Incurred Claims (ARIC)	Total
	Excluding Loss Recovery Component KShs '000	Total ARC KShs '000	KShs '000	KShs '000
2023				
Opening reinsurance contract assets	1,273	1,273	212	1,485
Expenses from reinsurance contracts	(1,095)	(1,095)	-	(1,095)
Other incurred directly attributable expenses	-	-	-	-
Claims recovered	-	-	504	504
Profit share from Re-insurance contracts held	250	250	-	250
Effect of changes in the risk of reinsurers non-performance	-	-	13	13
Net income (expenses) from reinsurance contracts held	(845)	(845)	517	(328)
Total recognised in the statement if profit or loss and comprehensive income	(845)	(845)	517	(328)
Cash flows				
Premiums paid net of ceding commissions and other directly attributable expenses paid	523	523	(175)	348
Recoveries from reinsurance	118	118	-	118
Total cash flows	641	641	(175)	466
Net balance at 31 December	1,069	1,069	554	1,623

Notes (continued)

25b) Insurance contract liabilities

	Excluding loss component	Total LRC	LIC	Total liability
Opening insurance contract assets	-	-	-	-
Opening insurance contract liabilities	-	-	-	-
Net balance at 1 January 2022	-	-	-	-
Insurance revenue	1,058	1,058	-	1,058
Incurred claims and other directly attributable claims	-	-	(241)	(241)
Loss Component Adjustment	-	-	-	-
Other directly attributable expenses	-	-	(222)	(222)
Changes that relate to past service - adjustments to the LIC	-	-	(376)	(376)
Losses on onerous contracts and reversals of those losses	-	-	-	-
Amortisation of insurance acquisition cash flows	(89)	(89)	-	(89)
Insurance service expense	(89)	(89)	(839)	(928)
Insurance service result	969	969	(839)	130
Total recognised in the statement of profit or loss and comprehensive income	969	969	(839)	130
Cash flows	-	-	-	-
Premiums received	(3,792)	(3,792)	-	(3,792)
Claims paid	-	-	182	182
Other directly attributable expenses paid	-	-	222	222
Insurance acquisition cash flows	323	323	-	323
Total cash flows	(3,468)	(3,468)	404	(3,064)
Net balance at 31 December 2022	(2,500)	(2,500)	(435)	(2,935)

Notes (continued)

25b) Insurance contract liabilities (Continued)

2023	Excluding loss component	LRC Loss componen t	Total LRC	LIC	Total liability
Opening insurance contract liabilities	(2,500)	-	(2,500)	(435)	(2,935)
Net balance at 1 January- 2023	(2,500)	-	(2,500)	(435)	(2,935)
Insurance revenue	1,657	-	1,657	-	1,657
Incurred claims and other directly attributable claims	-	-	-	(334)	(334)
Loss Component Adjust	-	-	-	-	-
Other directly attributable expenses	-	-	-	(309)	(309)
Changes that relate to past service - adjustments to the LIC	-	-	-	(656)	(656)
Insurance service expense	(125)	-	(125)	(1,299)	(1,424)
Insurance service result	1,532	-	1,532	(1,299)	233
Foreign exchange gains or losses	-	-	-	-	-
Total recognised in the statement of profit or loss and comprehensive income	1,532	-	1,532	(1,299)	233
Cash flows					
Premiums received	(15,089)	-	(15,089)	-	(15,089)
Claims paid	-	-	-	362	362
Other directly attributable expenses paid	-	-	-	309	309
Insurance acquisition cash flows	217	-	217	-	217
Total cash flows	(14,872)	-	(14,872)	671	(14,201)
Net balance at 31 December 2023	(15,840)	-	(15,840)	(1,063)	(16,903)

Notes (continued)

26 Deferred income tax

The net deferred income tax movement computed at the enacted tax rates, is attributable to the following items:

Group	At start of year	Recognised in profit or loss	Translation differences	Recognised in OCI	At end of year
	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions
For the year ended 31 December 2023					
Property, equipment and software	(405)	(1,228)	49	-	(1,584)
Loan impairment provision	14,411	7,176	1,988	-	23,575
Provision for accrued leave	262	154	-	-	416
Other temporary differences	(640)	317	166	-	(157)
Deferred income	(1,207)	234	-	-	(973)
FVOCI reserves	13,121	-	122	4,366	17,609
Other reserves (Defined benefit obligation)	60	-	-	56	116
	25,602	6,653	2,325	4,422	39,002
For the year ended 31 December 2022					
Property, equipment and software	(457)	313	(261)	-	(405)
Loan impairment provision	14,305	(57)	163	-	14,411
Provision for accrued leave	111	23	128	-	262
Other temporary differences	840	(1,844)	364	-	(640)
Deferred income	(1,207)	-	-	-	(1,207)
FVOCI reserves	488	-	107	12,526	13,121
Other reserves (deferred benefit obligation)	(111)	(90)	37	224	60
	13,969	(1,655)	538	12,750	25,602

Notes (continued)

26 Deferred income tax (continued)

Company	At start of year Shs' millions	Recognised in profit or loss Shs' millions	Recognised in OCI Shs' millions	At end of year Shs' millions
31 December 2023				
Unrealized foreign exchange losses	319	645	-	964
31 December 2022				
Unrealized foreign exchange losses	113	206	-	319

The deferred tax asset and deferred tax liability at group level in the statement of financial position have been separated as required by IAS 12, since they relate to different tax jurisdictions.

	Group		Company	
	2023 Shs' millions	2022 Shs' millions	2023 Shs' millions	2022 Shs' millions
The balance at 31 December is made up of:				
Deferred income tax asset	41,830	27,244	964	319
Deferred income tax liability	(2,828)	(1,642)	-	-
	39,002	25,602	964	319

The Group has concluded that the deferred income tax assets will be recoverable using the estimated future taxable income based on the approved business plans and budgets for the Group. The Group is expected to continue generating taxable income.

Notes (continued)

27 Deposits from customers

Deposits from customers are analysed below:

	Group 2023 Shs' millions	2022 Shs' millions
Retail customers		
Savings deposits	159,049	64,814
Current deposits	121,913	107,611
Term deposits	74,128	91,538
Transactional deposits	194,709	166,779
	549,799	430,742
Corporate customers		
Savings deposits	59,767	21,730
Current deposits	422,509	314,541
Term deposits	320,333	251,453
Transactional deposits	3,463	30,986
Margin on guarantees	2,357	2,710
	808,429	621,420
	1,358,228	1,052,162
Current	398,369	422,152
Non-current	959,859	630,010
Total	1,358,228	1,052,162

The weighted average effective interest rate on interest bearing customer deposits at 31 December 2023 was 7% (2022: 5.8%). The carrying value of customer deposits approximates their fair value. The summary of terms and conditions for the various categories of deposits are below:

- (a) Term deposits - These are high interest-bearing accounts that are opened for a specific period of time at a fixed rate of interest. Funds are fixed on the account for specified term periods of time. Interest is calculated daily and paid only on maturity of the deposits. Interest rates are offered at competitive and attractive rates.
- (b) Current accounts - These are non-interest-bearing accounts that are due on demand. They are operated by both individuals and institutions with the use of a cheque book. They are subject to transaction activity fees and/or monthly maintenance charges.
- (c) Savings accounts - These are deposits accounts designed for the average income earner that enables one to save some money and earn interest. The more one saves, the higher the interest. Interest on minimum monthly balances is paid into the account bi-annually.
- (d) Transaction deposits - These are non-interest-bearing accounts that can be used directly as cash without withdrawal limits or restrictions.

Notes (continued)

28 Other liabilities

	Group		Company	
	2023	2022	2023	2022
	Shs'	Shs'	Shs'	Shs'
	millions	millions	millions	millions
Settlement and clearing accounts	24,478	14,854	-	-
Accounts payable and sundry creditors	14,996	9,901	-	-
Accrued expenses	8,091	6,445	96	14
Deferred income	10,292	6,505	-	-
	57,857	37,705	96	14
Current	32,761	19,104	96	14
Non-current	25,096	18,601	-	-
	57,857	37,705	96	14

29 Borrowed funds

Equity Bank (Kenya) Limited (EBKL)

International Finance Corporation (IFC)	34,361	27,687	-	-
KFW DEG	-	12,348	-	-
Proparco	11,835	11,225	-	-
DEG-CDC-FMO	27,903	11,224	-	-
CDC Group PLC	7,889	6,173	-	-
African Development Bank (AfDB)	3,482	1,827	-	-
European Investment Bank	13,137	16,192	-	-
KFW (Ministry of Finance) – SIPMK	-	12	-	-
Overnight Borrowings	16,275	45,336	-	-

Equity Group Holdings Plc (EGH Plc)

African Development Bank (AfDB)	16,111	12,629	16,111	12,629
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EBUL

Inter-bank money market borrowings:

European Investment Bank	4,061	-	-	-
Uganda Energy Credit Capitalisation Company	633	902	-	-
ABi Finance	173	160	-	-
Centenary Rural Development Bank	1,246	566	-	-
Finance Trust Uganda	-	664	-	-
Exim Bank Uganda	-	333	-	-
	-	199	-	-

Equity Bank (Tanzania) Limited (EBTL)

European Investment Bank	3,532	3,466	-	-
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Equity Bank (Rwanda) Limited (EBRL)

National Bank of Rwanda	7,469	3,820	-	-
Access Bank	241	-	-	-

EquityBCDC

European Investment Bank	1,405	1,428	-	-
ECO Bank	795	1,242	-	-
International Finance Corporation (IFC)	47	-	-	-
BCC	-	109	-	-

	150,595	157,542	16,111	12,629
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Notes (continued)

29 Borrowed funds (continued)

	Group	2022	Company	2022
	2023	Shs' millions	2023	Shs' millions
	Shs' millions		Shs' millions	
Current	28,597	21,562	-	-
Non-current portion	121,998	135,980	16,111	12,629
	150,595	157,542	16,111	12,629
Movement during the year:				
At start of year	157,542	128,340	12,629	11,461
Proceeds from borrowed funds	42,011	68,617	-	-
Repayment of borrowed funds	(57,137)	(42,282)	-	-
Interest charged on borrowed funds	34,926	8,712	1,427	814
Interest paid on borrowed funds	(28,403)	(6,833)	(1,300)	(690)
Translation differences	1,656	988	3,355	1,044
At end of year	150,595	157,542	16,111	12,629

Company	Lender	Type of loan	Loan balance	Security	Currency	Interest rate	Maturity date	Finance cost recognised in the year
			Shs' millions					Shs' millions
31 December 2023								
	African Development Bank	Long term loan	16,111	Unsecured	USD	6-month SOFR+4.9%	24 December 2027	1,427
31 December 2022								
	African Development Bank	Long term loan	12,629	Unsecured	USD	6-month LIBOR+4.9%	24 December 2027	814

Notes (continued)

29 Borrowed funds (continued)

31 December 2023 – Group

Lender	Type of loan	Loan balance Shs' millions	Security	Currency	Interest rate	Maturity date	Finance cost recognised in the year Shs' millions
International Finance Corporation (IFC), EBKL Sub Debt	Long term loan	16,209	Unsecured	USD	6M SOFR + 5.00%	15-Mar-26	1,632
International Finance Corporation (IFC), B1 & C sub debt	Long term loan	18,152	Unsecured	USD	6M SOFR + 5.00%	15-Dec-28	2,023
CDC Group PLC, EBKL	Long term loan	7,889	Unsecured	USD	6M SOFR+ 4.85%	15-Dec-28	820
KFW-DEG, EBKL	Long term loan	16,358	Unsecured	USD	6M SOFR + 5.00%	15-Aug-26	1,626
Proparco, EBKL	Long term loan	11,835	Unsecured	USD	6M SOFR + 2.85%	15-Jul-27	942
Africa Development Bank, EGH Plc	Long term loan	16,111	Unsecured	USD	6M SOFR + 4.9%	24-Dec-27	1,408
European Investment Bank, EBKL	Long term loan	2,471	Unsecured	SHS	Fixed 6.97%	1-Oct-27	190
European Investment Bank, EBKL	Long term loan	2,433	Unsecured	SHS	Fixed 7.74%	1-Apr-28	170
European Investment Bank, EBKL	Long term loan	8,233	Unsecured	SHS	Fixed 6.31%	1-Oct-27	695
KFW (Ministry of Finance) – SIPMIK, EBKL	Long term loan	6	Unsecured	SHS	Fixed 4%	30-Dec-24	33
DEG-CDC-FMO-Facility A, EBKL	Long term loan	7,213	Unsecured	USD	3M SOFR + 2.85%	15-Nov-27	672
DEG-CDC-FMO-Facility B, EBKL	Long term loan	4,326	Unsecured	USD	3M SOFR + 2.60%	15-Nov-27	390
Overnight Borrowings by EBKL	Short term loan	19,757	Unsecured	Various	Various	Various	4,314
National Bank of Rwanda, EBRPLC	Medium term loan	616	Unsecured	RWF	8.00%	12 August, 2024	48
National Bank of Rwanda, EBRPLC	Medium term loan	2,211	Unsecured	RWF	8.00%	13 October, 2024	171
National Bank of Rwanda, EBRPLC	Medium term loan	1,360	Unsecured	RWF	8.00%	5 January, 2024	121
Access Bank	Short term	241	Unsecured	RWF	8.00%	3 January, 2024	21
National Bank of Rwanda-(COVID-19 Economic Recovery Fund), EBRPLC	Short term	3,282	Unsecured	RWF	0% to 2%	16 October, 2035	88

Notes (continued)

29 Borrowed funds (continued)

31 December 2023 – Group (continued)

Lender	Type of loan	Loan balance Shs' millions	Security	Currency	Interest rate	Maturity date	Finance cost recognised in the year Shs' millions
Uganda Energy Credit Capitalisation Company, EBUL	Medium term loan	173	Unsecured	USHS	5.00%	21-Nov-26	9
European Investment Bank, EBUL	Medium term loan	633	Unsecured	USHS	10.83%	20-Oct-24	69
ABi Finance, EBUL	Medium term loan	1,246	Unsecured	USHS	11.20%	22-Dec-27	140
Overnight Borrowings by EBUL	Short term loan	4,061	Unsecured	Various	Various	Various	18
European Investment Bank, EBTL	Medium term loan	3,532	Unsecured	USD	5.46%	20-Oct-27	193
					Between 4.67 % to 5.23%		
European Investment Bank, EquityBCDC	Medium term loan	1,405	Unsecured	USD	to 5.23%	20-Apr-27	131
ECO Bank	Medium term loan	795	Unsecured	USD	4%		23
International Finance Corporation (IFC), EquityBCDC	Medium term loan	47	Unsecured	USD	6%	7-Oct-24	4
		150,595					15,951

31 December 2022 – Group

Lender	Type of loan	Loan balance Shs' millions	Security	Currency	Interest rate	Maturity date	Finance cost recognised in the year Shs' millions
International Finance Corporation (IFC), EBKL	Long term loan	12,348	Unsecured	USD	LIBOR+ 5.30%	15 March 2026	852
International Finance Corporation (IFC), EBKL	Long term loan	1,142	Unsecured	USD	LIBOR +3.15%	15 March 2023	97
	Long term loan	14,197	Unsecured	USD	LIBOR+ 5.6%	15 Dec 2028	1,050
CDC Group PLC, EBKL	Long term loan	6,173	Unsecured	USD	LIBOR+ 4.85%	15 Dec 2028	409
KFW-DEG, EBKL	Long term loan	12,348	Unsecured	USD	LIBOR+5.00%	15 August 2026	852
Proparco, EBKL	Long term loan	11,225	Unsecured	USD	LIBOR+5.30%	15 July 2027	484

Notes (continued)

29 Borrowed funds (continued)

31 December 2022 – Group (continued)

Lender	Type of loan	Loan balance	Security	Currency	Interest rate	Maturity date	Finance cost recognised in the year
		Shs' millions					Shs' millions
Africa Development Bank, EGH Plc	Long term loan	12,629	Unsecured	USD	LIBOR+ 4.9%	24 December 2027	814
African Development Bank, EBKL	Long term loan	1,827	Unsecured	USD	LIBOR +2.85%	1 February 2023	125
European Investment Bank, EBKL	Long term loan	3,089	Unsecured	SHS	6.97%	1 Oct 2027	229
European Investment Bank, EBKL	Long term loan	3,041	Unsecured	SHS	7.74%	1 Apr 2028	204
European Investment Bank, EBKL	Long term loan	10,063	Unsecured	SHS	6.31%	1 Oct 2027	771
KFW (Ministry of Finance) – SIPMK, EBKL	Long term loan	12	Unsecured	SHS	4.00%	30 December 2024	1
DEG-CDC-FMO-Facility A, EBKL	Long term loan	7,015	Unsecured	USD	LIBOR+ 2.85%	15 November 2027	361
DEG-CDC-FMO-Facility B, EBKL	Long term loan	4,209	Unsecured	USD	LIBOR+ 2.65%	15 November 2027	206
Overnight Borrowings by EBKL	Short term loan	45,335	Unsecured	Various	Various	Various	1,329
National Bank of Rwanda, EBRPLC	Medium term loan	728	Unsecured	RWF	8.00%	13 August, 2023	58
National Bank of Rwanda, EBRPLC	Medium term loan	1,153	Unsecured	RWF	8.00%	12 August, 2024	92
National Bank of Rwanda, EBRPLC	Medium term loan	769	Unsecured	RWF	8.00%	13 October, 2024	62
National Bank of Rwanda-(COVID-19 Economic Recovery Fund), EBRPLC	Short term	1,810	Unsecured	RWF	0% to 2%	05 November 2025	12
Uganda Energy Credit Capitalisation Company, EBUL	Medium term loan	160	Unsecured	USHS	5%	21 November 2026	20
European Investment Bank, EBUL	Medium term loan	902	Unsecured	USHS	10.83%	20 October 2024	113
ABi Finance, EBUL	Medium term loan	566	Unsecured	USHS	11.2%	22 December 2027	71
Overnight Borrowings by EBUL	Short term loan	1,195	Unsecured	Various	Various	Various	151
European Investment Bank, EBTL	Medium term loan	3,127	Unsecured	USD	LIBOR +4.5%	20 October 2027	212
European Investment Bank, EquityBCDC	Medium term loan	1,128	Unsecured	USD	Between 4.67 %		
ECO Bank	Medium term loan	1,242	Unsecured	USD	to 5.23%	20 April 2027	113
International Finance Corporation (IFC), EquityBCDC	Medium term loan	-	Unsecured	USD	4%		20
Central Bank of Congo, EquityBCDC	Medium term loan	109	Unsecured	USD	6%	07 October 2024	4
					3%	24 April 2024	
		157,542					8,712

Notes (continued)

30 Retirement benefits obligation – Defined benefit plan

The Group has an unfunded defined benefit plan for the employees in DRC.

	2023	2022
	Shs' millions	Shs' millions
Movement in retirement benefit obligations:		
At start of year	1,856	1,269
Interest cost	158	83
Past service cost	104	68
Benefits paid by the plan	-	(175)
Recognised actuarial gains	185	495
Translation differences	(41)	116
Present value of unfunded obligations	2,262	1,856

The net charge recognised in the income statement / other comprehensive income is as follows:

Interest cost (profit or loss)	158	83
Recognised actuarial cost (OCI)	185	797
Past service cost (profit or loss)	104	68

The movement in the retirement benefit obligations in the statement of financial position is as follows:

At start of year	1,856	1,269
Employer contributions	-	-
Charge to income statement	262	151
Charge to the OCI	185	797
Translation differences	(41)	(361)
At end of year	2,262	1,856

Summary of benefit and contribution structure

Eligible and active members (Number)	1,662	1,401
Normal retirement age (Years)	65	65

Key assumptions

The principal actuarial assumptions used at the reporting date were:

	2023	2022
	% pa	% pa
Discount rate	6.3	6
Expected rate of salary increase	3	3
Inflation	3	3
Mortality rate	0.98	0.98

These assumptions are likely to change in the future and this will affect the value placed on the liabilities.

Impact	2023	2022
	Shs' millions	Shs' millions
Discount rate (+/-1% movement)	+/-103	+/-65
Inflation rate (+/-2% movement)	+/-75	+/-58

Although this analysis does not look at simultaneous changes in the assumptions, it does provide an approximation of the sensitivity to the main assumptions. While changes in other assumptions would also have an impact, the effect would not be as significant.

Notes (continued)

31 Share capital and reserves

(a) Share capital	Group		Company	
	2023	2022	2023	2022
	Shs'	Shs'	Shs'	Shs'
	millions	millions	millions	millions
Authorised - 4,114,196,688 (2022: 4,114,196,688) ordinary shares of Shs 0.5 each	2,057	2,057	2,057	2,057
Issued and fully paid - 3,773,674,802 (2022: 3,773,674,802) ordinary shares of Shs 0.5 each	1,887	1,887	1,887	1,887
Movement in ordinary shares				
At start and end of year (3,773,674,802)	3,774	3,774	3,774	3,774
In monetary terms:				
At start and end of year	1,887	1,887	1,887	1,887

The shareholders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

(b) Share premium

Share premium arose from the issue of shares at a price higher than the par value of the shares.

(c) FVOCI reserve

The fair value through other comprehensive income (FVOCI) reserve is attributable to marking to market of investment securities classified under the FVOCI category. All unrealised gains and losses are recognised in other comprehensive income and credited to FVOCI reserve until the investment is derecognised at which time the cumulative gain or loss is recognised in profit or loss, or the investment is determined to be impaired, when the cumulative loss is reclassified from the FVOCI reserve to profit or loss.

(d) Statutory loan loss reserve

The loan loss reserve represents excess of the loans and advances impairment provision determined in accordance with the Central Banks of Rwanda and Uganda prudential guidelines compared with the requirements of *IFRS 9 - Financial instruments: Recognition and measurement*. This amount is not available for distribution.

(e) Other reserves

The other reserves represent pre-acquisition reserves from Equity Bank Uganda Limited and actuarial gains/losses from revaluation of defined benefit obligation. This amount is not available for distribution.

(f) Foreign currency translation reserve

The foreign exchange translation reserve represents translation of the financial statements of the subsidiaries from respective currencies to Kenya Shillings. This amount is not available for distribution.

Notes (continued)

31 Share capital and reserves (continued)

(g) Dividends

The following dividends were declared and/or paid by the Company. Cash dividends on ordinary shares declared and paid:

	Group		Company	
	2023	2022	2023	2022
	Shs'	Shs'	Shs'	Shs'
	millions	millions	Millions	millions
2022 dividend declared and paid: Shs (4 per share) (2021: Shs (3 per share))	15,095	11,321	15,095	11,321

Proposed dividends on ordinary shares are subject to approval at the annual general meeting and are not recognised as a liability as at 31 December.

There is no income tax consequence arising from the retention or distribution of the retained earnings during the year.

32 Related parties and related party transactions

Key management personnel are those individuals who have the authority and responsibility for planning and exercising power to directly or indirectly control the activities of the Group (including subsidiaries) and its employees. The Group considers the Board of Directors, executive and non-executive Directors, to be key management personnel for the purposes of IAS 24 - related party disclosures.

The Group enters into transactions, arrangements and agreements involving directors, senior management and their related concerns in the ordinary course of business.

(a) Loans to key management personnel

	Group	
	2023	2022
	Shs' millions	Shs' millions
At start of year	2,988	2,554
Interest charged	149	149
Loans disbursed	1,060	1,128
Repayments	(954)	(940)
Translation differences	430	97
At end of year	3,673	2,988
Current	66	206
Non – current	3,607	2,782
Total	3,673	2,988

Notes (continued)

32 Related parties and related party transactions (continued)

(b) Loans to employees

	Group 2023 Shs' millions	2022 Shs' millions
At start of year	13,618	9,838
Interest charged	713	653
Loans disbursed	6,187	6,565
Repayments	(5,295)	(3,558)
Translation differences	903	120
At end of year	16,126	13,618
Current	251	1,014
Non – current	15,875	12,604
Total	16,126	13,618

The loans are secured by property mortgage and are repayable in a period of up to 25 years at an average interest rate of 6% to 10% per annum.

(c) Loans to associates of key management personnel

	Group 2023 Shs' Millions	2022 Shs' Millions
At start of year	7,088	5,318
Interest charged	1,077	1,143
Loans disbursed	369	661
Repayments	(1,616)	(828)
Translation differences	139	794
At end of year	7,057	7,088
Current	83	160
Non – current	6,974	6,928
Total	7,057	7,088

These are loans to associates of executive and non-executive directors. The total amount of loans and advances granted was in ordinary course of business. There were no provisions for doubtful debts related to the amount of outstanding balances and no expense was recognised during the year in respect of bad or doubtful debts due from related parties.

Notes (continued)

32 Related parties and related party transactions (continued)

(d) Key management personnel compensation

	Group	2022
	2023	Shs' millions
	Shs' millions	Shs' millions
Remuneration to executive directors:		
Company*	228	269
Group**	1,654	1,600
Remuneration to key management	6,259	5,679
	8,141	7,548

* Remuneration to the executive directors of the parent Company, Equity Group Holdings Plc

** Remuneration to the executive directors of the subsidiary companies in the Group.

	Group	2022
	2023	Shs' millions
	Shs' millions	Shs' millions
Remuneration to key management:		
Salaries and short-term benefits	5,882	5,241
Pension	377	438
	6,259	5,679

(e) Directors' emoluments

	Group	2022	Company	2022
	2023	Shs'	2023	Shs'
	Shs'	Shs'	Shs'	Shs'
	millions	millions	millions	millions
Directors of EGH Plc				
As executives	228	269	-	-
Fees for non-executive directors	91	53	148	55
	319	322	148	55
Directors of subsidiaries who are not directors of EGH Plc:				
As executives	413	465	-	-
Fees for non-executive directors	58	133	-	-
	471	598	-	-

Notes (continued)

32 Related parties and related party transactions (continued)

(e) Directors' emoluments (continued)

In addition to their salaries, the Group also contributes to a post-employment defined contribution plan and the National Social Security Fund for Kenya, Tanzania, Uganda and Democratic Republic of Congo employees. The Group also contributes to the Rwanda Social Security Fund for Rwanda employees and to a private pension fund for employees in South Sudan.

(f) Due from related parties

	Group		Company	
	2023	2022	2023	2022
	Shs'	Shs'	Shs'	Shs'
	millions	millions	millions	millions
Equity Group Foundation	141	101	-	-
Equity Investment Bank Limited	-	-	3	3
Equity Bank Kenya Ltd	-	-	100	-
Equity Bank Rwanda Ltd	-	-	2	-
Equity Group Insurance Holdings Limited	-	-	800	-
	141	101	905	3

(g) Due to related parties

Equity Bank (Kenya) Limited	-	-	13,485	127
Equity Investment Services Limited	-	-	420	420
Equity Bank Rwanda Ltd	-	-	81	-
	-	-	13,986	547

(h) Dividend income from subsidiaries

Equity Bank (Kenya) Limited	14,500	18,000
Equity Bancassurance Intermediary Limited	300	500
Equity Bank (South Sudan) Limited	-	679
Equity Investment Bank Limited	100	35
Finserve Africa Limited	320	460
Equity Bank Uganda Limited*	-	854
Equity Bank Rwanda Plc	1,245	1,612
	16,465	22,140

Related parties are only the subsidiary companies in addition to Equity Group Foundation, which is a related party by virtue of common directorship. Transactions with related parties are carried out in the normal course of business. The outstanding balances as at year-end are unsecured and interest free and settlement occurs in cash. There have been no guarantees provided or received for any related party payables or receivables. For the year ended 31 December 2023, the Group has not recorded any impairment loss on receivables relating to the amounts owed by related parties (2021: Nil). This assessment is undertaken each financial year through examining the financial position of the related party and the market in which the related party operates.

*Relates to scrip dividend received as a result of capitalising EBUL retained earnings (Note 19 a)

Notes (continued)

33 Cash flows from operating activities

		Group	
		2023	2022
	Notes	Shs' millions	Shs' millions
Profit before income tax		51,879	59,844
Adjustments for:			
Depreciation and amortisation	12	7,321	7,371
Gain on disposal of property and equipment		(18)	(25)
Loss on disposal of intangible assets		(91)	110
Loss/(gain) on disposal of right-of-use assets		68	(3)
Credit impairment charges	13	35,590	15,051
Fair value loss	22(d)	783	385
Interest expense on term borrowings	6	34,926	8,712
Interest expense on lease liabilities	6	841	812
Defined benefit plan costs	30	262	151
Revaluation of derivatives	38	777	(560)
Operating profit before changes in operating assets and liabilities		132,338	91,848
Movements in:			
Investment securities at FVTPL	23	(2,754)	(2,406)
Loans and advances	22	(217,264)	(135,853)
Other assets	24	(3,523)	(12,103)
Insurance contract assets	25(a)	(138)	(1,485)
Deposits from customers	27	306,066	93,185
Related party balances	32(b)	(40)	59
Insurance contract liabilities	25 (b)	13,968	2,935
Other liabilities	28	20,152	8,363
Employee benefit obligations	28	406	588
Movement in restricted cash balances	21a	(10,948)	(32,150)
Cash flows from operating activities		238,263	12,981

Notes (continued)

34 Earnings per share

The calculation of basic earnings per share for the Group at 31 December 2023 is based on the profit attributable to ordinary shareholders of Shs 41,977 million (2022: Shs 44,894 million) and the weighted average number of ordinary shares outstanding of 3,774 million (2022: 3,774 million).

	Group	
	2023	2022
	Shs' millions	Shs' millions
Profit for the year attributable to equity shareholders	41,977	44,894
Number of shares: (in millions)		
Issued and weighted average number of ordinary shares at start and end of year: 3,774(2022: 3,774)	3,774	3,774
Basic and diluted earnings per share (in Kenya Shillings)	11.12	11.90

35 Off-balance sheet contingencies and commitments

Group

In the ordinary course of business, the Group conducts business involving guarantees, acceptances and performance bonds. These facilities are offset by corresponding obligations of third parties. At the year end, the contingencies were as follows:

	Group	
	2023	2022
	Shs' millions	Shs' millions
Guarantees and standby letters of credit	140,357	94,580
Letters of credit, acceptances and other documentary credits	113,133	82,248
	253,490	176,828

Commitments contracted for at the reporting date but not recognised in the financial statements are as follows:

	Group	
	2023	2022
	Shs' millions	Shs' millions
Capital commitments	10,412	5,353
Loans approved but not disbursed	6,152	3,558
	16,564	8,911

Notes (continued)

35 Off-balance sheet contingencies and commitments (continued)

The table below shows the contractual expiry by maturity of the Group's contingent liabilities and commitments. Each undrawn loan commitment is included in the time band containing the earliest date it can be drawn down.

Group – 2023	0 - 3 months Shs' millions	3 - 6 months Shs' millions	6 - 12 months Shs' millions	1 - 5 Years Shs' millions	Total Shs' millions
Guarantees and standby letters of credit	48,110	15,028	48,485	28,734	140,357
Letters of credit, acceptances and other documentary credits	85,114	19,621	7,582	816	113,133
Capital commitments	53	57	9,981	321	10,412
Loans approved but not disbursed	4,119	1,766	83	184	6,152
Total commitments and guarantees	137,396	36,472	66,131	30,055	270,054
Group – 2022					
Guarantees and standby letters of credit	25,436	12,052	26,289	30,804	94,581
Letters of credit, acceptances and other documentary credits	19,886	32,377	28,576	1,409	82,248
Capital commitments	17	-	5,336	-	5,353
Loans approved but not disbursed	3,226	174	27	132	3,559
Total commitments and guarantees	48,565	44,603	60,228	32,345	185,741

Contingent liabilities – Litigation

The Group has established protocol for dealing with such legal claims. Once professional advice has been obtained and the amount of damages reasonably estimated, the Group makes provisions to account for any adverse effects which the claim may have on its financial standing.

Contingent tax liabilities

The Group has unresolved tax disputes with the Kenya Revenue Authority currently pending at the Tax Appeals Tribunal. Based on professional advice received, the directors are of the opinion that no significant loss will arise from these matters.

Notes (continued)

36 Retirement benefit obligations – Defined contribution schemes

The Group contributes to statutory defined contribution pension schemes (the National Social Security Fund (NSSF)), for Kenya, Tanzania, Uganda and Democratic Republic of Congo employees. The Group also contributes to the Rwanda Social Security Fund for Rwanda employees and to a private pension fund for employees in South Sudan. The contributions are determined by local statutes and are charged to the profit or loss.

	Group	
	2023	2022
	Shs' millions	Shs' millions
National Social Security Fund	865	644
Pension Scheme	914	814
	1,779	1,458

37 Segment information

A segment is a distinguishable component of the Group that is engaged either in providing products or services (business segment), or in providing products or services within a particular economic environment (geographical segment), which is subject to risks and rewards that are different from those of other segments.

i) Operating segments

The Group provides financial services to individuals, small and medium sized enterprises and large enterprises in each of the banking subsidiaries. For management purposes, the results of each business unit (entity) is reviewed separately for the purpose of making decisions.

The Group operates in six geographical markets that is Kenya, Uganda, South Sudan, Rwanda, Tanzania and Democratic Republic of Congo. The table below shows the distribution of the Group's total assets, net interest income, total operating income, total expenses and profit before income tax.

Statement of Financial Position

For the year ended 31 December 2023

KShs million	Kenya	Tanzania	South Sudan	Uganda	Rwanda	DRC	Elimination	Total
Cash and short-term funds	122,753	11,912	21,086	40,706	31,952	262,228	(201,386)	289,251
Loans and advances	448,741	30,364	710	68,402	53,467	285,694	-	887,378
Other assets	584,332	18,311	595	47,476	42,297	76,186	(124,396)	644,801
Total assets	1,155,826	60,587	22,391	156,584	127,716	624,108	(325,782)	1,821,430
Customer deposits	772,742	46,840	14,956	123,510	96,999	504,566	(201,386)	1,358,227
Borrowed funds	130,993	3,531	-	6,113	7,710	2,247	-	150,594
Other liabilities	53,004	2,243	2,388	9,116	6,014	47,416	(25,706)	94,475
Shareholders' funds	199,087	7,973	5,047	17,845	16,993	69,879	(98,690)	218,134
Total liabilities and shareholders' funds	1,155,826	60,587	22,391	156,584	127,716	624,108	(325,782)	1,821,430

Notes (continued)

37 Segment information (continued)

(i) Operating segments (continued)

Statement of Financial Position (continued)

For the year ended 31 December 2022

KShs million	Kenya	Tanzania	South Sudan	Uganda	Rwanda	DRC	Elimination	Total
Cash and short-term funds	93,400	11,300	16,118	23,920	17,491	221,524	(151,384)	232,369
Loans and advances	429,821	22,845	455	54,887	27,865	170,715	-	706,588
Other assets	493,703	11,450	277	33,344	20,896	51,186	(102,803)	508,053
Total assets	1,016,924	45,595	16,850	112,151	66,252	443,425	(254,187)	1,447,010
Customer deposits	647,371	34,320	11,997	91,433	50,752	367,673	(151,384)	1,052,162
Borrowed funds	144,654	3,466	-	2,823	3,820	2,779	-	157,542
Other liabilities	27,510	1,532	1,156	3,473	4,043	28,411	(11,030)	55,095
Shareholders' funds	197,389	6,277	3,697	14,422	7,637	44,562	(91,773)	182,211
Total liabilities and shareholders' funds	1,016,924	45,595	16,850	112,151	66,252	443,425	(254,187)	1,447,010

Income statement

For the year ended 31 December 2023

KShs million	Kenya	Tanzania	South Sudan	Uganda	Rwanda	DRC	Elimination	Total
Interest income	109,665	4,809	241	15,170	7,917	32,381	(5,968)	164,215
Interest expense	(41,733)	(1,991)	(24)	(5,629)	(1,402)	(6,381)	5,968	(51,192)
Net interest income	67,932	2,818	217	9,541	6,515	26,000	-	113,023
Net fees and commission income	7,199	704	1,208	3,556	1,293	14,984	-	28,944
Other income	30,876	888	2,493	2,669	925	10,968	(21,459)	27,360
Impairment	(22,098)	(909)	35	(4,818)	(5)	(5,942)	-	(33,737)
Depreciation and amortization	(3,705)	(358)	(93)	(1,005)	(276)	(1,645)	(238)	(7,320)
Operating expenses	(40,840)	(2,512)	(851)	(8,648)	(2,733)	(25,727)	4,920	(76,391)
Profit before income tax	39,364	631	3,009	1,295	5,719	18,638	(16,777)	51,879
Tax	1,412	(70)	(896)	(29)	(1,321)	(6,530)	(708)	(8,142)
Profit after tax	40,776	561	2,113	1,266	4,398	12,108	(17,485)	43,737

Notes (continued)

37 Segment information (continued)

(i) Operating segments (continued)

Income statement (continued)

For the year ended 31 December 2023

KShs million	Kenya	Tanzania	South Sudan	Uganda	Rwanda	DRC	Elimination	Total
Interest income	90,867	3,694	123	11,352	6,042	19,409	(2,960)	128,527
Interest expense	(24,707)	(1,558)	(22)	(3,515)	(1,132)	(5,661)	2,960	(33,635)
Net interest income	66,160	2,136	101	7,837	4,910	13,748	-	94,892
Net fees and commission income	4,870	555	958	1,764	1,100	10,403	-	19,650
Other income	37,985	1,186	2,007	1,745	525	5,167	(28,125)	20,490
Impairment	(7,034)	(1,146)	(55)	(2,350)	(317)	(2,836)	-	(13,738)
Depreciation and amortization	(3,539)	(350)	(179)	(823)	(228)	(1,685)	(568)	(7,372)
Operating expenses	(33,437)	(1,911)	163	(5,778)	(1,962)	(16,680)	5,523	(54,082)
Profit before income tax	65,005	470	2,995	2,395	4,028	8,117	(23,170)	59,840
Tax	(8,985)	(54)	(696)	(430)	(1,223)	(2,353)	-	(13,741)
Profit after tax	56,020	416	2,299	1,965	2,805	5,764	(23,170)	46,099

Interest income is reported net as management primarily relies on net interest revenue as a performance measure, not the gross income and expense. No revenue from transactions with a single external customer or counter party amounted to 10% or more of the Group's total revenue in 2023 or 2022. The Group's operating segments are reported based on financial information provided to the Strategy and Investment Committee which is the key management committee and represents the decision making organ.

Notes (continued)

38 Derivative financial assets and liabilities

The table below shows the fair values of currency forwards and swaps recorded as assets or liabilities together with their notional amounts. The notional amount, recorded gross, is the amount of a currency forward or swap's underlying off balance sheet asset / liability and is the basis upon which changes in the fair values of currency forwards and swaps are measured. The notional amounts indicate the volume of transactions outstanding at the year-end and are indicative of neither the market risk nor the credit risk.

Group	Notional amount asset	Notional amount liability	Fair value of asset	Fair value of liability	Notional amount asset	Notional amount liability	Fair value of asset	Fair value of liability
	2023				2022			
	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions	Shs' millions
Forward exchange contracts	1,841	1,841	1,841	1,823	13,872	13,033	13,862	12,919
Swaps	13,666	13,666	13,666	13,590	1,430	1,528	1,827	1,898
Spot	643	643	643	641	225	225	224	223
	16,150	16,150	16,150	16,054	15,527	14,786	15,913	15,040

The Group has netting agreements in place with counterparties to manage the associated credit risks. These netting agreements and similar arrangements generally enable the counterparties to off-set liabilities against available assets received in the ordinary course of business and / or in the event of the counterparty's default. The offsetting right is a legal right to settle, or otherwise eliminate all or a portion of an amount due by applying an amount receivable from the same counterparty against it, thus reducing credit exposure.

The table below summarises the currency forwards and swaps subject to offsetting and enforceable netting agreements whose net amounts are presented in other assets.

	2023			2022		
	Fair value of asset Shs' millions	Fair value of liability Shs' millions	Net amount presented Shs' millions	Fair value of asset Shs' millions	Fair value of liability Shs' millions	Net amount presented Shs' millions
Forward Exchange contracts	1,841	1,823	18	13,862	12,919	943
Swaps	13,666	13,590	76	1,827	1,898	(71)
Spot	643	641	2	224	223	1
	16,150	16,054	96	15,913	15,040	873

Notes (continued)

39 Fiduciary activities

The Group provides custody, trustee, corporate administration, investment management and advisory services to third parties, which involve the Group making allocation and purchase and sale decisions in relation to a wide range of financial instruments. These financial instruments comprise deposits with financial institutions, government securities and quoted and unquoted securities, among others. Those assets that are held in a fiduciary capacity are not included in these financial statements. Some of these arrangements involve the Group accepting targets for benchmark levels of returns for the assets under the Group's care. These services give rise to the risk that the Group will be accused of maladministration or under-performance. with a value of Shs 213.191 billion (2022: Shs 211.465 billion). The income for the period for custodial services was Shs176,165 million (2022: Shs 173,726 million) while the expenses amounted to Shs 76.884 million (2021: Shs 45.817 million).

40 Impact of Hyperinflationary accounting

With effect from 2023, the South Sudanese economy ceased to be considered a hyperinflationary economy for accounting purposes after the three-year cumulative inflation decreased significantly. In this regard per guidance of IAS 29 *'When an economy ceases to be hyperinflationary and an entity discontinues the preparation and presentation of financial statements prepared in accordance with this Standard, it shall treat the amounts expressed in the measuring unit current at the end of the previous reporting period as the basis for the carrying amounts in its subsequent financial statements'* entries from December 2022 associated with the hyperinflation adjustments have been adopted.

There was hyperinflationary related impact on the group financial statements in the year ended 31 December 2023 (2022: Net monetary loss of KShs 751 million). The movement is shown as below:

	2023 Shs' millions	2022 Shs' millions
Monetary liabilities at 1 January	-	7,432
Increase in net monetary liabilities during the year	-	5,859
Monetary liabilities at 31 December	-	13,291
Restated monetary liabilities at 31 December	-	(15,129)
(Loss)/ gain on monetary liabilities (a)	-	(1,838)
Monetary assets at start of year	-	10,866
Increase in net monetary assets during the year	-	6,823
Monetary assets at 31 December	-	17,689
Restated monetary assets at 31 December	-	(15,244)
(Loss)/ gain on monetary assets (b)	-	2,445
Net monetary position gain/ (loss) (a - b)	-	(751)